ARC Research

Global Macro & AI Research

Anthropic's S-1: the IPO teardown

ANT on Nasdaq · growth · the $104B loss · models · the $895B compute bill · control · valuation · Data as of Nov 10, 2026

Agenda

01	**The company**	Origins, founders, products, deals, rivals	**Slides 4–14**
02	**IPO offering**	Price range, $26B placement, valuation, size	**Slides 15–26**
03	**P&L**	Loss bridge, costs, customers, cash vs peers	**Slides 27–34**
04	**Models & products**	Lineup, Fable 5.2, rankings, Claude Code, Cowork	**Slides 35–43**
05	**Growth & customers**	Revenue, run-rate, customers, mix	**Slides 44–49**
06	**The compute bill**	$901B committed, payees, AI layer cake	**Slides 50–55**
07	**Governance & valuation**	Control, peer financials, multiples	**Slides 56–62**
08	**Risks**	Demand, compute, data centers, open models	**Slides 63–73**
09	**ARC view**	Life sciences, robotics, moat, NVIDIA, our view	**Slides 74–85**

Outside the sections: the S-1 in one slide (3) and sources (86)

The S-1 in one slide

TICKER

ANT

Nasdaq; range $70 to $78

REVENUE, 9M 2026

$33.2B

Up 1,206% year over year

NET REVENUE RETENTION

~900%

At Sep 30, 2026

CASH + INVESTMENTS

$132B

Operations cash-positive in 2026

OPERATING LOSS, 9M

$1.3B

Adjusted: $4.1B profit

NET LOSS, 9M

$104B

$94.3B is non-cash re-marking

COMPUTE COMMITMENTS

$895B

Half expected before 2031

FOUNDER VOTE

50.1%

Through one Class F share

SECTION 1 OF 9

The company

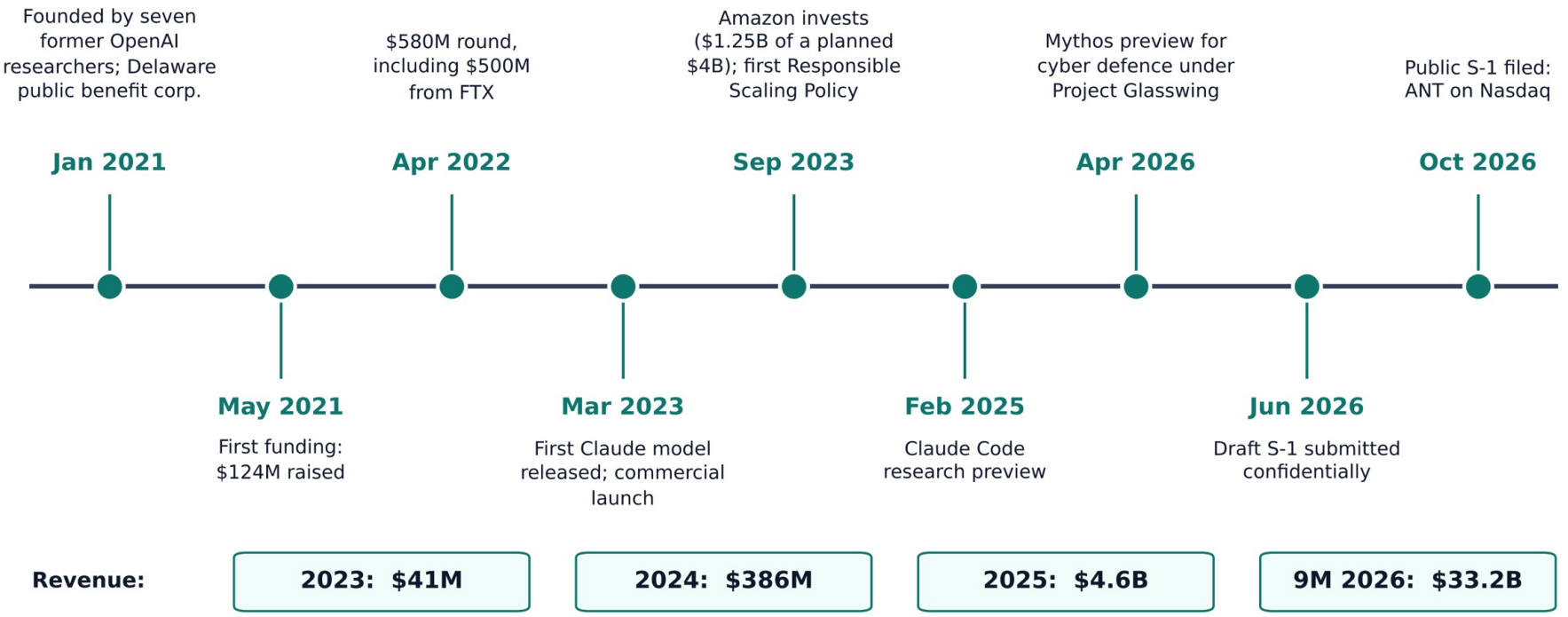
Who Anthropic is: how it started, what it is for, what it built first, how it makes and spends money, and who it is up against

5 How it started
6 The founders
7 The mission and how it is enforced
8 The early models
9 Historic revenue growth
10 The main products
11 Business model: paid by the token
12 Where the money goes
13 Acquisitions
14 The competitors

How it started: a split with OpenAI over safety

From seven co-founders in 2021 to an IPO filing in 2026

Founding, early funding and first product, then the steps to the filing. Events are evenly spaced, not to time scale



Source: Anthropic Form S-1/A (Nov 2, 2026): incorporation, seven co-founders, commercial launch, Responsible Scaling Policy, Claude Code preview, Project Glasswing, revenue by year. Wikipedia, "Anthropic" (read Nov 9, 2026), a secondary source: founders' OpenAI background, the 2021 and 2022 funding rounds, Amazon's 2023 investment. Anthropic announcements: draft and public S-1. Schematic.

AT A GLANCE

Left OpenAI: scaling needs safety too

All seven co-founders still there

San Francisco; ~5,300 employees

The founders: seven researchers, all from OpenAI

Still from Anthropic’s “Building Anthropic” video, supplied by the reader. Names are not matched to faces.

All seven still lead the company

Together: 50.1% of the votes

FOUNDER	ROLE TODAY	BEFORE ANTHROPIC
Dario Amodei	**Chief executive; director**	Biophysics PhD (Princeton); OpenAI VP of Research
Daniela Amodei	**President; chair of the board**	Stripe risk manager; OpenAI VP Safety & Policy
Tom Brown	**Chief Compute Officer**	MIT MEng; led GPT-3 engineering at OpenAI
Jack Clark	**Leads the Anthropic Institute**	Technology journalist; OpenAI Policy Director
Jared Kaplan	**Chief Science Officer**	Johns Hopkins physics professor; scaling laws
Sam McCandlish	**Chief Architect**	Physics PhD (Stanford); OpenAI scaling research
Christopher Olah	**Leads interpretability research**	Google Brain; led interpretability at OpenAI

The mission, and the machinery behind it

Responsible development of advanced AI for the long-term benefit of humanity

Written into law

2021 Public benefit corporation

2023 Benefit Trust elects board majority

5% of shares to a public benefit fund

Written into policy

2022 First Claude constitution

Sep 2023 Responsible Scaling Policy

$100M pledged to cyber defence

Shown in decisions

2022 First Claude held back for testing

Apr 2026 Mythos released only to vetted users

Nov 2026 Fable 5.2 capped on AI R&D skills

The early models: Claude 1 to 3.5 in 15 months

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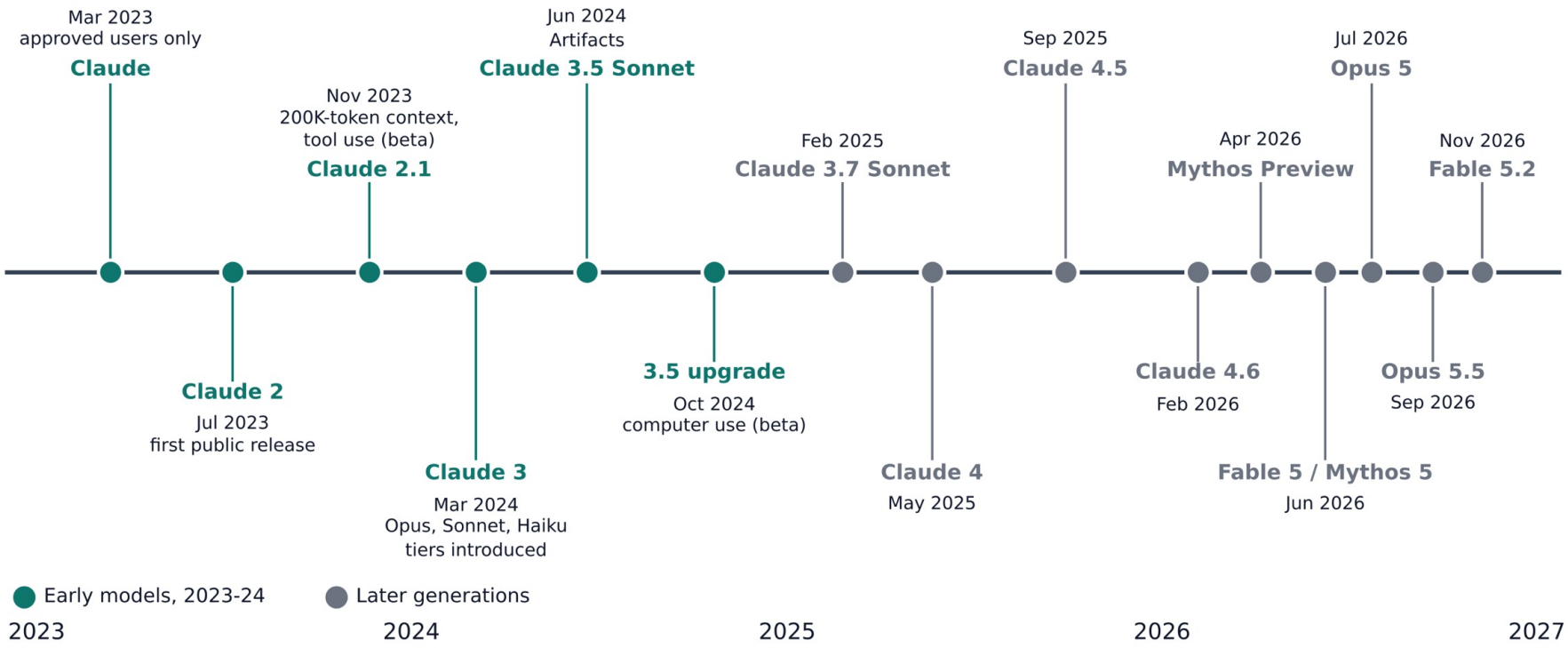
Fifteen Claude releases in under four years, each a few months apart

Release dates of the main Claude generations. The early models (2023-24) are annotated with what each added



Source: Wikipedia, "Claude (language model)" (read Nov 9, 2026), a secondary source compiled from Anthropic's release announcements; Fable 5.2 from Anthropic's Nov 9, 2026 announcement. One marker per generation (the first model of each); point releases and smaller tiers are omitted. Claude 3 date is the family's Mar 4, 2024 launch.

SO WHAT

First Claude: March 2023, invite-only

Claude 3 set the Opus/Sonnet/Haiku tiers

A new flagship every ~3 months

Historic growth: $1B to $30B in under two years

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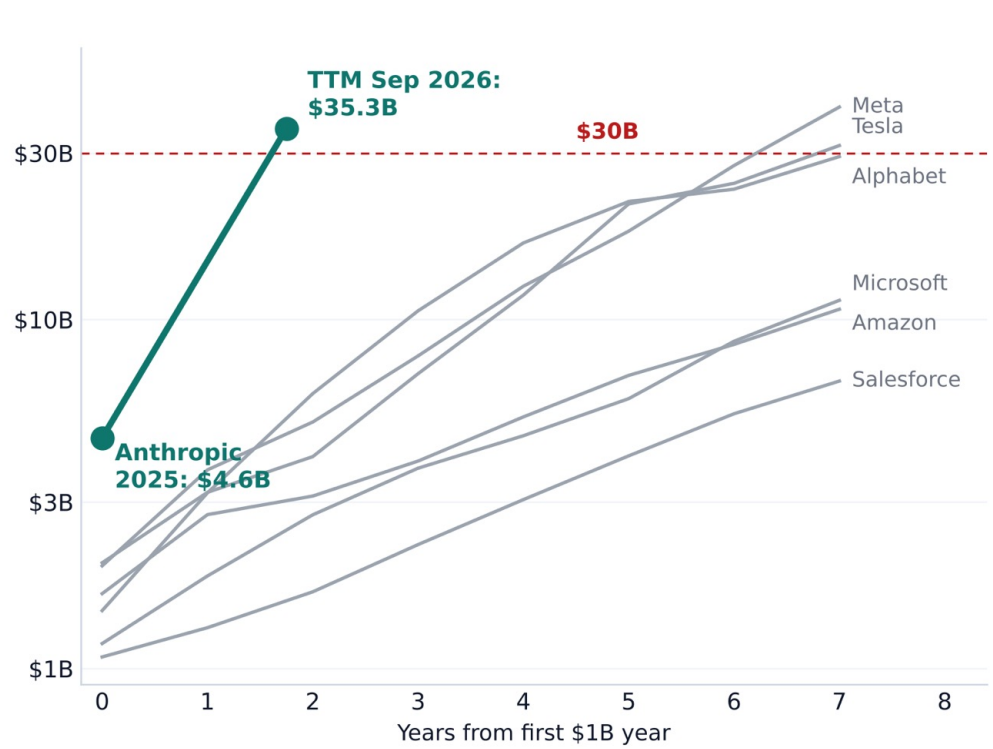
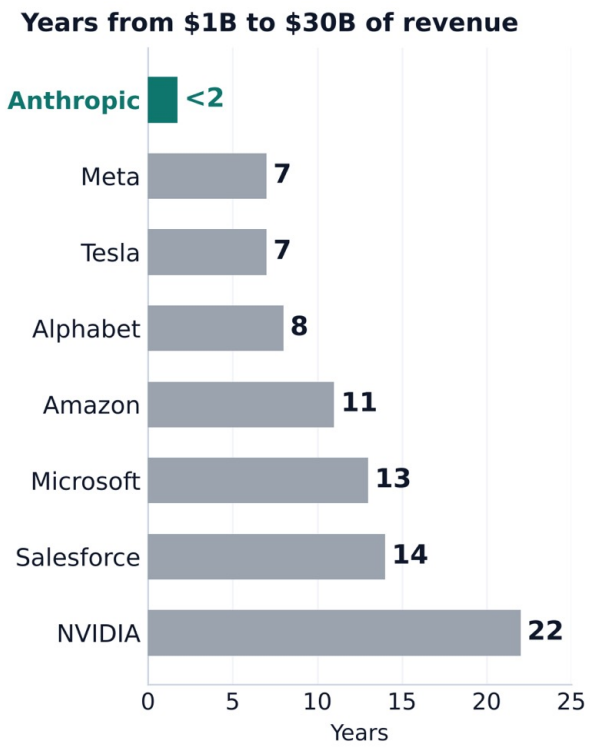
From $1B to $30B of revenue faster than any tech giant

Left: annual revenue from each company's first $1B year, $ billions, log scale. Right: years from first $1B year to $30B of revenue





Source: Anthropic Form S-1/A: 2025 revenue $4.585B (first year above $1B); trailing twelve months to Sep 30, 2026 $35.3B (Q4 2025 + 9M 2026), plotted at 1.75 years. Others: annual GAAP revenue from 10-Ks and StockAnalysis.com/Macrotrends, fiscal years as reported (Microsoft FY1990 start; Salesforce and NVIDIA fiscal years end in January). Years to $30B = first year at or above $30B minus first $1B year, ours. Anthropic's 1.75 uses trailing revenue, not a full fiscal year.

SO WHAT

Under 2 years from $1B to $30B

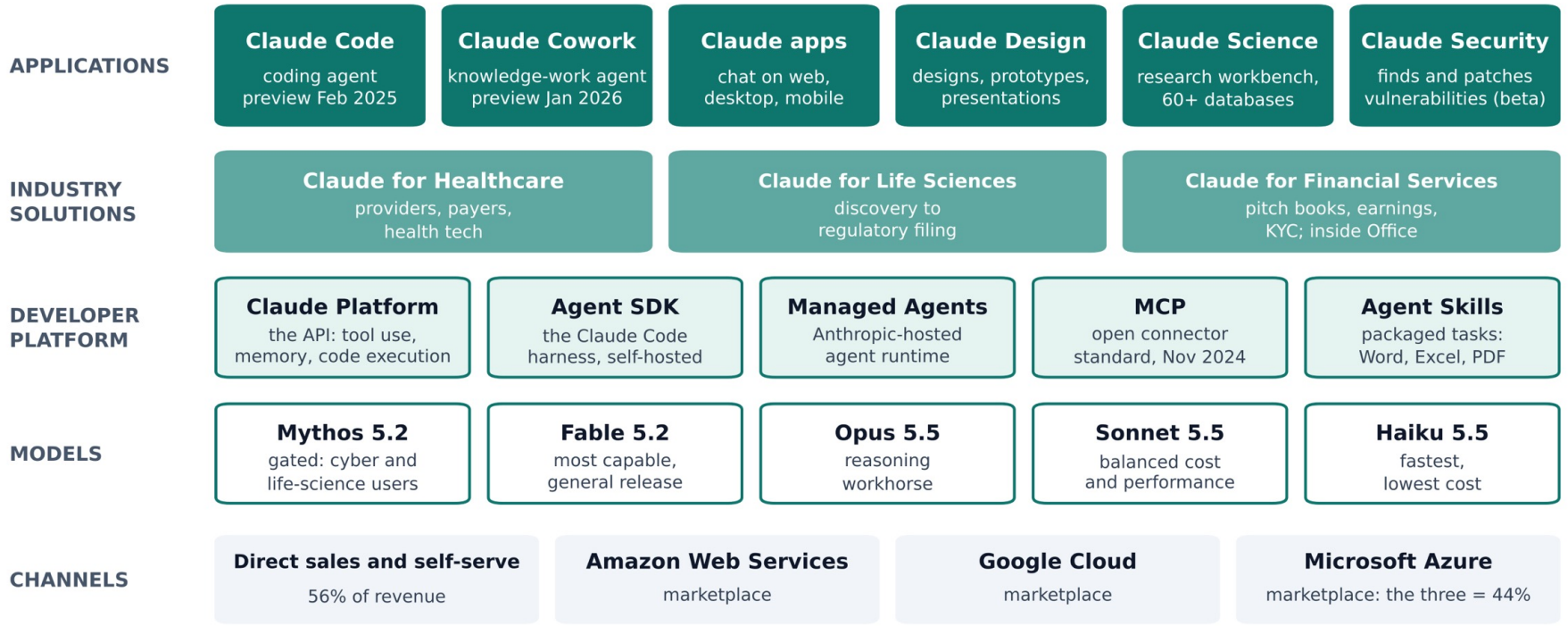
Meta and Tesla took 7; Alphabet 8

Speed up is not staying power

Main products: one model family, many front ends

The product map: one model family under every product

Anthropic's product map as described in the S-1, from what customers touch (top) down to the models and sales channels. Schematic



Source: Anthropic Form S-1/A (Nov 2, 2026), Business section, for products, dates and descriptions; revenue shares from the notes (consumption 79%, subscription 21%, cloud marketplaces 44% of nine-month 2026 revenue). Model names updated to the Nov 9, 2026 lineup (Anthropic pricing page). Schematic; box sizes carry no meaning.

SO WHAT

Everything runs on one model family

Over half of $100K+ customers use API plus an app

No revenue by product in the filing

Business model: mostly paid by the token

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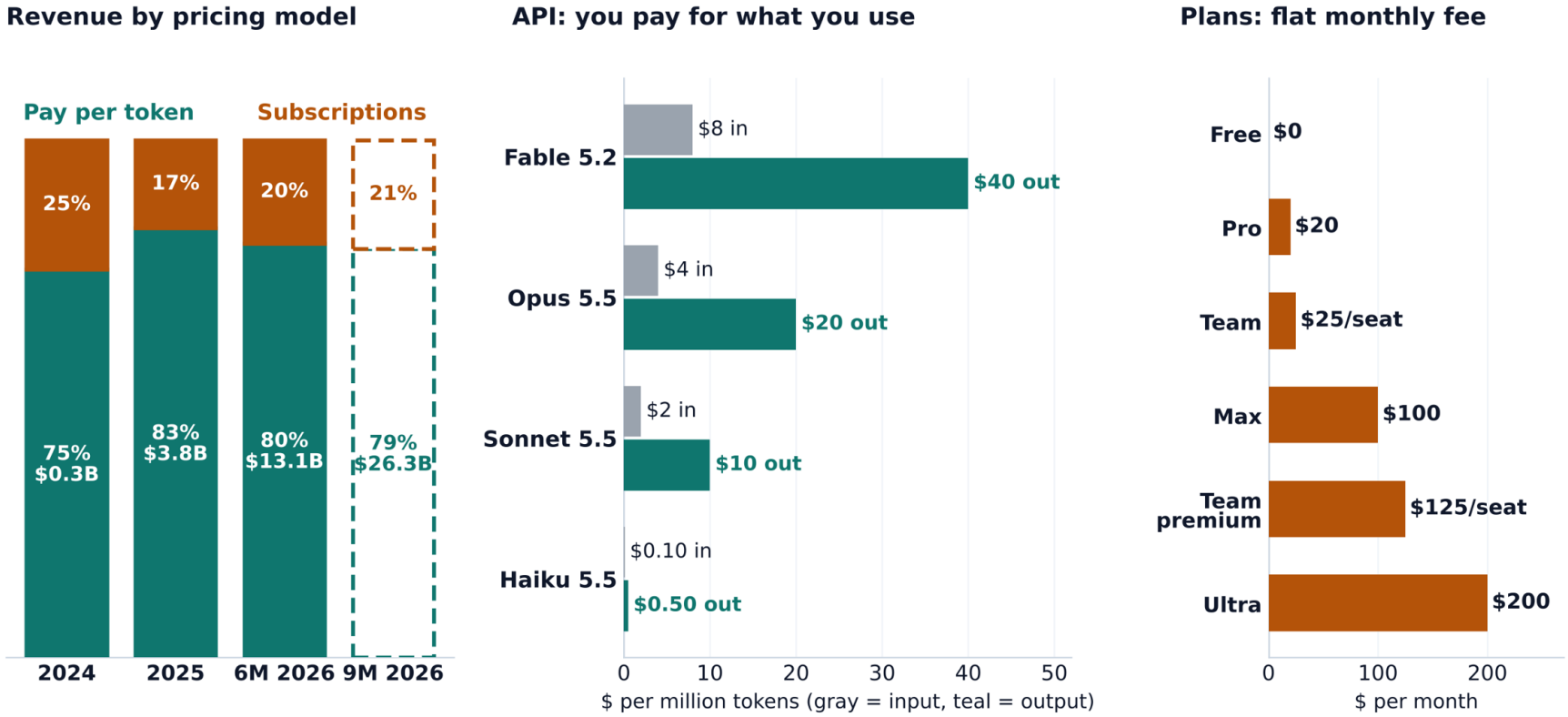
About 80% of revenue is pay-per-token; subscriptions are the rest

Left: revenue by pricing model. Middle: API list price per million tokens, current models. Right: Claude plans, $ per month



Source: Form S-1 (Oct 26, 2026) revenue disaggregation: consumption-based (usage, billed per token) vs subscription; 9M 2026 split from S-1/A No. 1 as summarised by sec-api.io (hollow). Prices: platform.claude.com/docs pricing page and claude.com/pricing, checked Nov 10, 2026. Batch API is 50% off; Haiku 5.5 price shown for prompts up to 100K tokens. Team = monthly billing per seat; Enterprise = $20/seat/month billed annually plus usage at API rates. A token is the smallest unit of text a model reads, about 3.5 English characters on earlier tokenizers (Anthropic glossary).

SO WHAT

A token ≈ a word fragment; customers pay per million

~80% of revenue scales with usage

Subscriptions: $20–$200 a month

Where the money goes: mostly compute

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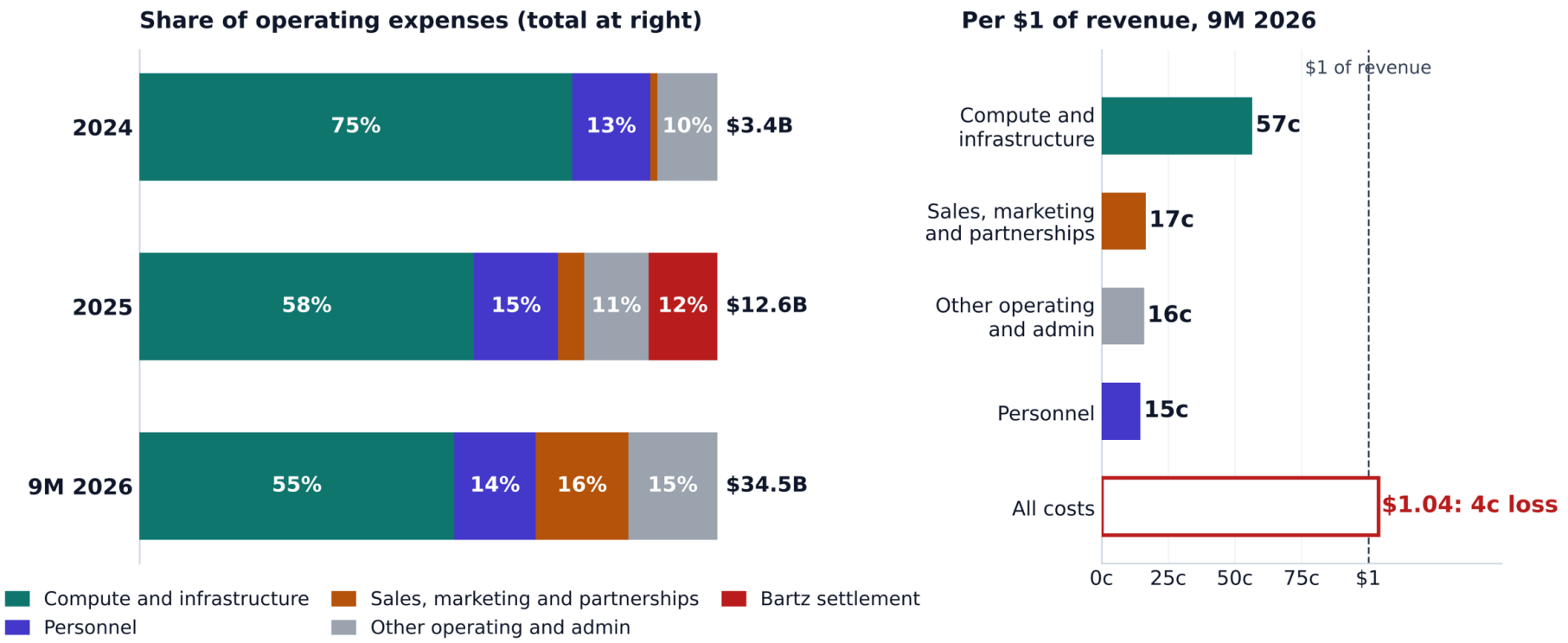
Compute takes 57 cents of every revenue dollar

Left: operating expenses by line, % of total. Right: first nine months of 2026, cents of cost per $1 of revenue



Source: Anthropic Form S-1/A, consolidated statements of operations (F-8). Lines as filed: compute and infrastructure; personnel; sales, marketing and partnerships; other operating and administrative; Bartz copyright settlement ($1.5B, 2025 only). The filing has no separate R&D or cost-of-revenue line. 9M 2026: revenue $33,242M; expenses $34,502M. Percentages and cents per dollar are ARC calculations.

SO WHAT

57¢ of each $1 goes to compute

Winning customers: 17¢, up from ~0 in 2024

Costs $1.04 per $1: near break-even

Acquisitions: small deals that deepen the product

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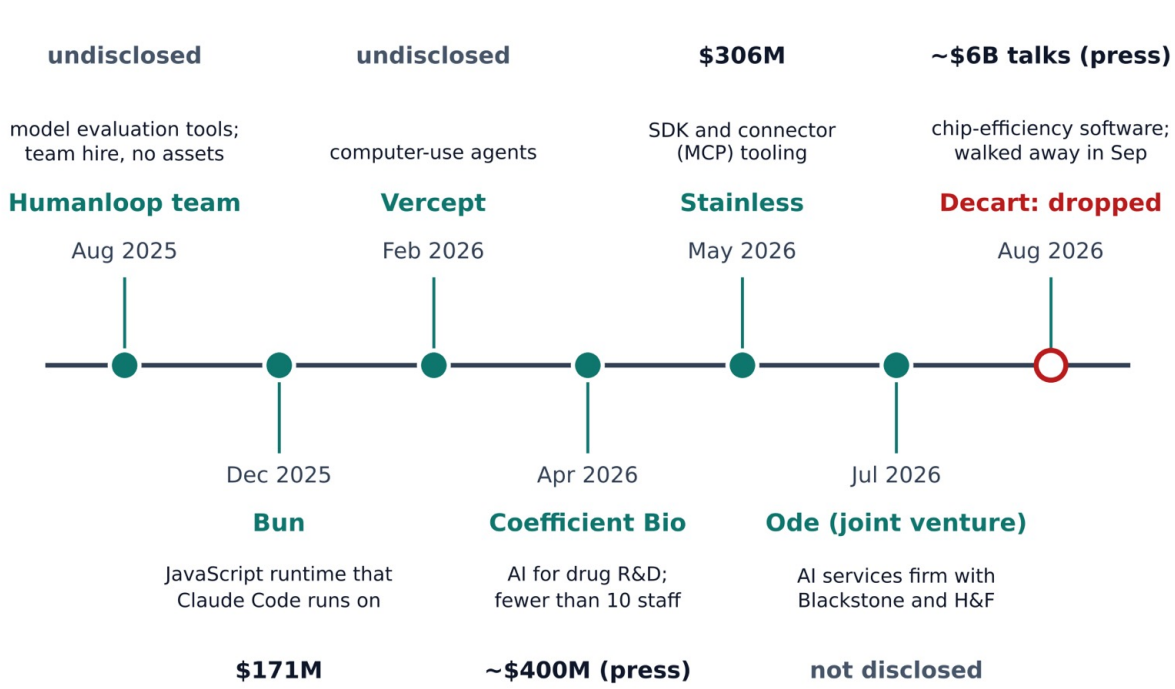
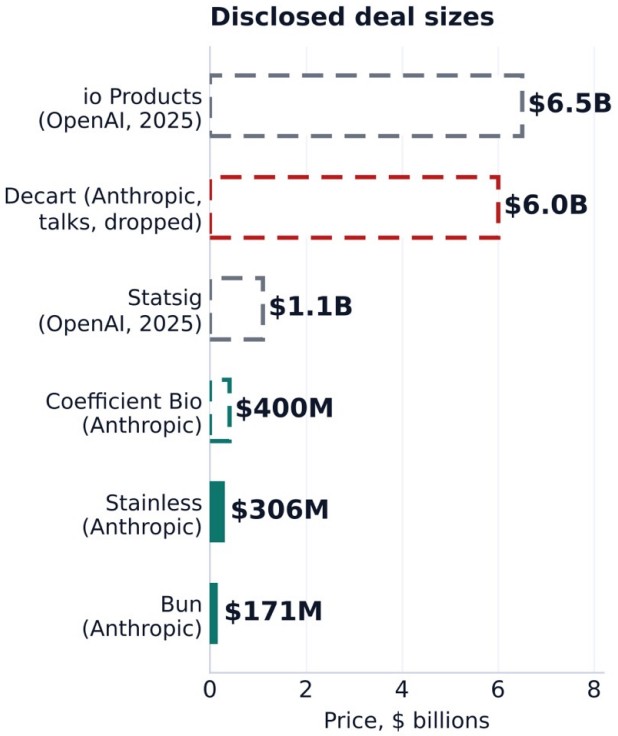
Six small deals in a year; the one big target, Decart at ~$6B, was dropped

Left: Anthropic's acquisitions and team hires by date. Right: disclosed prices beside OpenAI's two largest deals





Source: Anthropic Form S-1/A (Nov 2, 2026) for Bun ($171M) and Stainless ($306M) consideration and goodwill ($595M at Sep 30, 2026); The Information via The Next Web for Coefficient Bio ("just over $400M", all stock; the S-1/A gives 15.4M shares, no dollar value); TechCrunch for Vercept; Silicon Republic for Humanloop; Business Wire for Ode. OpenAI: PitchBook (io Products, $6.5B) and press reports (Statsig, $1.1B). Decart: Bloomberg (talks at ~$6B, Aug 13, 2026; walked away after due diligence, Sep 7, 2026). Hollow = press-reported price.

SO WHAT

Five buys and one joint venture in 12 months

Goodwill: $0 to $595M in 21 months

Walked away from Decart (~$6B) in Sep

The competitors: Fable 5.2 now leads the field

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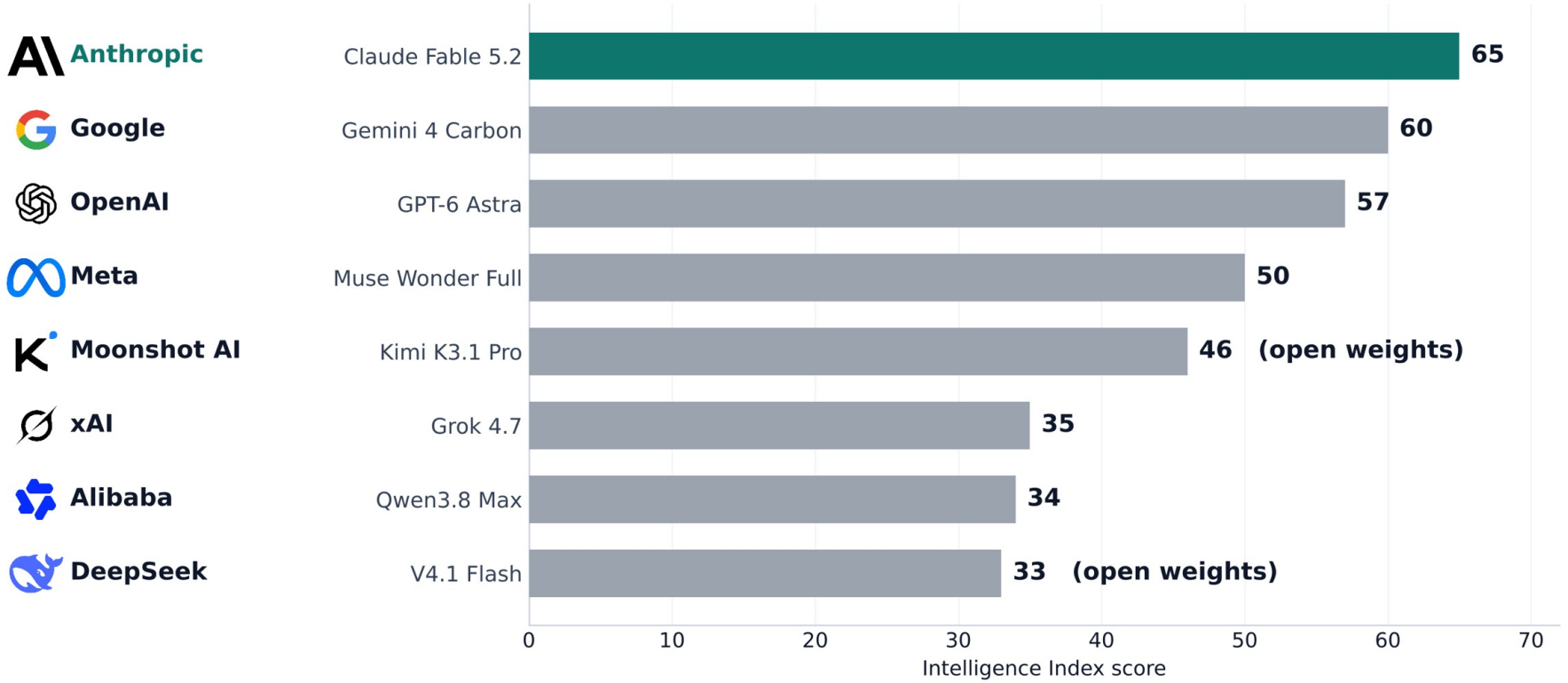
With Fable 5.2, Anthropic now has the top-scoring model

Each lab's best model on the Artificial Analysis Intelligence Index. Anthropic in teal; open-weight models marked



Source: Artificial Analysis Intelligence Index, models leaderboard, read Nov 10, 2026 (independently run; each lab's highest-scoring model at its best setting). "Open" = open-weight per the leaderboard. The S-1 names OpenAI and Google as Anthropic's primary frontier competitors and open-weight models as a growing category. Fable 5.2 (released Nov 9) is shown at its max setting; Opus 5.5 scores 59.

SO WHAT

S-1 names two: OpenAI and Google

Google is also investor and supplier

Open-weight models: the price threat

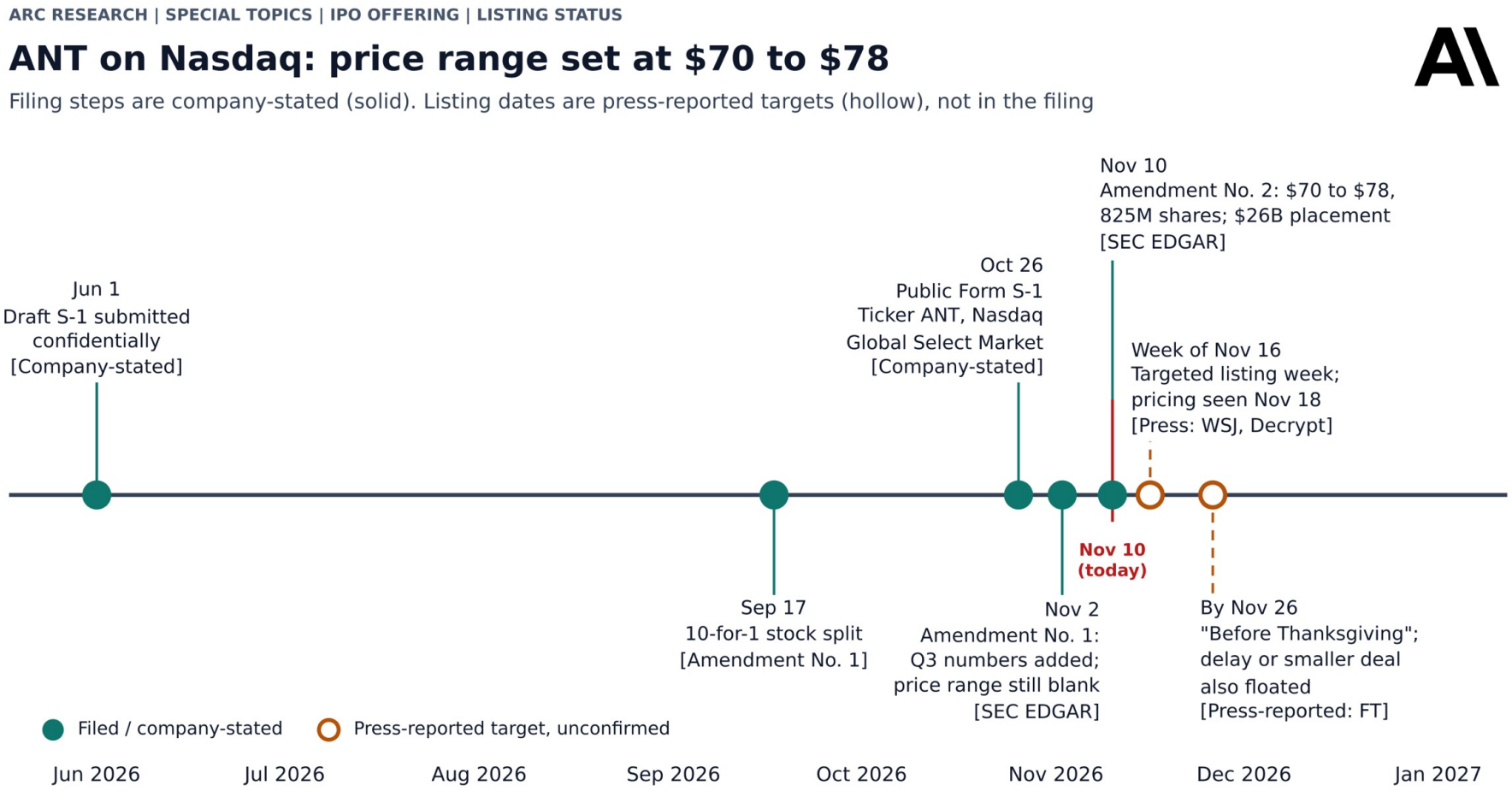
SECTION 2 OF 9

IPO offering

When Anthropic goes public, under what ticker, and how big the offering could be

16 ANT on Nasdaq: $70 to $78
17 From $2T talk to $1.4T
18 The underwriters and demand
19 Who is buying the $26B placement
20 Private valuation: $61.5B to $965B
21 Who backs Anthropic
22 Valuation against OpenAI
23 Size against the largest IPOs
24 Anthropic vs SpaceX
25 Against the largest IPOs
26 Market reaction to the filing

Ticker ANT, Nasdaq: $70 to $78 a share



Source: Anthropic news releases (Jun 1 and Oct 26, 2026); Form S-1 (Oct 26, 2026) and Amendment No. 1 (Nov 2, 2026), SEC EDGAR; WSJ via Investing.com (Oct 26); The Information via FinanceFeeds (Nov 9); FT via Financial News (Nov 9); Amendment No. 2 (Nov 10, 2026), SEC EDGAR; Decrypt (Nov 10) for the expected pricing date.

SO WHAT

Ticker: ANT, Nasdaq Global Select

Pricing expected Nov 18 (press)

825M shares offered; $26B placement alongside

From $2T talk to $1.4T: a 30% markdown

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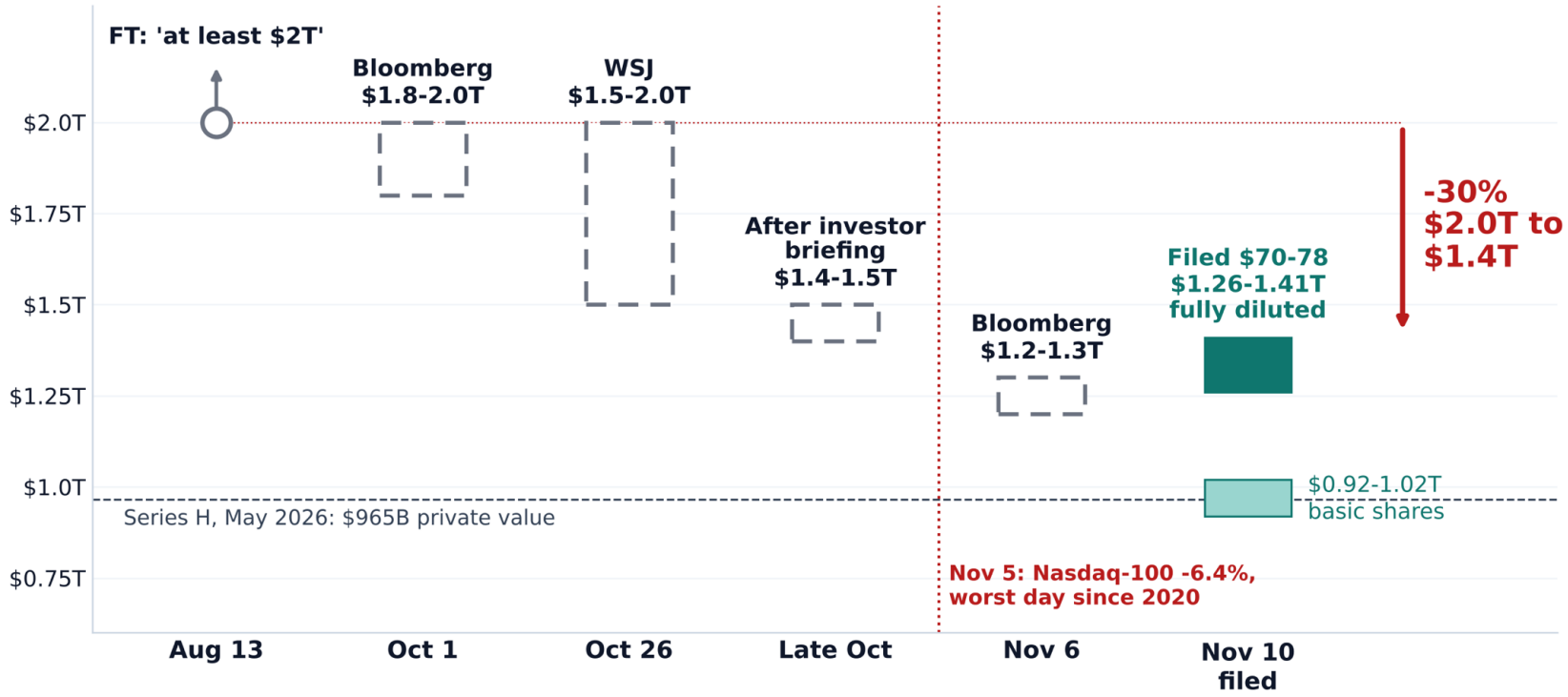
Valuation talk fell from about $2T to $1.4T in three months

Reported valuation ranges for the IPO, $ trillions. Hollow = press-reported talk; teal = filed price range of $70-78 (Nov 10). Dates in 2026, evenly spaced



Source: FT via PYMNTS (Aug 13, 2026: 'at least $2 trillion'); Bloomberg via Quartz/Yahoo (Oct 1: $1.8-2T); WSJ via Investing.com (Oct 26: $1.5-2T); Bloomberg via The Paypers and Forbes (late Oct, after investor briefing: $1.4-1.5T; Nov 6: $1.2-1.3T, some as low as $1.1T); Forbes (Nov 7): Nasdaq-100 -6.4% on Nov 5, worst day since 2020. Filed: Form S-1/A No. 2 (Nov 10) $70-78; fully diluted $1.26-1.41T (FT, TechCrunch, CNBC; press calculation); basic ~$0.92-1.02T (ARC: price x expected shares outstanding). Series H: $965B post-money (Anthropic, May 28, 2026). Late-Oct date approximate.

SO WHAT

Talk: ≥$2T in Aug–Oct

Filed today: up to $1.4T fully diluted (–30%)

Still ~1.0–1.5x the $965B Series H

22 banks sell the IPO, and demand may lift the price

LEAD BOOKRUNNERS

Goldman Sachs

Morgan Stanley
also stabilisation agent

20 MORE ON THE COVER

J.P. Morgan	Citigroup	Barclays	Wells Fargo	BofA Securities
Deutsche Bank	RBC Capital Markets	UBS	BMO	BNP Paribas
Crédit Agricole CIB	Jefferies	Mizuho	MUFG	Société Générale
TD Securities	BTIG	Cantor	Capital One	Macquarie

LATEST: DEMAND

Nov 10 · filed range

$70–78 a share

≈ $1.4T fully diluted at the top

Less than a day later · FT report

Bankers weigh a higher price after heavy investor demand

+$1 a share ≈ +$13B in value (basic shares)

Listing expected next week

Who is buying $26B of stock alongside the IPO

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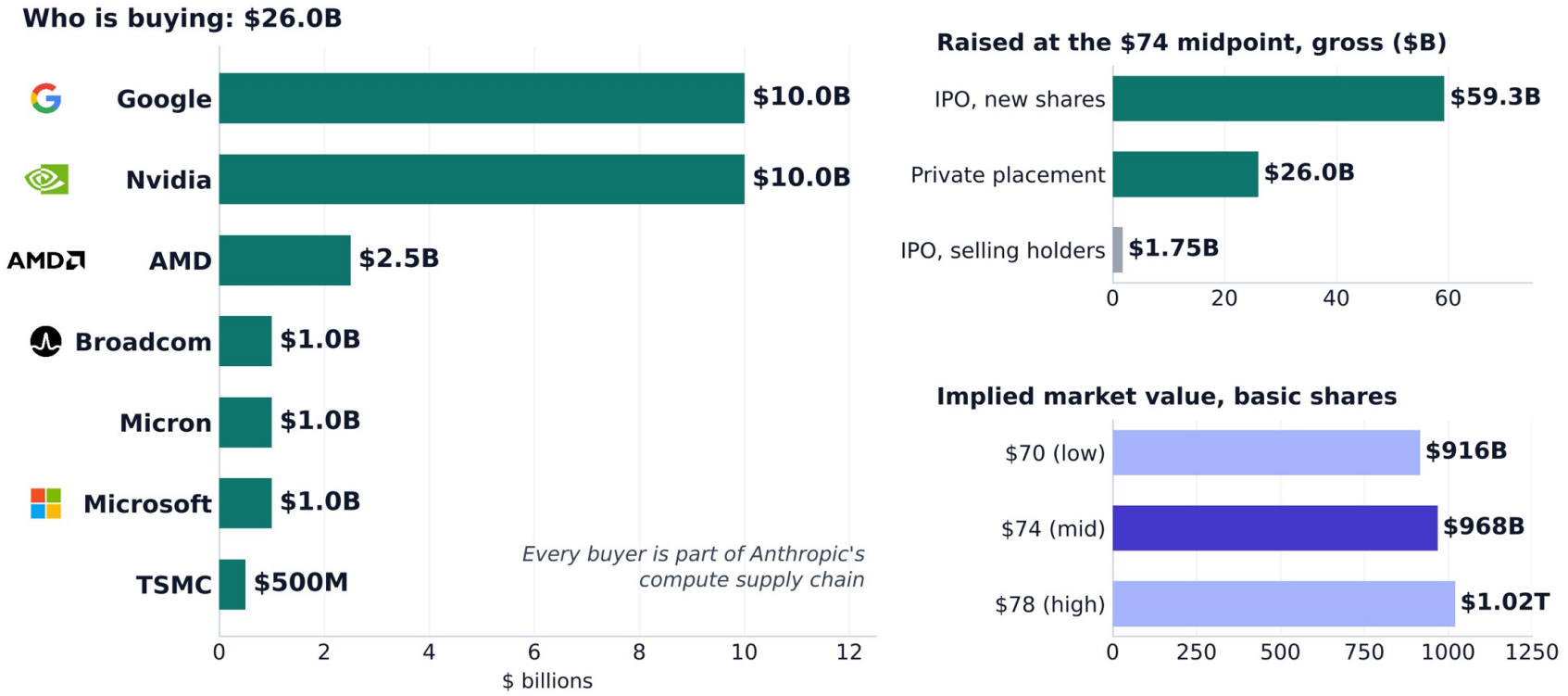
Its suppliers are buying $26B of stock alongside the IPO

Left: committed purchases of Class N shares at the IPO price. Right: money raised and implied value at the filed price range, $70 to $78



Source: Anthropic Form S-1/A, Amendment No. 2 (Nov 10, 2026): purchaser table, price range $70.00 to $78.00, 801,351,354 new and 23,648,646 selling-holder Class A shares, 13,086,672,593 shares outstanding after the offering. Gross amounts = shares x $74 midpoint, ours (the filing's net proceeds figure for offering plus placement is about $84.6B). Implied value = shares outstanding x price, ours; excludes options, RSUs and the underwriters' option. Purchasers are bound severally, conditional on the IPO closing; placement shares are not subject to the IPO lock-up.

SO WHAT

$26B committed, half from Google and Nvidia

$85B net to Anthropic at midpoint

Buyers are suppliers; shares carry no lock-up

Private value: $61.5B to $965B in 15 months

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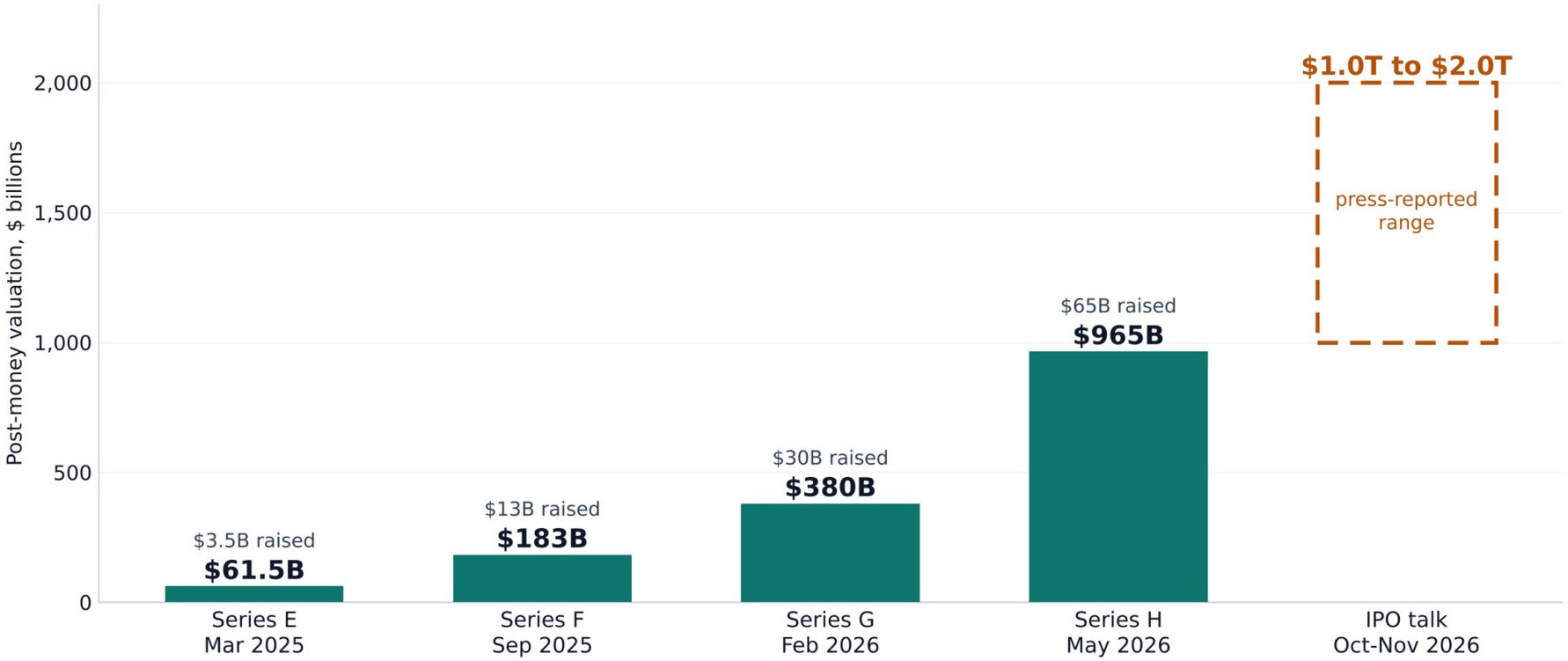
Post-money valuation rose 16x in 15 months of private rounds

Each round's post-money valuation, with the amount raised. IPO talk is a press-reported range, not a filing number



Source: Anthropic announcements for Series E (Mar 3, 2025), F (Sep 2, 2025), G (Feb 12, 2026) and H (May 28, 2026). 965 / 61.5 = 15.7x, ours. IPO range (hollow): press-reported talk from WSJ, FT, Bloomberg and Forbes, Oct 26 to Nov 9, 2026, low about $1.0T, high $2.0T. The S-1 states no valuation.

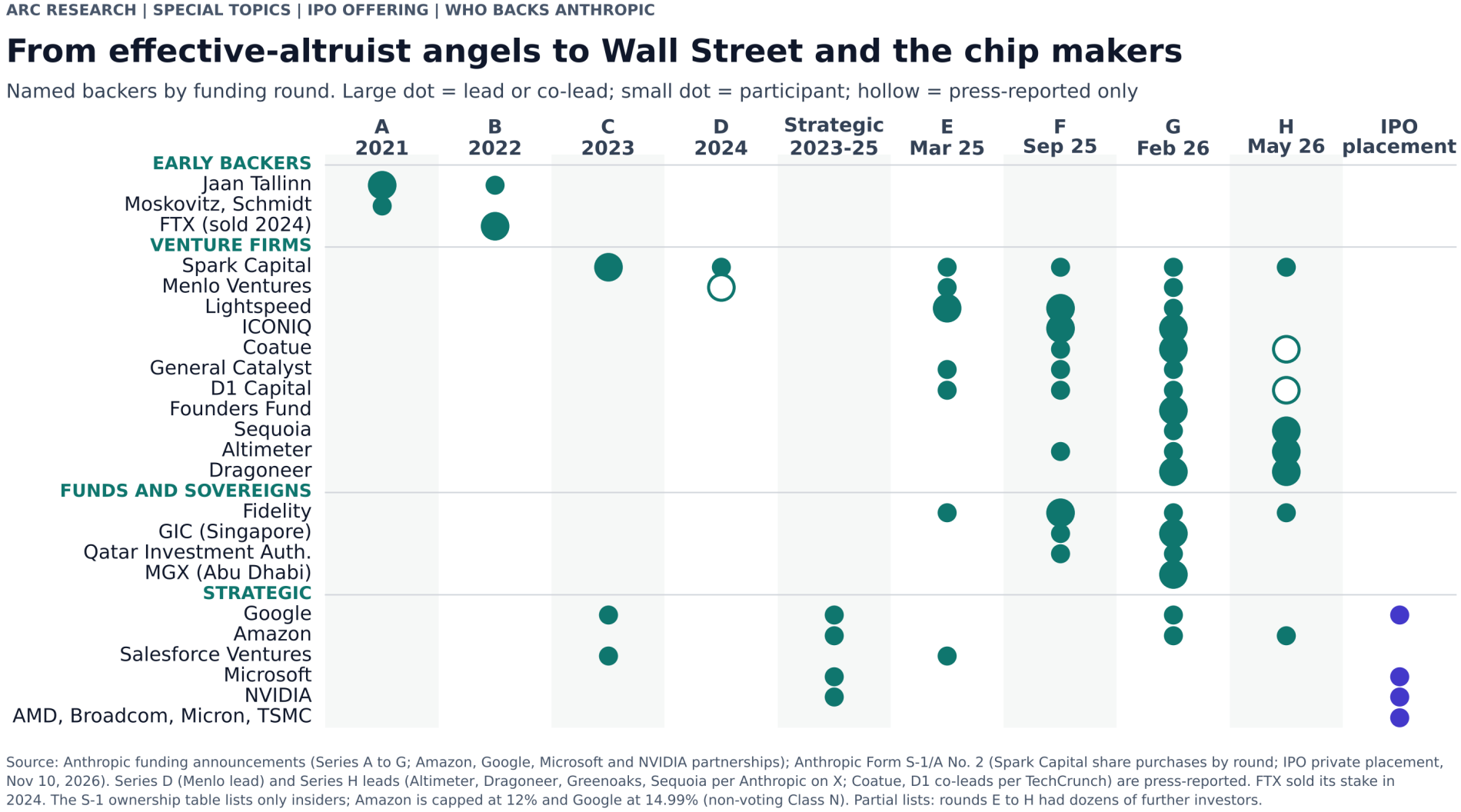
SO WHAT

16x in four rounds

$141B of capital raised to date

IPO: up to $1.4T, down from $2T talk

Who backs Anthropic: VCs, sovereigns and suppliers



Source: Anthropic funding announcements (Series A to G; Amazon, Google, Microsoft and NVIDIA partnerships); Anthropic Form S-1/A No. 2 (Spark Capital share purchases by round; IPO private placement, Nov 10, 2026). Series D (Menlo lead) and Series H leads (Altimeter, Dragoneer, Greenoaks, Sequoia per Anthropic on X; Coatue, D1 co-leads per TechCrunch) are press-reported. FTX sold its stake in 2024. The S-1 ownership table lists only insiders; Amazon is capped at 12% and Google at 14.99% (non-voting Class N). Partial lists: rounds E to H had dozens of further investors.

Valuation: Anthropic caught OpenAI in 15 months

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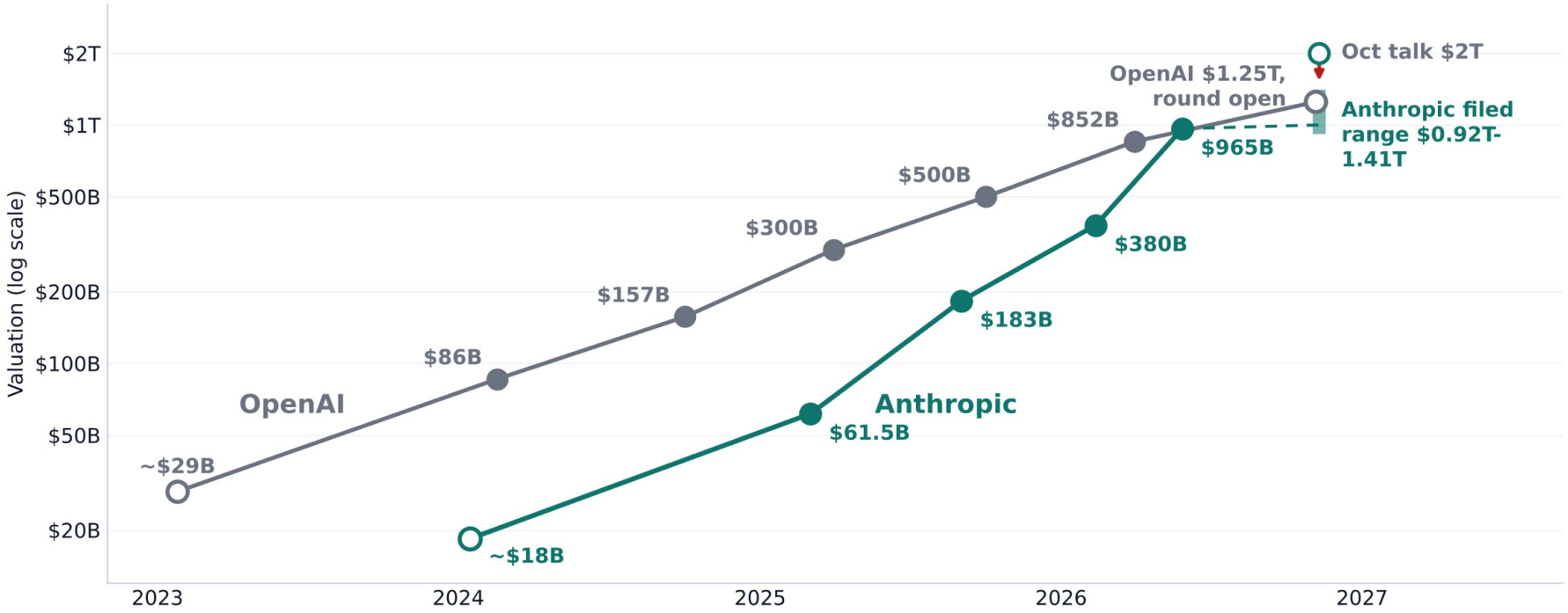
Anthropic closed a five-fold valuation gap with OpenAI in 15 months

Valuation at each priced round or share sale, log scale. Filled = closed round or tender; hollow = press estimate or talks not closed



Source: Anthropic announcements (Series E, F, G) and TechCrunch (Series H, May 28, 2026); Series D estimate via Bloomberg/The Information (Dec 2023). OpenAI: NYT (Jan 2023), Bloomberg (Feb 2024 tender), Fortune (Oct 2024), SiliconANGLE (Mar 2025), Reuters (Oct 2025 secondary), TechCrunch (Mar 2026; Nov 6, 2026 partial close at $1.25T, round not closed). Anthropic IPO: filed $70-78 (S-1/A No. 2, Nov 10, 2026) = $0.92T basic to $1.41T fully diluted (ARC calc / press); $2T = Oct 2026 talk (Bloomberg). 300 / 61.5 = 4.9x, ours.

SO WHAT

Mar 2025: OpenAI was 4.9x larger

May 2026: $965B vs OpenAI's $852B

OpenAI's $1.25T round is not closed

At the filed range: second only to SpaceX

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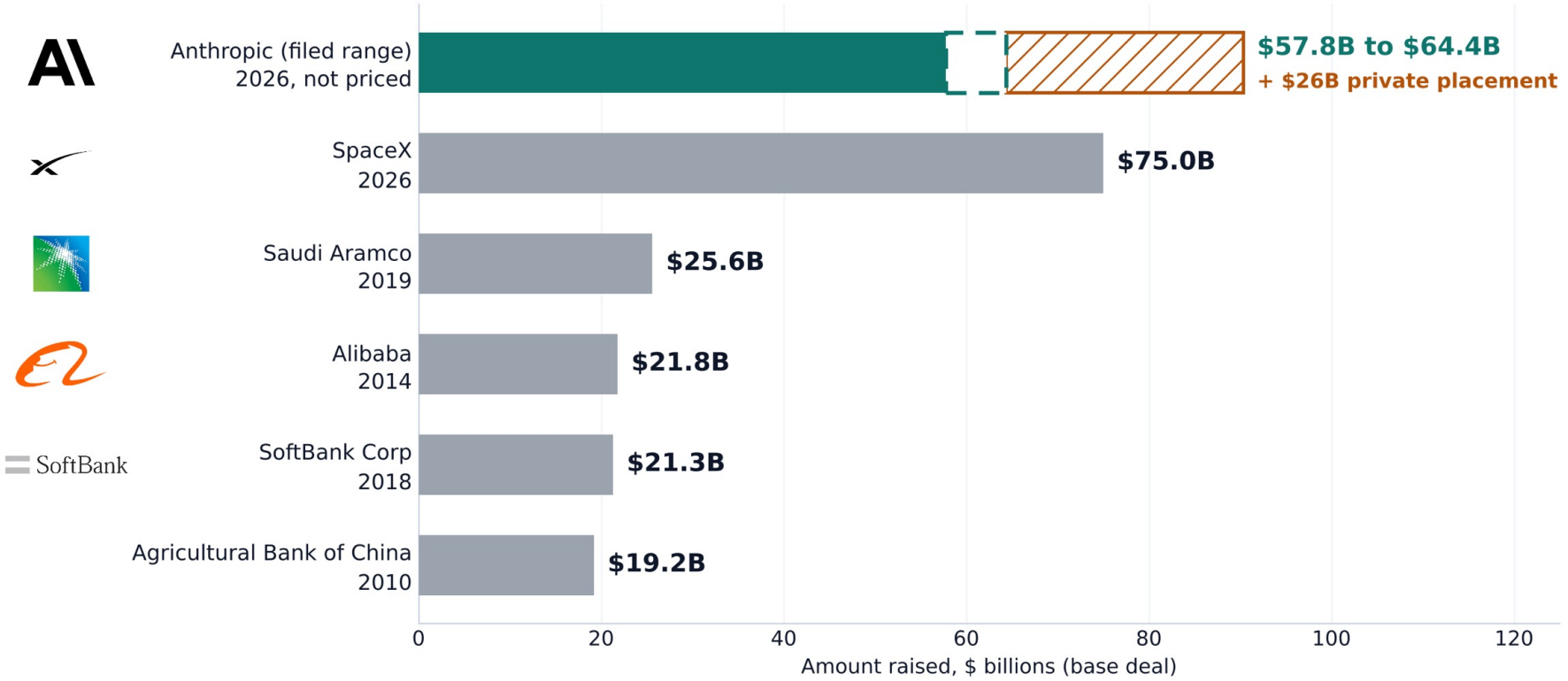
At the filed range, ANT would be the second-largest IPO, after SpaceX

Base-deal proceeds at pricing, before any over-allotment. Anthropic: 825M shares at the filed $70 to $78 range, plus the separate $26B placement



Source: Dealroom (citing Renaissance Capital and Bloomberg) and Fox Business for completed IPOs, base deal before over-allotment; SpaceX priced Jun 11, 2026 at $135 x 555.6M shares. Anthropic: Form S-1/A No. 2 (Nov 10, 2026), 825,000,000 Class A shares (801.4M new, 23.6M selling holders) x $70 to $78 = $57.8B to $64.4B, ours; concurrent private placement $26.0B is not part of the IPO. Not yet priced.

SO WHAT

Filed: $57.8B–$64.4B, plus a $26B placement

SpaceX set the record in June: $75B

With the placement: $84B–$90B raised

Anthropic vs SpaceX: more revenue, far less capex

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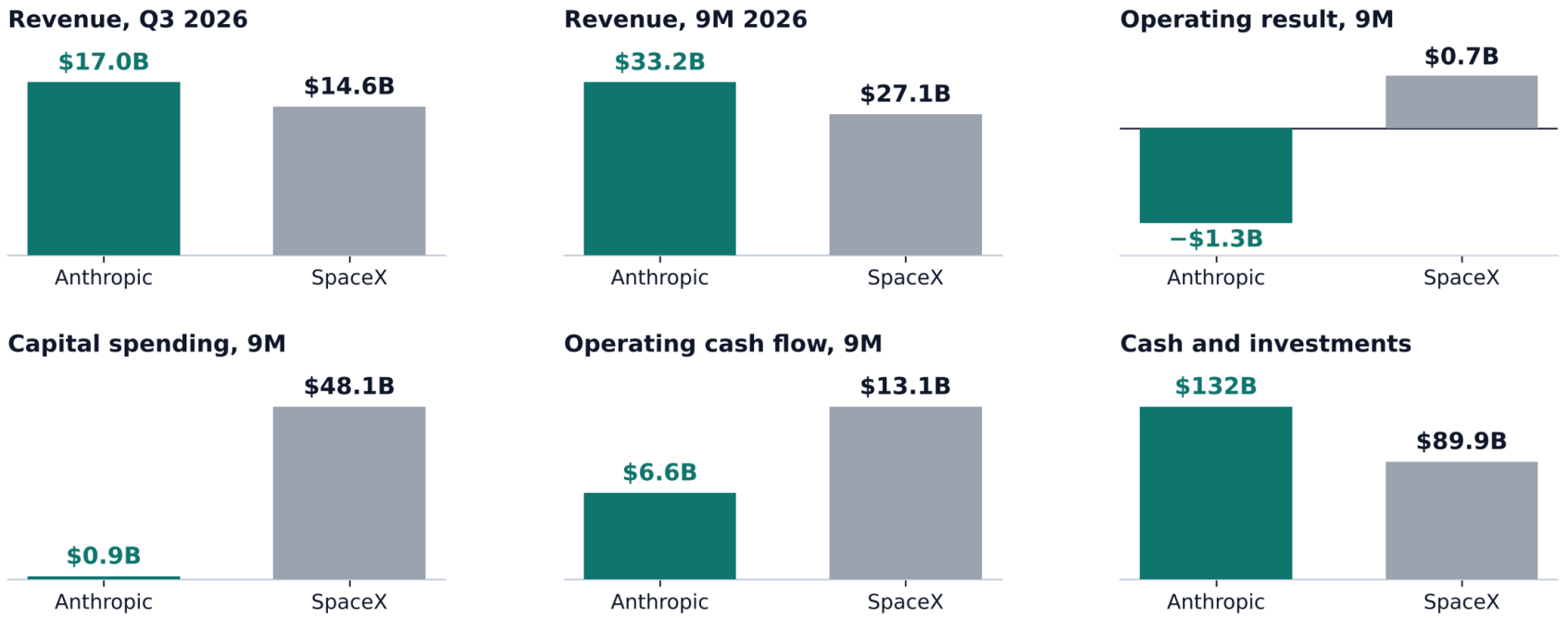
Anthropic now out-sells SpaceX, with a fraction of its capex

Nine months to Sep 30, 2026 unless stated, $ billions. Anthropic in teal, SpaceX in gray



Source: Anthropic Form S-1/A (Nov 2026). SpaceX: Q3 2026 results and FY2025 figures as summarised by sec-api.io and press (not read from SpaceX filings directly); SpaceX 9M revenue, operating income and free cash flow derived by sec-api or ARC. Anthropic cash = cash and short-term investments $131.8B (cash and equivalents $95.6B); SpaceX cash = cash $51.3B + securities $38.6B, against $38.8B of debt. SpaceX owns 1.7 GW of AI compute (Sep 30); Anthropic rents its compute.

SO WHAT

Q3 revenue: $17.0B vs SpaceX's $14.6B

Capex: $0.9B vs $48.1B in 9 months

SpaceX owns its compute; ANT rents

Against the largest IPOs: priced on growth

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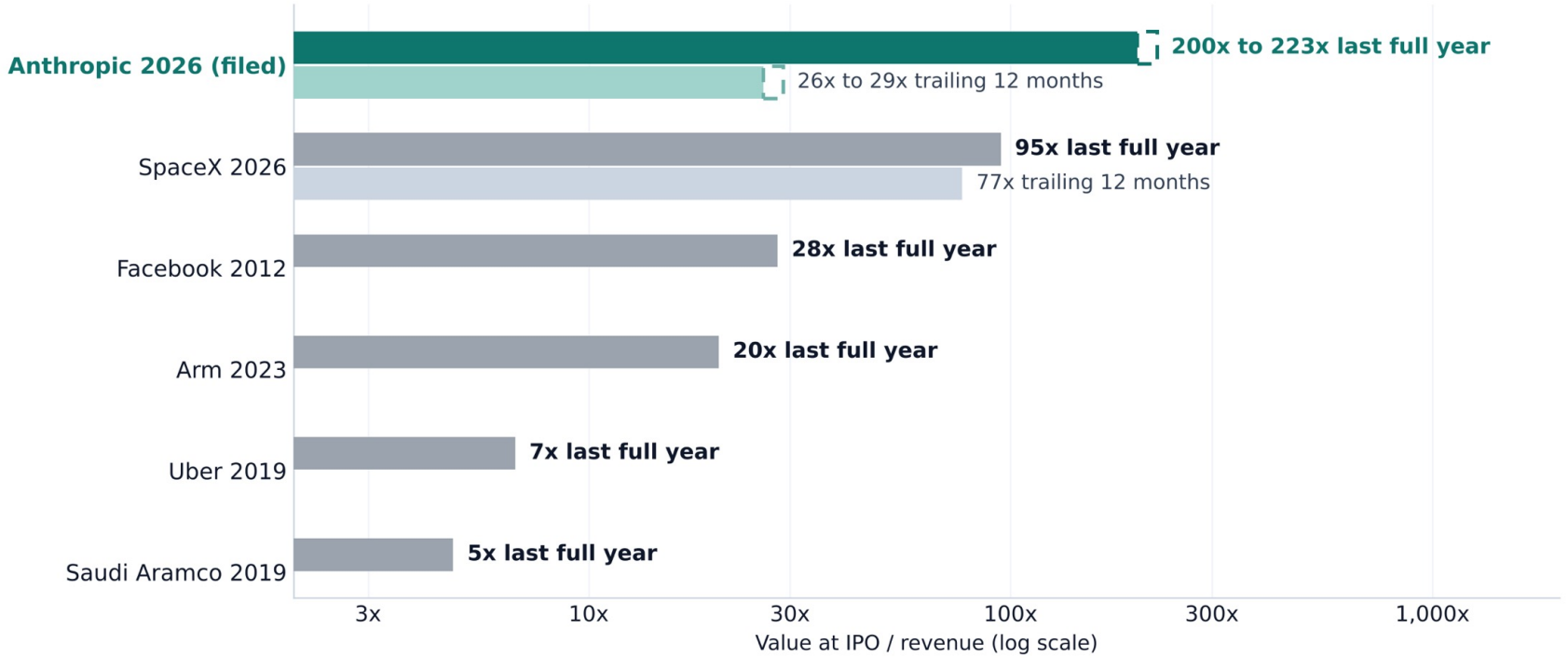
At the filed range, ANT is priced on growth like no large IPO before it

Value at IPO divided by revenue. Teal: last full year before IPO; light: trailing twelve months at IPO (where known). Hollow = range



Source: Anthropic Form S-1/A No. 2 ($70 to $78 x 13.09B basic shares = $916B to $1.02T; 2025 revenue $4.585B; TTM to Sep 30, 2026 $35.3B). SpaceX: $1.77T at $135 (Wikipedia); 2025 revenue $18.67B; TTM to Jun 30, 2026 $23.04B (sec-api.io). Facebook 2012 $104B / $3.71B; Arm 2023 ~$54.5B / $2.68B; Uber 2019 ~$75.5B / $11.27B; Saudi Aramco 2019 ~$1.7T / ~$356B (press and Wikipedia). All ratios ours. Alibaba and Rivian omitted: IPO valuation not confirmed.

SO WHAT

200x+ on 2025 revenue: the highest here

26x-29x on the last 12 months

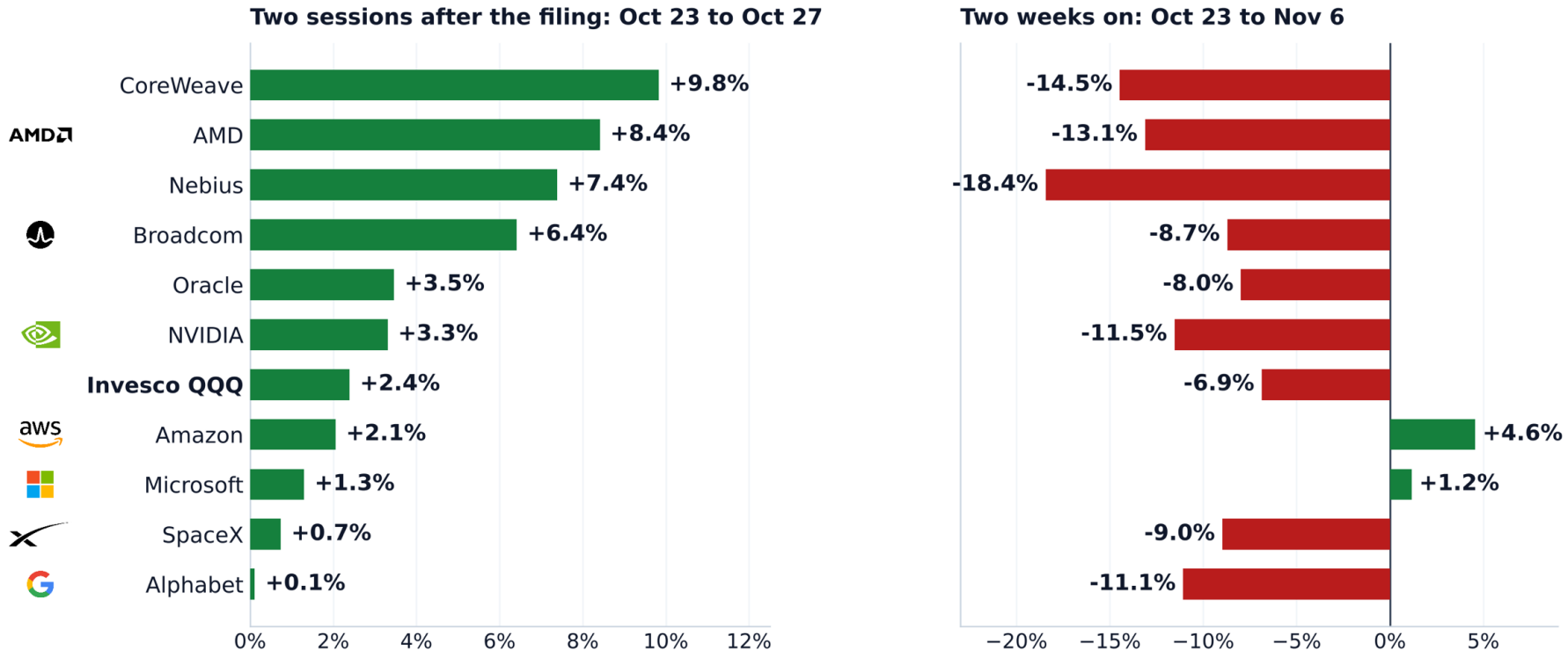
On trailing revenue: below SpaceX's 77x

Market reaction: a two-day rally, then a rout

ARC RESEARCH | SPECIAL TOPICS | IPO OFFERING | MARKET REACTION

AI suppliers rallied for two days on the S-1, then gave it all back

Share-price change from the close before the filing (Fri Oct 23): to Oct 27 (left) and to Nov 6 (right). Invesco QQQ as the market yardstick



Source: daily closing prices from StockAnalysis.com price-history pages, read Nov 9, 2026; percent changes are ours: (later close / Oct 23 close - 1) x 100. Anthropic filed its S-1 on Mon Oct 26 and Amendment No. 1 on Mon Nov 2. Press attributed the Oct 26 gains to the filing (Reuters, Motley Fool) and the Nov 5 sell-off to the US midterm results and data-center fears (Reuters via RTE), not to Anthropic. Alphabet's fall mostly followed its own Oct 29 earnings.

SO WHAT

Filing day: AI suppliers led the rally

Nov 5 rout: midterms, not the S-1

IPO talk: $2T down to $1.2T–$1.3T

SECTION 3 OF 9

P&L

Why the headline loss is mostly accounting, and what the business actually earns

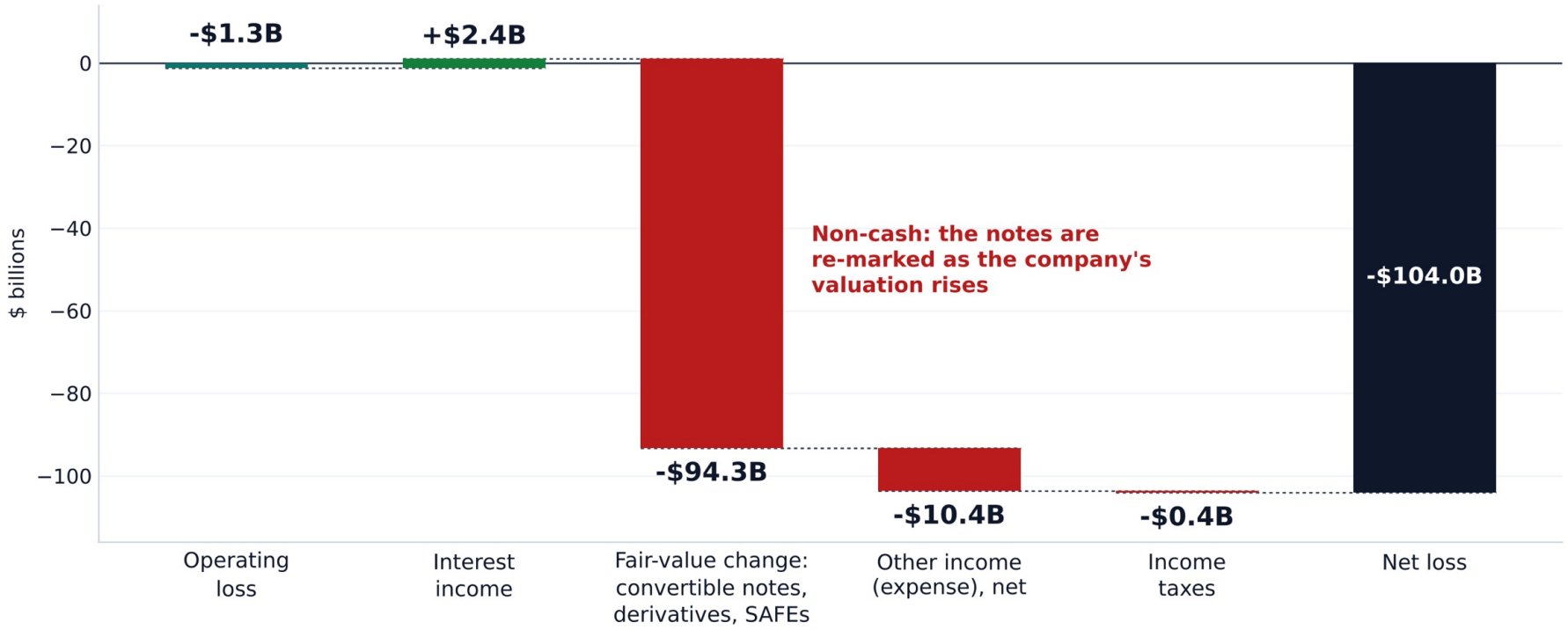
28 Bridge: operating loss to net loss
29 Revenue vs the compute bill
30 Reliance on enterprise spending
31 Large customers vs software peers
32 Top customers, last year and this
33 Cash flow and the balance sheet
34 Cash against peers

The $104B net loss is 91% accounting

ARC RESEARCH | SPECIAL TOPICS | P&L | LOSS BRIDGE

A $1.3B operating loss becomes a $104.0B net loss below the line

Nine months to Sep 30, 2026. Re-marking convertible notes to a higher valuation is $94.3B of it, and non-cash



Source: Anthropic Form S-1/A (Nov 2, 2026), consolidated statement of operations, nine months ended Sep 30, 2026 (unaudited), $ millions as reported, shown in $ billions. Check: (1,260) + 2,359 - 94,324 - 10,397 - 417 = (104,039). "Fair-value change" = change in fair value of convertible notes, derivative liabilities and SAFEs.

SO WHAT

$94.3B: notes re-marked, non-cash

The charge ends when notes convert

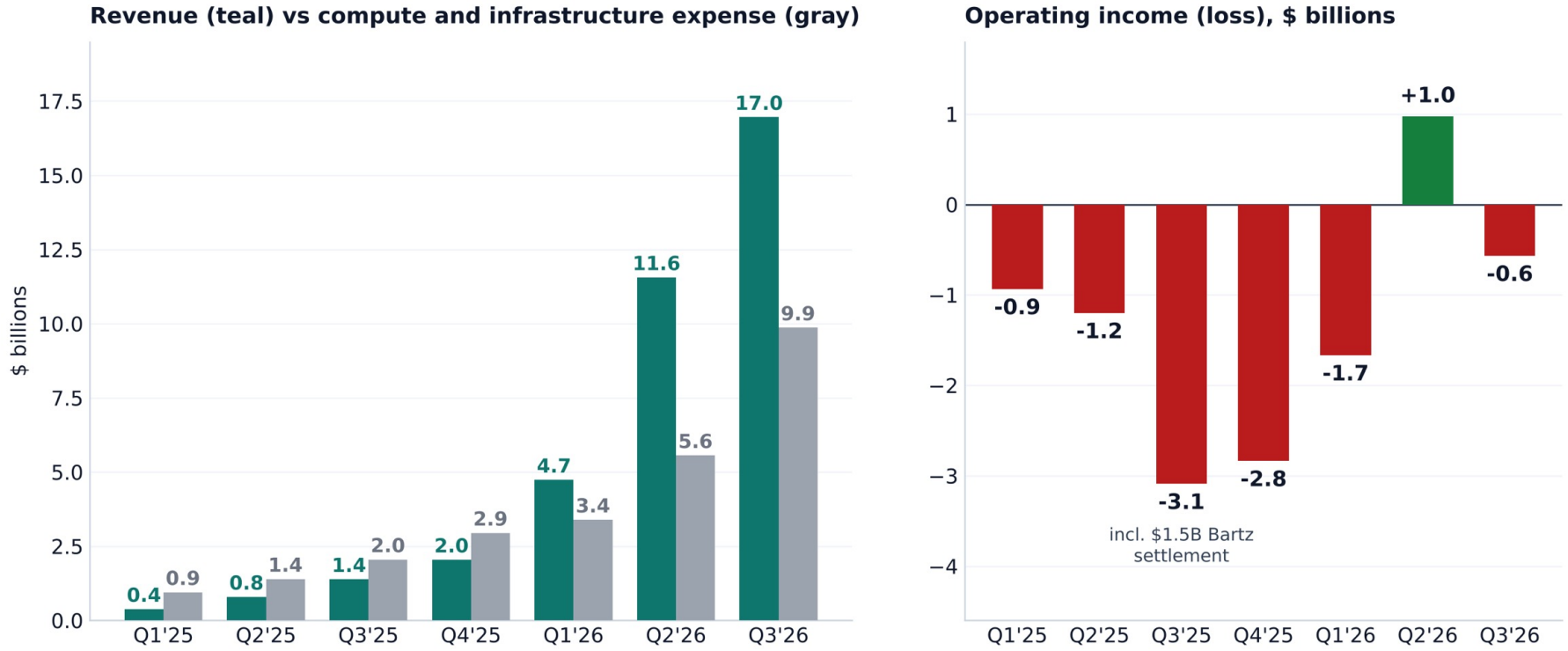
Judge it on the operating line

Revenue has outrun the compute bill

ARC RESEARCH | SPECIAL TOPICS | P&L | OPERATING LINE

Revenue overtook the compute bill in 2026; operating profit is not yet steady

Compute and infrastructure fell from 160% of revenue in 2025 to 57% in nine months of 2026, as stated in the filing



Source: Anthropic Form S-1/A (Amendment No. 1, Nov 2, 2026), quarterly results of operations, $ millions as reported, shown in $ billions; quarters unaudited. Operating income (loss) is GAAP. Q3 2026 includes $3.6B of "other operating and administrative" expense, up from $1.0B in Q2 2026.

SO WHAT

Compute: 160% of revenue to 57%

First operating profit: Q2 2026

Q3 slipped back to a $0.6B loss

Enterprise reliance: 74% from 11,900 customers

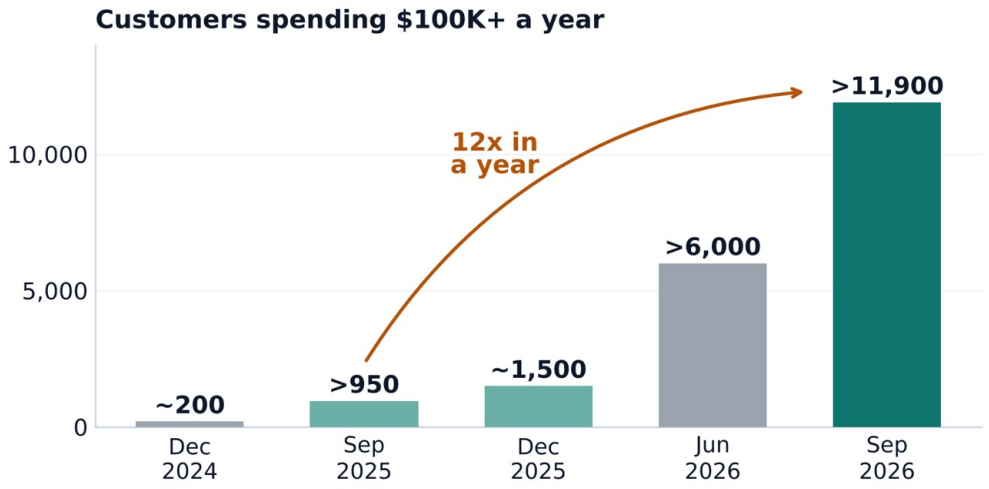
ARC RESEARCH | SPECIAL TOPICS | P&L | RELIANCE ON ENTERPRISE SPENDING

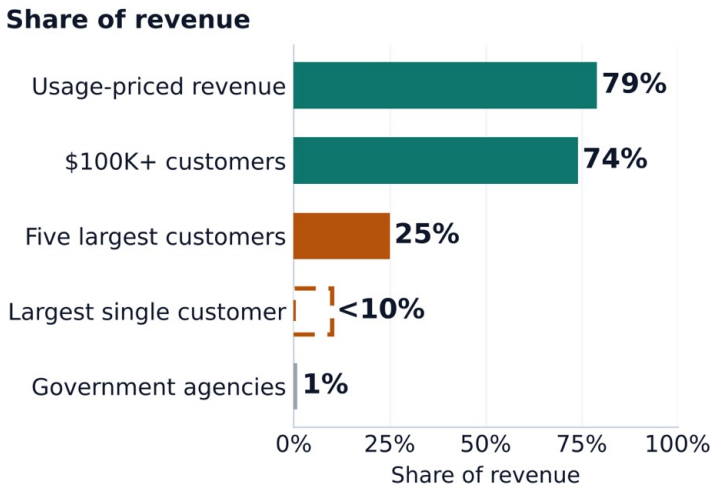
About 11,900 large customers supply three-quarters of revenue

Top: revenue by customer size, twelve months to Sep 30, 2026. Bottom: how many large customers, and share of revenue by group

Customers spending $100K+ a year: 74% of revenue ($26.1B)
more than 11,900 customers

Everyone else: 26% ($9.2B)
about 40 million customers





Source: Anthropic Form S-1 (Oct 26, 2026) and S-1/A (Nov 2, 2026). $100K+ customers: $26.1B, 74% of trailing-twelve-month revenue (amendment figure read via sec-api.io; the original filing gives $12.0B, 74%, for the first half of 2026). Smaller customers = remainder, ours (35.3 less 26.1). Top five, largest customer, consumption and government shares: nine months to Sep 30, 2026. Customer counts: S-1, company-stated ('about' or 'more than'). A $100K+ customer is any business above that spend, startups included; the filing gives no percentage for 'enterprise'.

SO WHAT

$100K+ customers: >950 a year ago, >11,900 now

Top five customers: about 25%

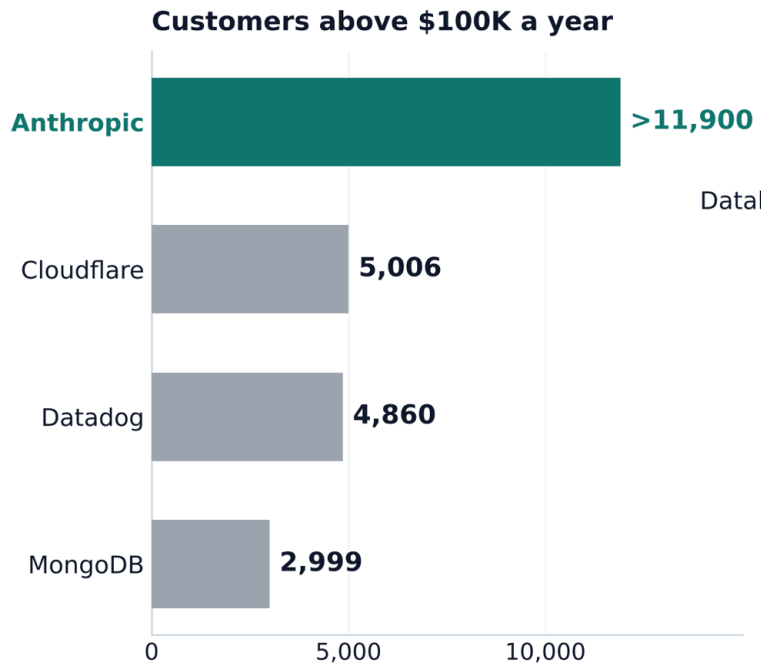
79% is usage-priced, not contracted

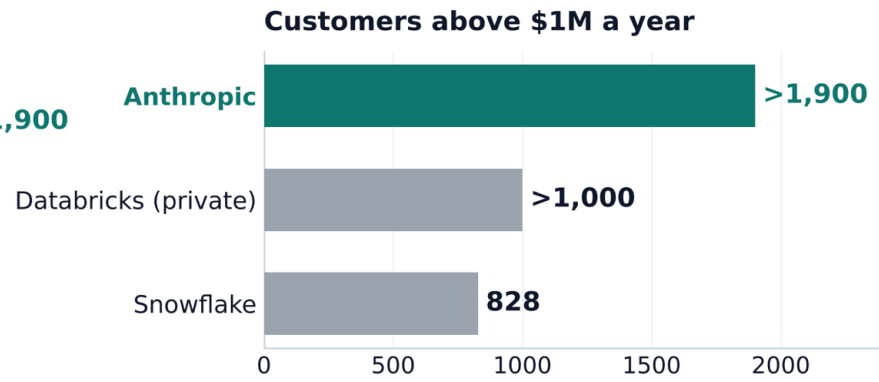
Large customers: more than the software peers

ARC RESEARCH | SPECIAL TOPICS | P&L | LARGE CUSTOMERS AGAINST SOFTWARE PEERS

More large customers than the software peers shown

Count of customers above each spending level, latest quarter. Thresholds differ: TTM revenue, ARR or run-rate (see footer)





~$2.2M a year per $100K+ customer
$26.1B / 11,900, ours

Top tier: ~250 customers above $10M, vs >100 at Databricks; Palantir's 20 largest average $146M a year

Source: Anthropic Form S-1/A (Sep 30, 2026; trailing-twelve-month revenue; 'more than'). Cloudflare 10-Q (Sep 30, 2026; annualized revenue). Datadog 10-Q (Sep 30, 2026; ARR; $100K+ = 91% of ARR). MongoDB (Jul 31, 2026; ARR). Snowflake (Jul 31, 2026; trailing-twelve-month product revenue). Databricks company release (Aug 13, 2026; run-rate; private). Palantir 10-Q (Sep 30, 2026): 1,090 customers in total; top-20 average $146M. Revenue per $100K+ customer = $26.1B / 11,900, ours; an upper bound because the count is 'more than'.

SO WHAT

~$2.2M a year per $100K+ customer

>1,900 customers above $1M; Snowflake: 828

Thresholds differ: TTM, ARR, run-rate

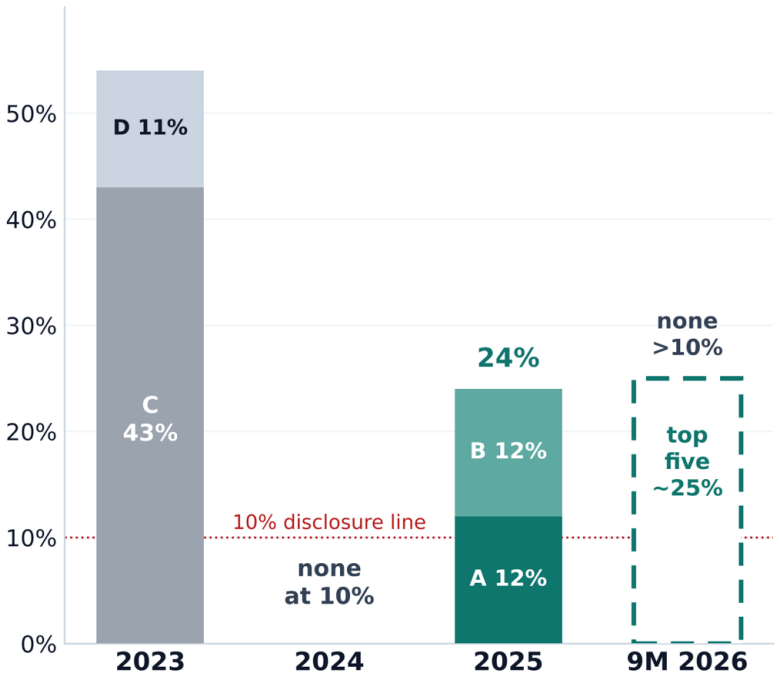
Top customers: from two big buyers to a broad base

ARC RESEARCH | SPECIAL TOPICS | P&L | TOP CUSTOMERS

Two customers were a quarter of 2025 revenue; in 2026 no one tops 10%

Left: share of revenue from the largest customers the filing discloses (unnamed). Right: who they are likely to be, and by industry

Largest customers, % of revenue



WHO THEY ARE

2025: A and B — AI coding / developer tools

Likely Cursor and GitHub Copilot (press, unconfirmed)

2026: top five — not disclosed

~25% of revenue together; none above 10%; not named

Cloud giants — cloud / tech

Amazon, Google, Microsoft: buy for own use; resell Claude (44% of sales)

Partners — consulting, enterprise software

Accenture, Deloitte, KPMG, PwC; Salesforce, Snowflake (spend not given)

BY INDUSTRY (adoption, not revenue)

Fortune 10	Top 10 banks	Top 10 pharma	Top 10 chip cos.
all 10	10 of 10	9 of 10	9 of 10

Source: Anthropic Form S-1/A No. 1 (Nov 2, 2026), concentration notes and risk factors: Customers C and D 43% and 11% (FY2023); none at 10% (FY2024); A and B 12% each (FY2025); no customer above 10% and top five about 25% (9M 2026). The filing names no customer. Cursor and GitHub Copilot as A and B: press inference (VentureBeat Aug 8, 2025: ~$1.2B, 'nearly a quarter' of run-rate; Reuters via OfficeChai Sep 29, 2026), unconfirmed. Amazon, Google and Microsoft buy for internal use (filing; spend not given). Industry adoption counts: secondary summaries of the S-1, not verified in the filing text. The filing gives no revenue split by industry.

SO WHAT

2025: two customers = 24% of revenue

2026: none above 10%; top five ~25%

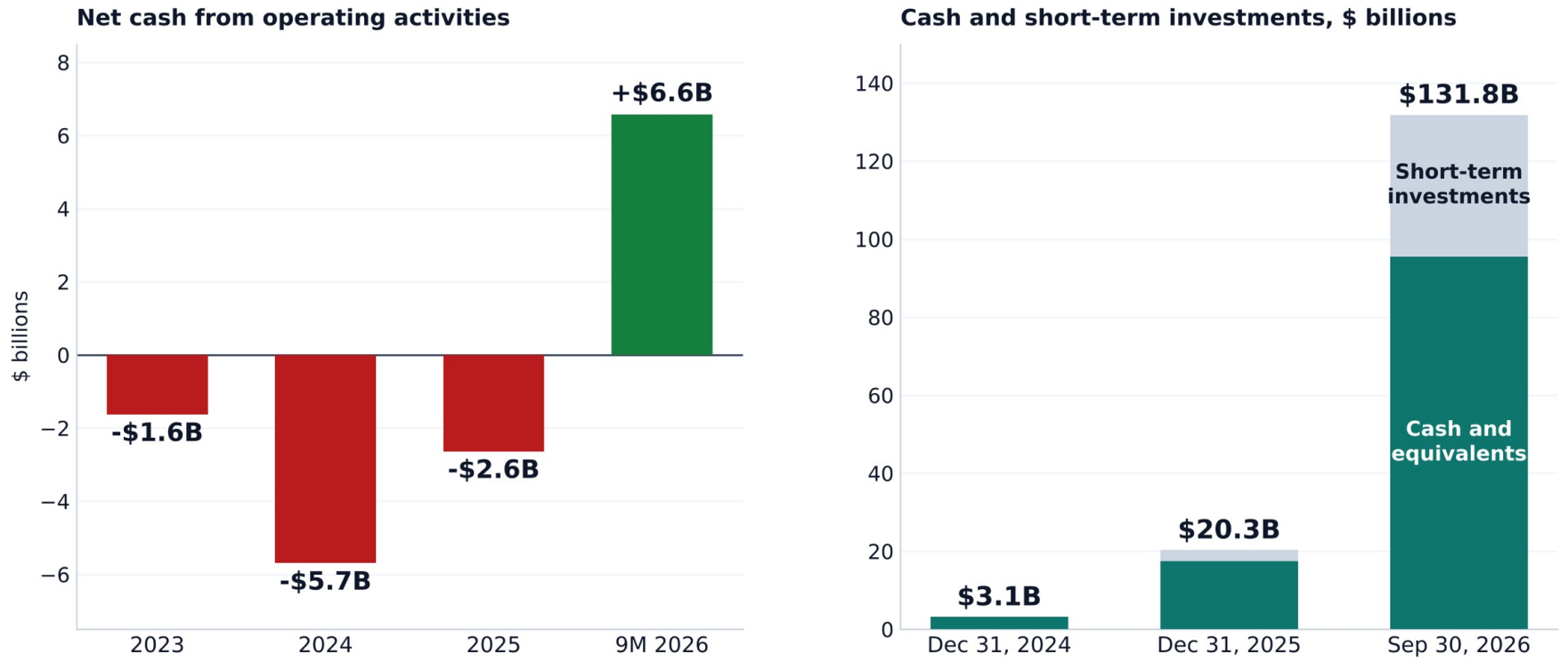
Coding first, now banks, pharma, chips

Cash-positive operations and $132B in the bank

ARC RESEARCH | SPECIAL TOPICS | P&L | CASH

Operations turned cash-positive, and the balance sheet holds $131.8B

Operating cash flow by period (left) and cash plus short-term investments at period end (right)



Source: Anthropic Form S-1/A (Amendment No. 1, Nov 2, 2026), consolidated statements of cash flows and balance sheets; 2026 figures unaudited. Cash and short-term investments at Sep 30, 2026 = $95.6B cash and equivalents + $36.3B short-term investments. $110.4B of preferred stock was issued for cash in the nine months.

SO WHAT

Operating cash flow: +$6.6B

$110B raised from investors in 9M

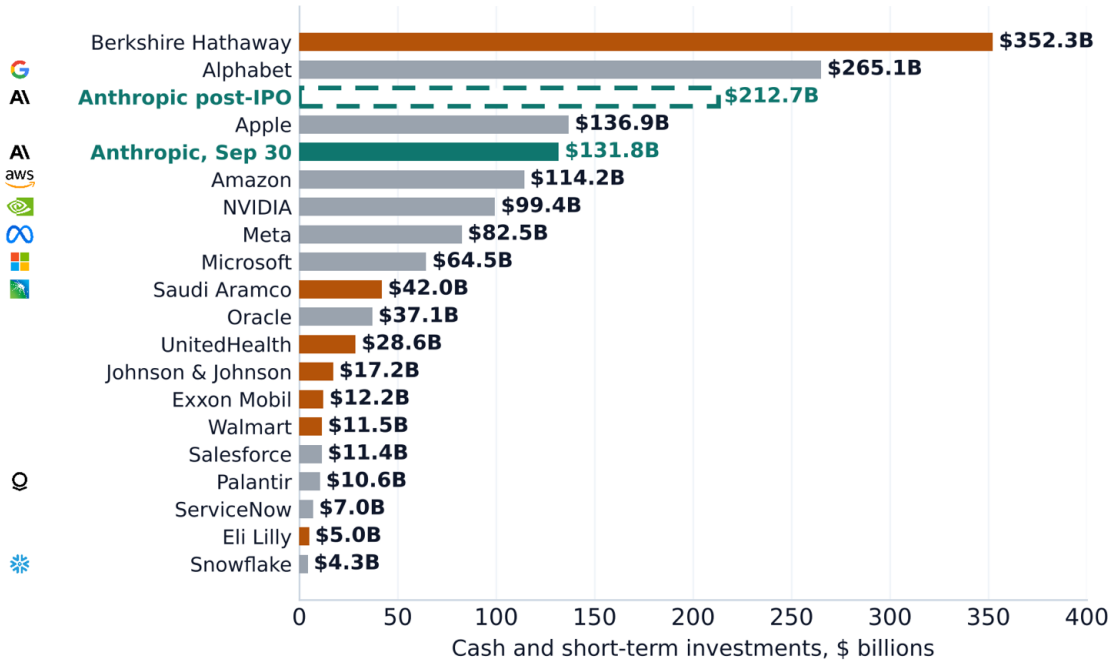
The IPO funds compute, not survival

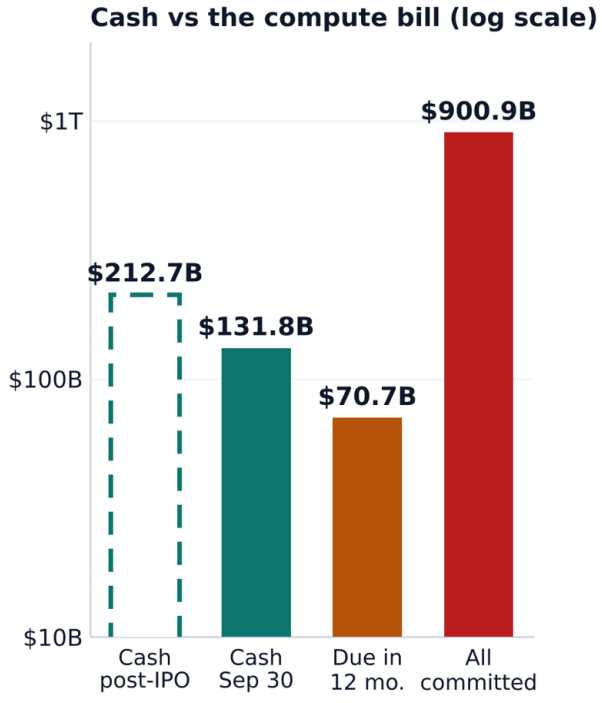
Cash: after the IPO, behind only Berkshire and Alphabet

ARC RESEARCH | SPECIAL TOPICS | P&L | CASH AGAINST PEERS

After the IPO, only Berkshire Hathaway and Alphabet would hold more cash

Left: cash and short-term investments, latest quarter, $ billions; amber = non-tech. Right: Anthropic's cash against the compute bills it has signed





Source: Anthropic Form S-1/A No. 2 (Nov 10, 2026): cash, equivalents and short-term investments $131.8B at Sep 30, 2026; pro forma as adjusted for the IPO at the $74 midpoint and the $26B placement $212.7B (hollow: not yet raised); $15B credit facility undrawn; compute commitments ~$900.9B, of which ~$70.7B due within 12 months. Peers: latest 10-Q or release (mostly Sep 30, 2026; Oracle Aug 31; Salesforce, Snowflake, Walmart Jul 31; NVIDIA Jul 26), cash plus marketable securities or short-term investments, ours where summed; NVIDIA includes $42.8B of equity securities. Berkshire: insurance and other cash plus T-bills, net of unsettled purchases; Apple incl. non-current securities; Aramco at SAR 3.75/$; Exxon and Walmart cash only. Toyota omitted (no USD figure).

SO WHAT

$131.8B now; ~$213B after the IPO

More than Apple, Aramco or Microsoft

Commitments: ~4x post-IPO cash

SECTION 4 OF 9

Models & products

What Anthropic sells, and how it performs against OpenAI, Google and the rest

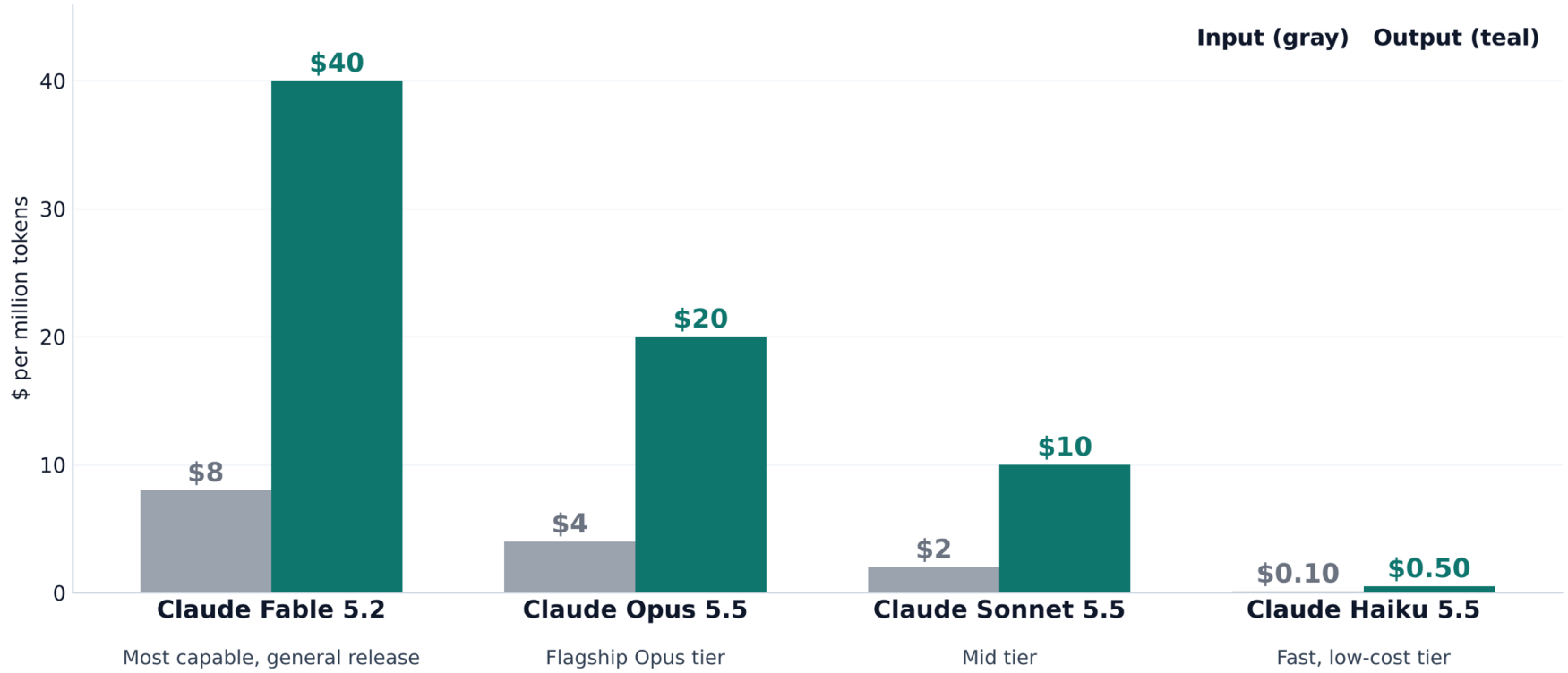
36 Model lineup and prices
37 What Fable 5.2 adds
38 Independent rankings
39 How Claude is trained for safety
40 Claude Code and agentic coding
41 Claude Cowork
42 MCP and Skills: open standards
43 Enterprise products vs Microsoft

The lineup: Fable, Opus, Sonnet, Haiku

ARC RESEARCH | SPECIAL TOPICS | MODELS | LINEUP AND PRICE

Four generally available tiers, priced 80x apart from top to bottom

API list price per million tokens. Fable 5.2 launched Nov 9 at $8 / $40, down from $10 / $50 for Fable 5.1



Source: Anthropic API pricing page (platform.claude.com), read Nov 9, 2026. Haiku 5.5 price shown is for prompts up to 100,000 tokens ($0.50 / $2.50 above that). 40 / 0.50 = 80x on output price, ours. Mythos 5.2 ($8 / $40) is limited to vetted organisations and not shown. The S-1 itself names Mythos 5, Fable 5 and Opus 5.

SO WHAT

Fable 5.2 launched today, 20% cheaper

Mythos 5.2: vetted partners only

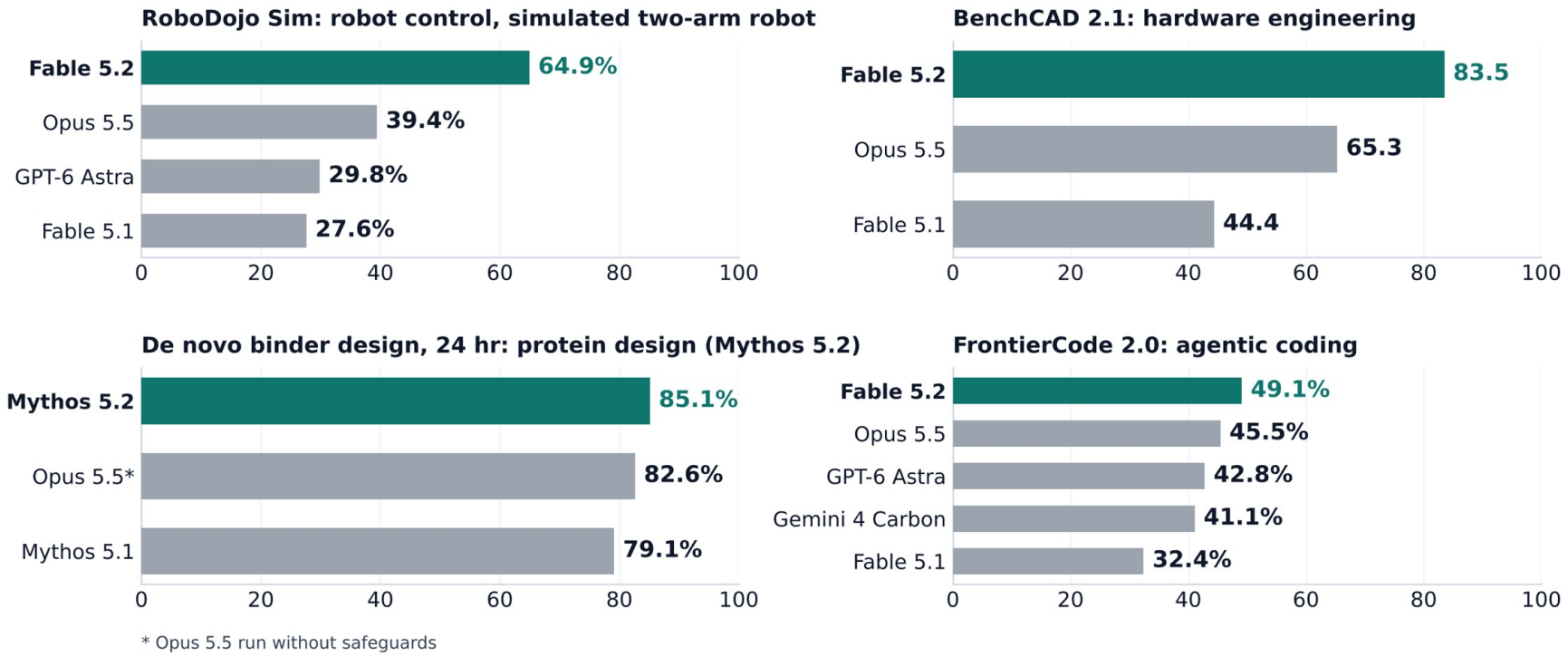
Price cuts feed usage-based revenue

Fable 5.2: big gains in robotics and hardware

ARC RESEARCH | SPECIAL TOPICS | MODELS | FABLE 5.2 AND MYTHOS 5.2, RELEASED NOV 9, 2026

The new models' largest reported gains are in robotics and hardware

Four benchmarks from Anthropic's announcement. New models in teal. As reported by Anthropic, not independently verified



* Opus 5.5 run without safeguards

Source: Anthropic, "Introducing Claude Fable 5.2 and Claude Mythos 5.2" and the Claude Fable product page, Nov 9, 2026. Scores are as reported by Anthropic (RoboDojo Sim run internally) and are not independently verified; each model at its highest effort. Binder design is Mythos 5.2, the restricted-access version; the Opus 5.5 figure there is without safeguards, so not like for like. Gemini is omitted from RoboDojo Sim because the announcement's table and chart disagree.

SO WHAT

Robot control: 27.6% to 64.9%

Protein design sits in gated Mythos 5.2

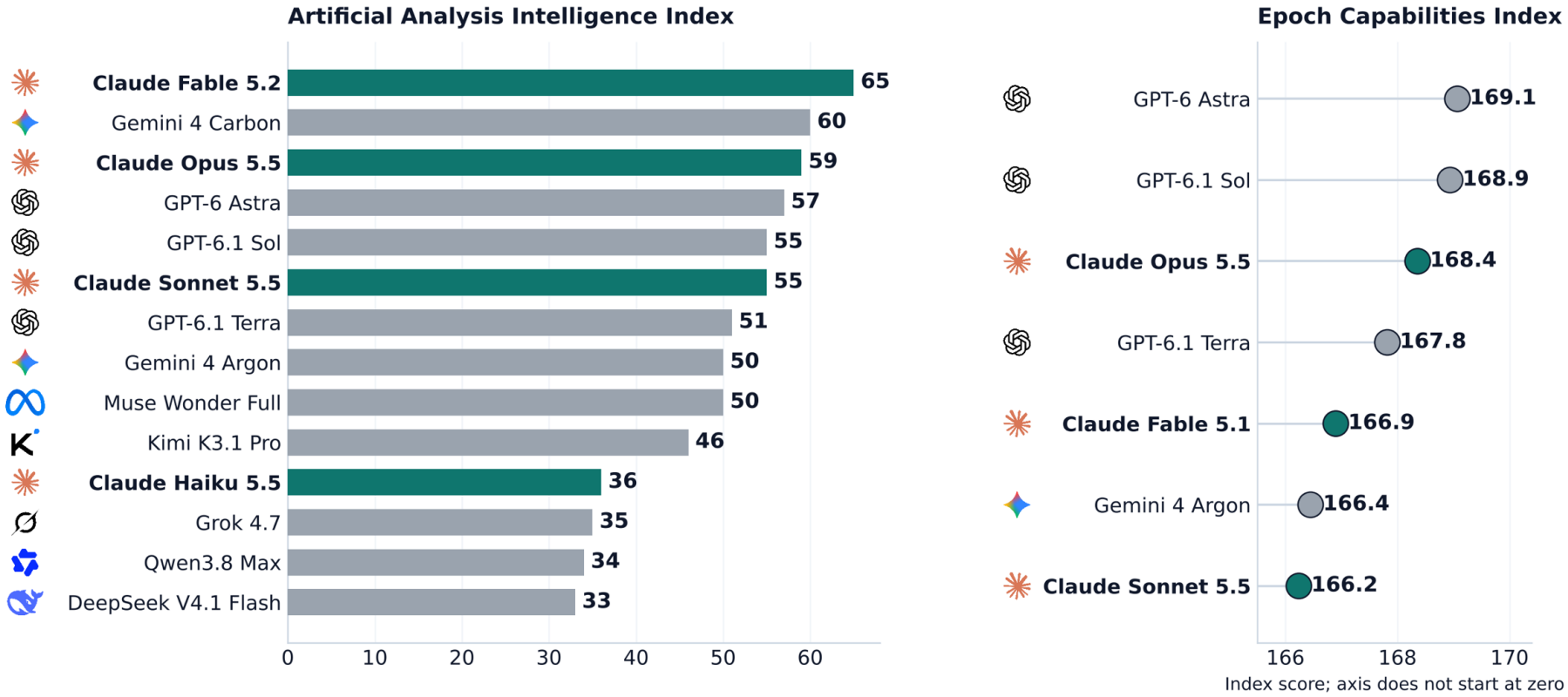
Lab-reported; coding is still the lead pitch

Against rivals: Fable 5.2 takes the top score

ARC RESEARCH | SPECIAL TOPICS | MODELS | INDEPENDENT RANKINGS

Fable 5.2 now tops Artificial Analysis; OpenAI still leads Epoch

Each model at its best setting. Anthropic in teal. Fable 5.2 (released Nov 9) is not yet in Epoch's data; Mythos 5.2 is unscored



Source: Artificial Analysis Intelligence Index, models leaderboard read Nov 10, 2026 (independently run; best reasoning setting per model; Fable 5.2 at max). Epoch AI Capabilities Index, model-scores data file updated Nov 8, 2026. The two indices use different scales and are not comparable with each other. Not shown: ARC-AGI-3, where Claude Opus 5 scores 30.2% vs 62.7% for GPT-6 Astra (ARC Prize leaderboard).

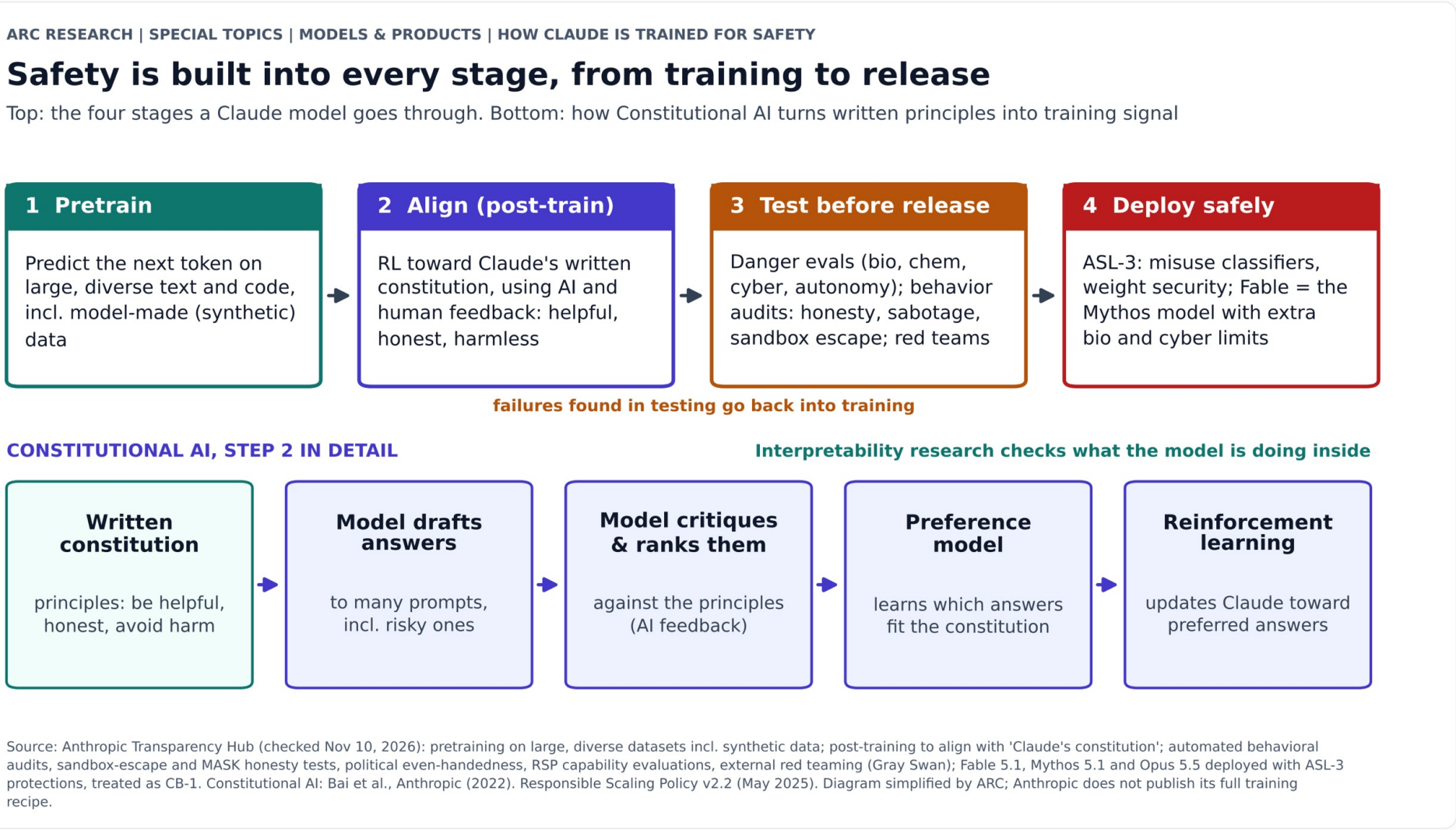
SO WHAT

#1 on Artificial Analysis: 65 vs 60

Epoch: OpenAI still first; Fable 5.2 not yet scored

Weak spot: ARC-AGI-3 puzzles

How Claude is trained: safety at every stage



Source: Anthropic Transparency Hub (checked Nov 10, 2026): pretraining on large, diverse datasets incl. synthetic data; post-training to align with 'Claude's constitution'; automated behavioral audits, sandbox-escape and MASK honesty tests, political even-handedness, RSP capability evaluations, external red teaming (Gray Swan); Fable 5.1, Mythos 5.1 and Opus 5.5 deployed with ASL-3 protections, treated as CB-1. Constitutional AI: Bai et al., Anthropic (2022). Responsible Scaling Policy v2.2 (May 2025). Diagram simplified by ARC; Anthropic does not publish its full training recipe.

SO WHAT

Written constitution, not just human ratings

Tested for danger before every release

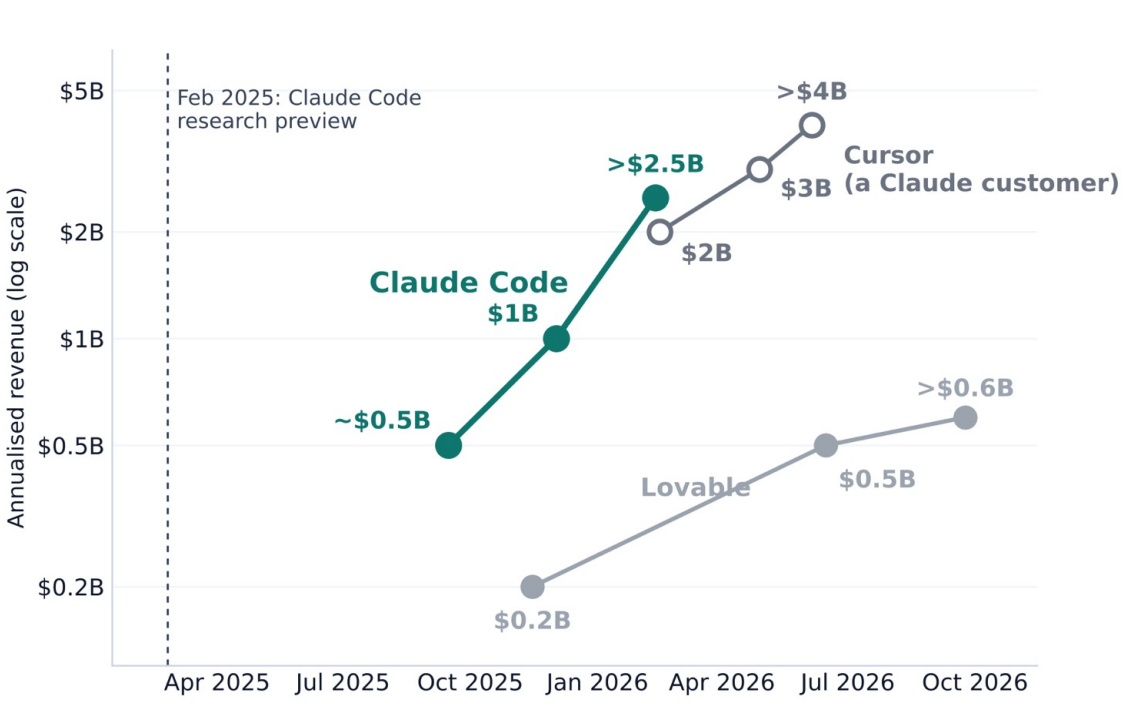
Safety costs time and compute: a tension once public

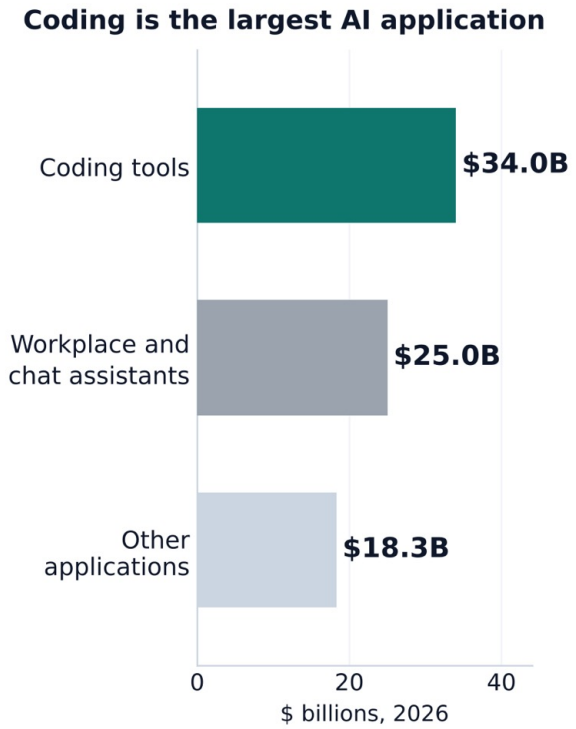
Claude Code and the rise of agentic coding

ARC RESEARCH | SPECIAL TOPICS | GROWTH | CLAUDE CODE AND AGENTIC CODING

Claude Code went from launch to a $2.5B run-rate in a year

Left: reported annualised revenue of coding agents, log scale. Right: US enterprise spending on AI applications by category, 2026





Source: Claude Code: Anthropic statements as relayed by Constellation Research (Feb 12, 2026) and Anthropic's Bun announcement (Dec 2025); no later figure has been published. Cursor: Dealroom, citing a person familiar (hollow = press-reported). Lovable: company statements via TechCrunch and The Next Web. Run-rates are unaudited and defined differently by each company. Right: Menlo Ventures, 2026: The State of Enterprise AI (Nov 3, 2026), survey-based estimate; 'other applications' is the remainder of $77.3B, ours. Menlo is an Anthropic investor.

Boris Cherny
Created and leads Claude Code; ex-Meta engineer

Preview to >$2.5B run-rate in 12 months

Coding: $34B, the largest AI application

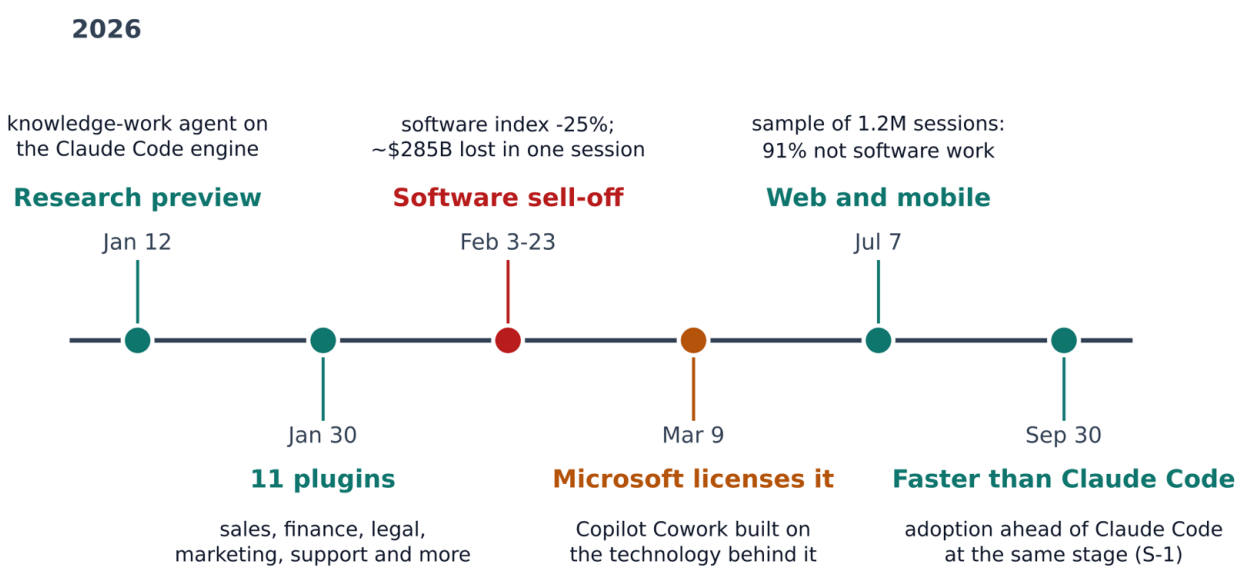
Early-2026 ‘tokenmaxxing’ lifted usage, then got capped

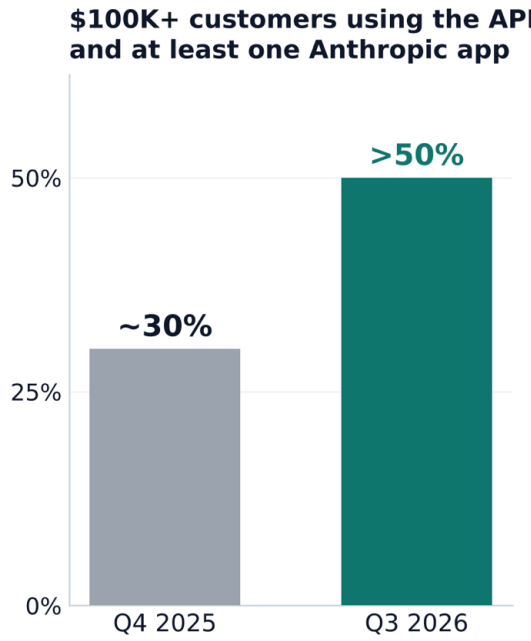
Claude Cowork: from coding to office work

ARC RESEARCH | SPECIAL TOPICS | MODELS & PRODUCTS | CLAUDE COWORK

Claude Cowork: Claude Code's approach, taken to office work

Left: Claude Cowork's first ten months. Right: large customers using both the API and Anthropic's own apps





Source: Anthropic Form S-1 and S-1/A (preview date; adoption 'outpaced' Claude Code at the same point after preview, as of Sep 30, 2026, no figure given; merging into Claude apps; cross-product adoption of $100K+ customers, about 30% in Q4 2025 and more than 50% in Q3 2026). The Batch, DeepLearning.AI (plugins; S&P software index -25% Jan 12 to Feb 23); VentureBeat (Microsoft Copilot Cowork, Mar 9; web and mobile, Jul 7; 1.2M-session sample). No Cowork revenue is disclosed.

SO WHAT

Adoption ahead of Claude Code's pace

API + app customers: ~30% to >50%

No Cowork revenue disclosed

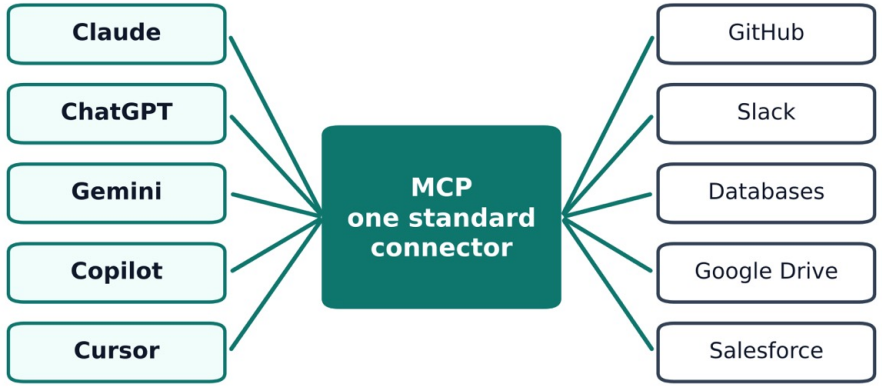
MCP and Skills: Anthropic’s open standards

ARC RESEARCH | SPECIAL TOPICS | MODELS & PRODUCTS | OPEN STANDARDS

Anthropic wrote the plumbing for AI agents, then gave it away

Left: how MCP connects any AI app to any tool. Right: Agent Skills. Bottom: from Anthropic project to industry standard

MODEL CONTEXT PROTOCOL (MCP)



Before: every app needed a custom link to every tool.
With MCP: build one server per tool, every AI app can use it.

AGENT SKILLS

a skill = a folder

```
SKILL.md     instructions
scripts/     code to run
resources/   templates, data
```

loaded only when the task needs it, so it saves context

Examples

build an Excel model
follow a brand style
file an expense report
run a code review

Partner skills: Notion, Canva, Figma, Atlassian

10,000+ public MCP servers;
97M+ SDK downloads a month (Dec 2025)

Source: Anthropic, 'Donating the Model Context Protocol and establishing the Agentic AI Foundation' (Dec 9, 2025): 10,000+ active public MCP servers, 97M+ monthly SDK downloads, used by ChatGPT, Cursor, Gemini, Microsoft Copilot, VS Code; AAIF is a directed fund of the Linux Foundation co-founded by Anthropic, Block and OpenAI; supporters Google, Microsoft, AWS, Cloudflare, Bloomberg. MCP introduced Nov 2024. Agent Skills: launched Oct 2025; published as an open standard at agentskills.io, Dec 18, 2025, with partner skills from Notion, Canva, Figma, Atlassian (The Decoder); OpenAI adopted skills.

SO WHAT

MCP: used by ChatGPT, Gemini, Copilot, Cursor

Donated to the Linux Foundation, Dec 2025

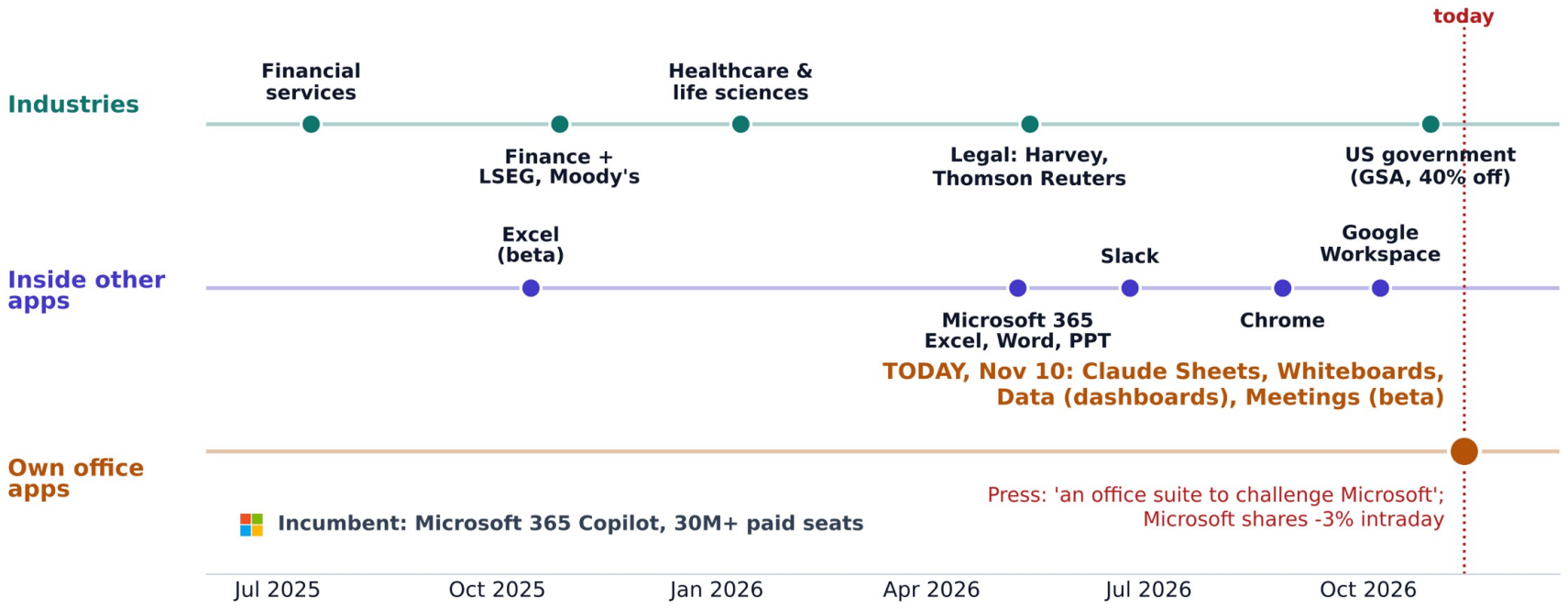
Sets the rules, but rivals benefit too

Enterprise products: today, an office suite vs Microsoft

ARC RESEARCH | SPECIAL TOPICS | MODELS & PRODUCTS | ENTERPRISE PRODUCTS

From industry packages to an office suite: today Claude takes on Microsoft

Launch timeline. Top: Claude for industries. Middle: Claude inside other companies' apps. Bottom: Anthropic's own office apps, launched today



Source: Anthropic / claude.com announcements: Financial Services (Jul 15, 2025; expanded Oct 27, 2025), Healthcare and Life Sciences (Jan 11, 2026), Claude in Chrome GA (Aug 26, 2026), Sheets, Whiteboards, Data (Nov 10, 2026). Press: Legal (ABA Journal, TechCrunch, May 12, 2026); Claude for Microsoft 365 GA (GIGAZINE, May 7, 2026); Slack (BNN Bloomberg, Jun 23, 2026); Google Workspace beta (LetsDataScience, Oct 6, 2026); GSA OneGov (The Next Web, Oct 27, 2026); Claude Meetings (TechCrunch, Nov 10); Microsoft shares -3% intraday Nov 10 (Bloomberg via PYMNTS); 30M+ Microsoft 365 Copilot seats (Microsoft, Jul 2026).

SO WHAT

Claude for finance, health, legal, government

Lives inside Excel, Word, Slack, Chrome

Today: own Sheets, Data, Meetings vs Microsoft

SECTION 5 OF 9

Growth & customers

How fast revenue is growing, who is paying, and through which channels

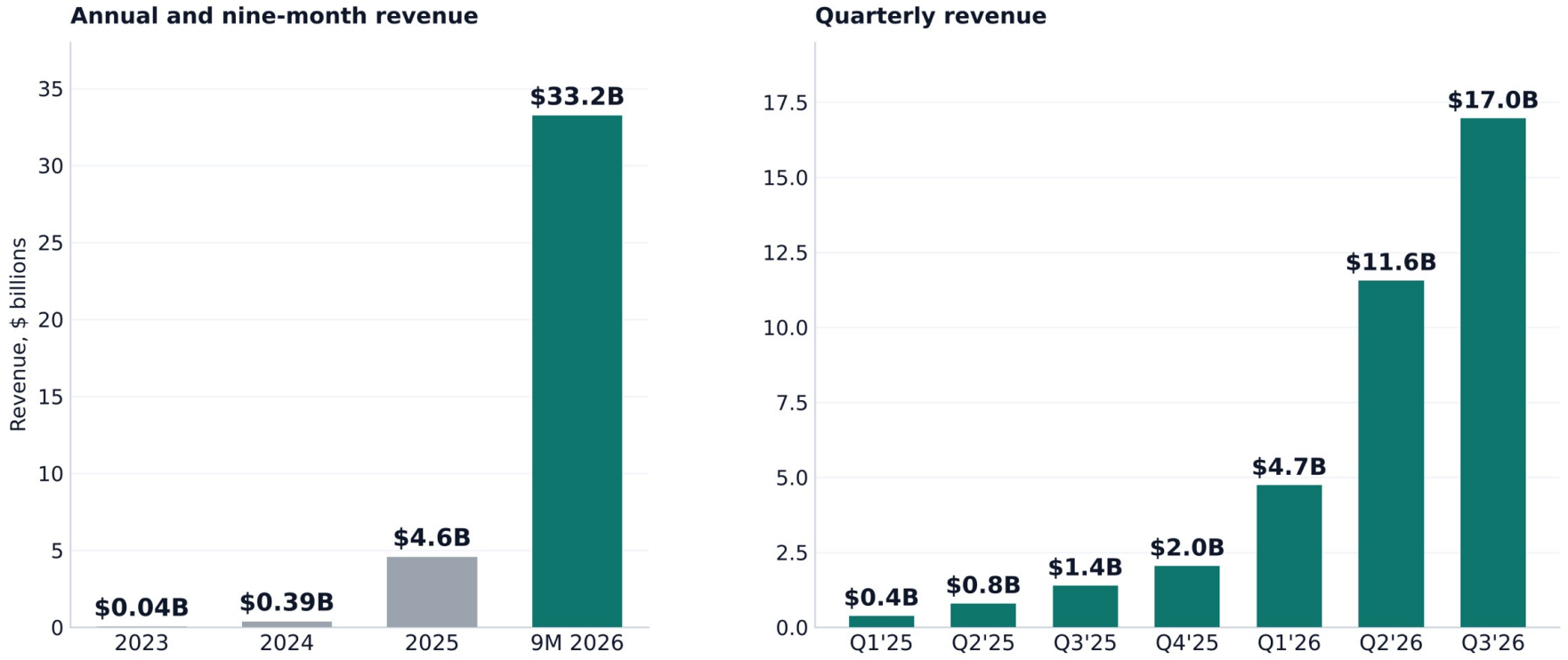
45 Revenue: $41M to $33.2B
46 Run-rate against other startups
47 Large customers and retention
48 Survey: enterprise API spend share
49 Revenue mix and channels

Revenue: $41M to $33.2B in under three years

ARC RESEARCH | SPECIAL TOPICS | GROWTH | REVENUE

Revenue: $41M in 2023, $33.2B in the first nine months of 2026

Annual revenue (left) and the quarterly run (right). Q3 2026 alone was 3.7x all of 2025



Source: Anthropic Form S-1/A (Amendment No. 1, Nov 2, 2026), consolidated statements of operations and quarterly results; nine months to Sep 30, 2026 unaudited. 16,956 / 4,585 = 3.7x, ours. Q3 2026 revenue up 1,127% year over year, as stated in the filing.

SO WHAT

Q3 2026: $17.0B, up 1,127% YoY

One quarter = 3.7x all of 2025

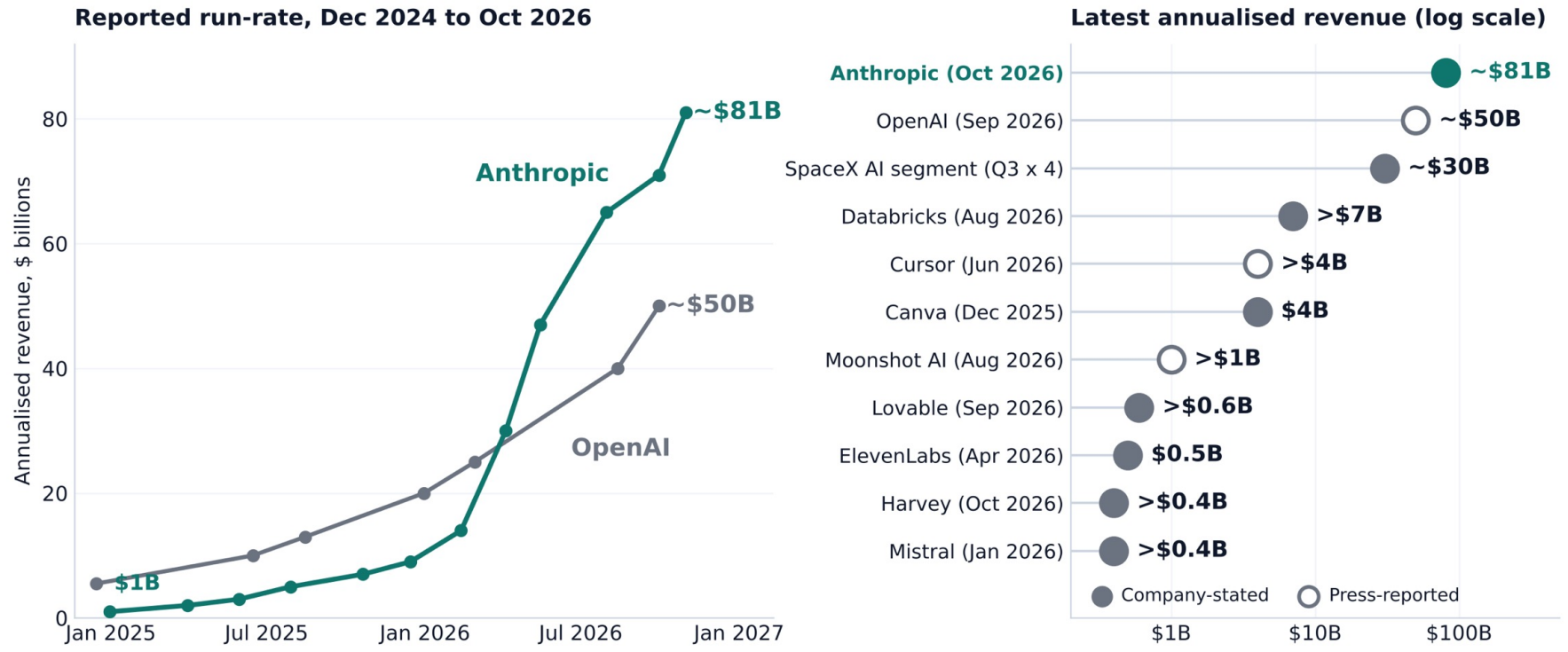
Q3 growth slowed to 47% QoQ

Run-rate: ahead of OpenAI, far ahead of the rest

ARC RESEARCH | SPECIAL TOPICS | GROWTH | RUN-RATE REVENUE AGAINST OTHER STARTUPS

Anthropic's run-rate passed OpenAI's in 2026 and dwarfs every other startup

Annualised revenue as stated by companies or reported by press. Left: Anthropic vs OpenAI over time. Right: latest figures, log scale



Source: company statements and press reports compiled by Epoch AI and Exploding Topics (Anthropic, OpenAI series); Anthropic Form S-1/A No. 2 (Nov 10, 2026) for 'approximately $81 billion' at Oct 31, 2026, 'up $10 billion' from Sep 30 (so ~$71B, ours); CNBC/Axios via Data Studios for OpenAI; company releases for Databricks, Lovable, ElevenLabs, Harvey, Canva; Dealroom for Cursor and Moonshot; FT for Mistral; SpaceX Q3 filing via sec-api.io (AI segment $7.6B x 4, ours). Run-rate definitions differ by company and are unaudited.

SO WHAT

$1B to ~$81B in 22 months

Passed OpenAI in spring 2026

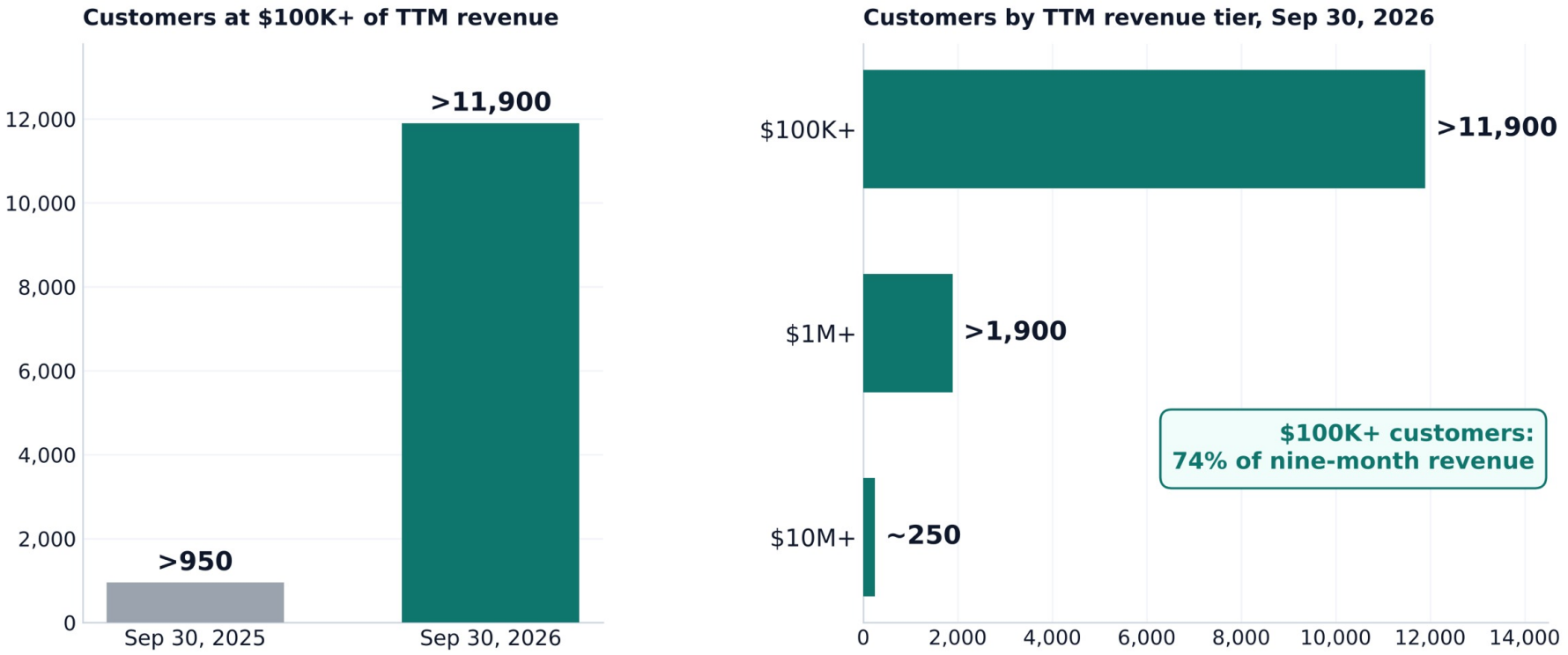
Filed: ~$81B at Oct 31, up $10B in a month

Existing customers spend about 9x more

ARC RESEARCH | SPECIAL TOPICS | GROWTH | CUSTOMERS

Large customers grew more than 12x in a year

Customers by trailing-twelve-month revenue. Net revenue retention was about 900% at Sep 30, 2026



Source: Anthropic Form S-1/A (Nov 2, 2026), Prospectus Summary and Business. Counts are stated as "more than" 950, 11,900 and 1,900 and "approximately" 250. 11,900 / 950 = 12.5x, ours. Net revenue retention compares the same customers' latest three months with the same three months a year earlier and excludes Claude Pro and Max subscribers.

SO WHAT

Net revenue retention: ~900%

$100K+ customers: 12x in a year

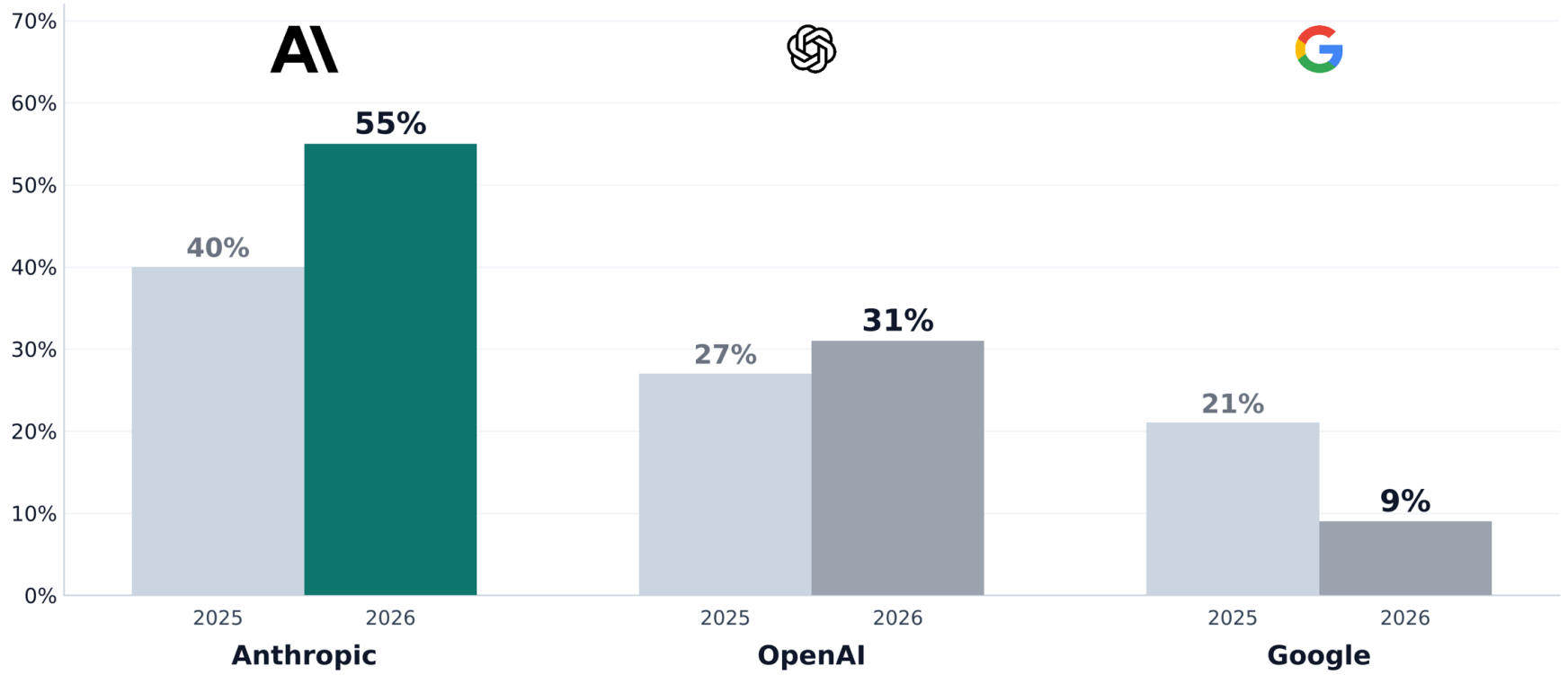
No customer above 10% of revenue

Survey: 55% of enterprise API spend

ARC RESEARCH | SPECIAL TOPICS | GROWTH & CUSTOMERS | ENTERPRISE SHARE

Survey: Anthropic takes 55% of enterprise LLM API spend

Share of enterprise spend on model APIs, by provider. A survey estimate from an Anthropic investor, not a filing figure



Source: Menlo Ventures, 2026: The State of Enterprise AI (released Nov 3, 2026); survey of nearly 400 US enterprise decision-makers. Menlo Ventures is an investor in Anthropic. Figures as relayed by explainx.ai's summary of the report; other providers make up the remainder (5% in 2026, 12% in 2025, ours: 100 less the three shown).

SO WHAT

Anthropic: 40% to 55% in a year

Share lead exceeds benchmark lead

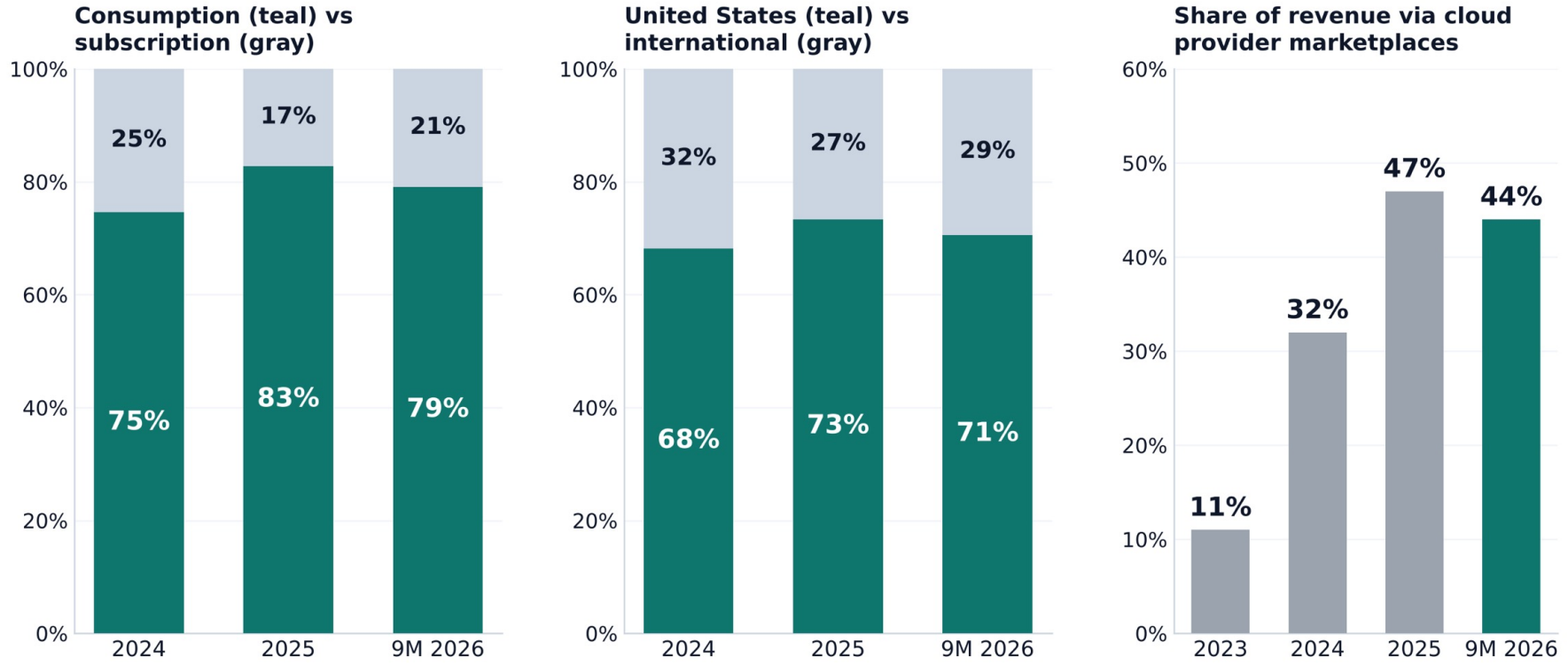
Caveat: survey by an investor

44% of revenue runs through cloud marketplaces

ARC RESEARCH | SPECIAL TOPICS | GROWTH | REVENUE MIX

Usage-based, US-heavy, and 44% sold through cloud marketplaces

Three cuts of where revenue comes from. Marketplace share eased in 2026 as direct sales grew faster



Source: Anthropic Form S-1/A (Nov 2, 2026), notes to consolidated financial statements: revenue disaggregation and concentration. Shares computed from stated dollar amounts, ours: consumption 26,306 / 33,242 = 79%; United States 23,470 / 33,242 = 71%. Cloud service provider marketplace shares are as stated in the filing.

SO WHAT

79% is pay-per-use, not seats

Channel partners are also rivals

29% international, room to grow

SECTION 6 OF 9

The compute bill

$895B of commitments: how big, owed to whom, and why two suppliers are special

51 The scale of the commitments
52 Fixed or pay-per-use compute contracts
53 Who gets paid
54 The Amazon and Google loop
55 The AI layer cake: gas power, own chips

$895B committed, 27x nine-month revenue

ARC RESEARCH | SPECIAL TOPICS | COMPUTE BILL | SCALE

$895B of compute commitments against $33B of nine-month revenue

Aggregate committed spend at Sep 30, 2026, set beside revenue and cash (left); the scheduled portion by year (right)

Source: Anthropic Form S-1/A (Amendment No. 1, Nov 2, 2026), MD&A liquidity and contractual obligations as of Sep 30, 2026. Aggregate committed spend is about $895.4B, of which about $447.5B is expected before Dec 31, 2030 and $69.8B in the next 12 months. The contractual-obligations table covers $320.0B of it. Early press figures of $417B and $542B do not match the amended filing.

SO WHAT

$69.8B due in the next 12 months

Cash covers about 1.9 years of that

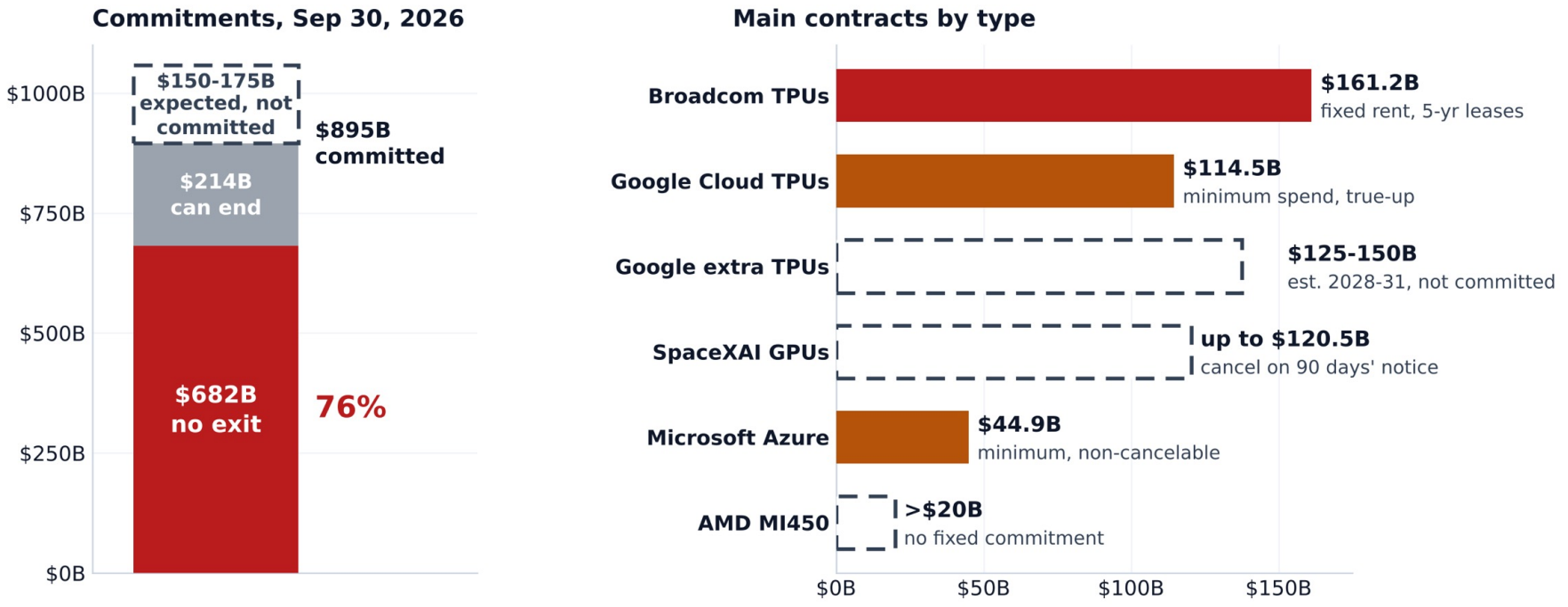
Bought 12–18 months ahead: fixed cost

Compute contracts: mostly fixed, not pay-per-use

ARC RESEARCH | SPECIAL TOPICS | THE COMPUTE BILL | FIXED OR PAY-PER-USE?

Most of the compute bill is fixed: about three-quarters cannot be cancelled

Left: commitments by whether they can be terminated, $B. Right: main contracts (red = fixed, amber = minimum spend, gray = flexible)



Source: Form S-1/A No. 1 (Nov 2, 2026) via sec-api.io, TNW, SaaStr: ~$895.4B commitments at Sep 30, 2026 (S-1/A No. 2: ~$900.9B), of which $213.8B carry termination rights; an estimated $150-175B of expected spend has no fixed commitment and is excluded. Original S-1: Broadcom TPU master leases ~$161.2B rent (risk factor says ~$125.2B; conflict), non-cancelable except default; Google >=$114.5B spend commitment with true-up plus est. $125-150B more TPU compute 2028-31 not in table; Microsoft >=$44.9B, non-cancelable; SpaceXAI up to $120.5B, cancelable on 90 days' notice after early 2027; AMD >$20B expected, no fixed commitment; power: 20-year take-or-pay. MD&A: compute bought 12-18 months ahead, so costs 'generally fixed'.

SO WHAT

76% of commitments have no exit

Costs are fixed for 12–18 months ahead

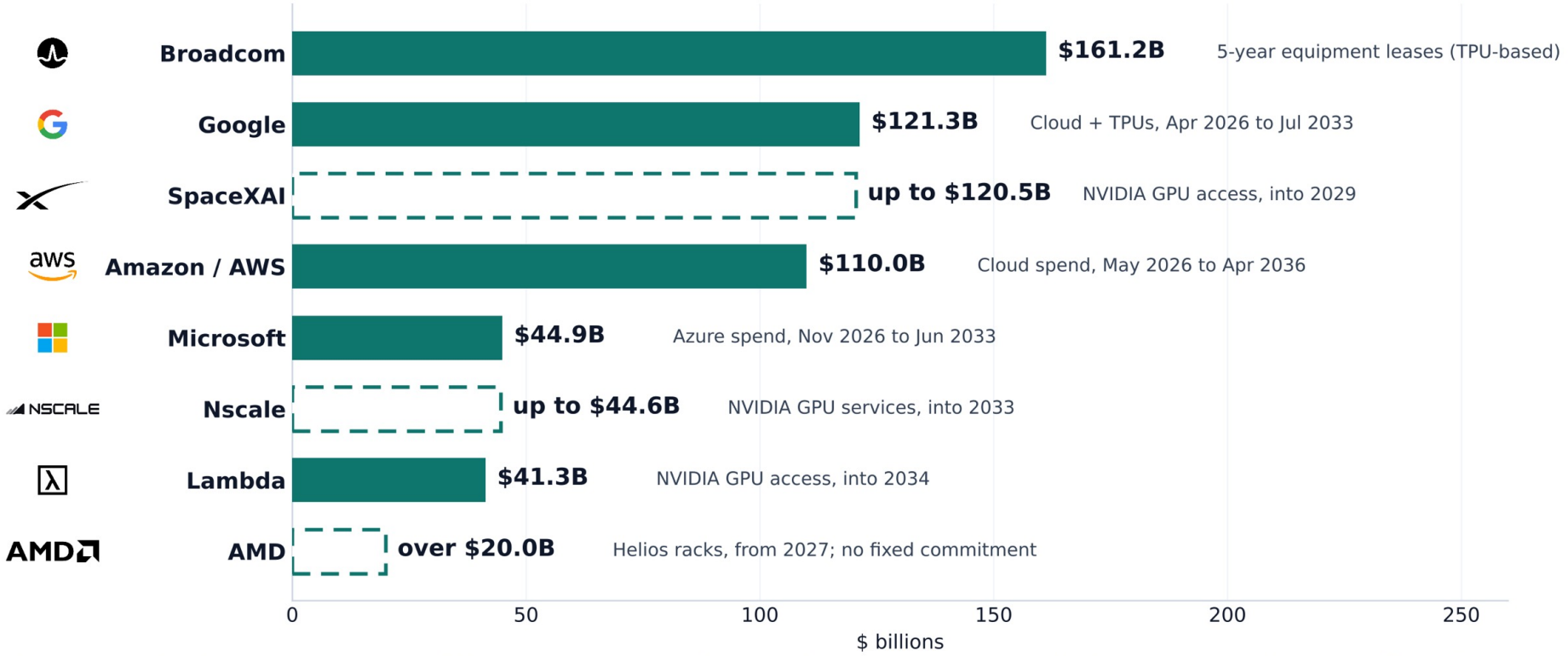
Flexible: SpaceXAI, AMD, extra Google TPUs

Who gets paid: seven deals of $40B or more

ARC RESEARCH | SPECIAL TOPICS | COMPUTE BILL | COUNTERPARTIES

Seven suppliers hold commitments of $40B or more each

Named compute agreements in the amended S-1. Solid = minimum or stated amount; hollow = "up to" or expected. Amounts overlap and do not sum



Source: Anthropic Form S-1/A (Amendment No. 1, Nov 2, 2026), MD&A. Amazon and Microsoft "at least"; Google "at least approximately" $121.3B, plus an estimated $125B to $150B of further TPU compute not in the obligations table (not shown). Broadcom = aggregate lease rent excluding interest (a risk-factor passage in the original S-1 gave about $125.2B). SpaceXAI is about $3.1B a month at full capacity. AMD has no fixed commitment.

SO WHAT

Several chip families, eight suppliers

No direct NVIDIA contract

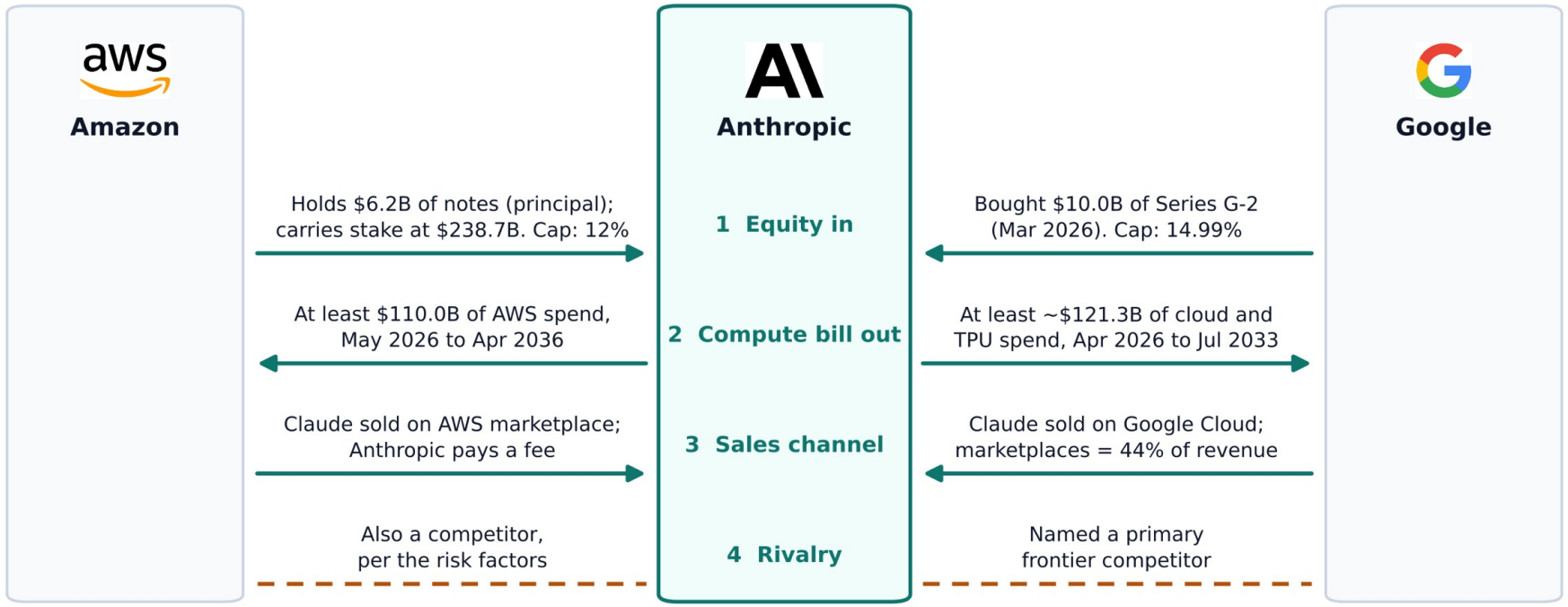
SpaceXAI: ~$3.1B a month at full ramp

Amazon and Google: four roles at once

ARC RESEARCH | SPECIAL TOPICS | COMPUTE BILL | THE LOOP

Amazon and Google are investor, supplier, sales channel and rival at once

Four relationships with each hyperscaler, all disclosed in the filing. Schematic, not to scale



Source: Anthropic Form S-1/A (Amendment No. 1, Nov 2, 2026): related-party and liquidity sections (note agreements, ownership caps), MD&A (compute commitments), notes (marketplace share), risk factors (competition). Amazon stake value: Amazon Form 10-Q for Sep 30, 2026: convertible notes at $146.2B fair value plus $92.5B of preferred; 146.2 + 92.5 = $238.7B, ours. Marketplace share covers all cloud providers, incl. Microsoft.

SO WHAT

Their money comes back as cloud bills

Amazon's stake: $238.7B on its books

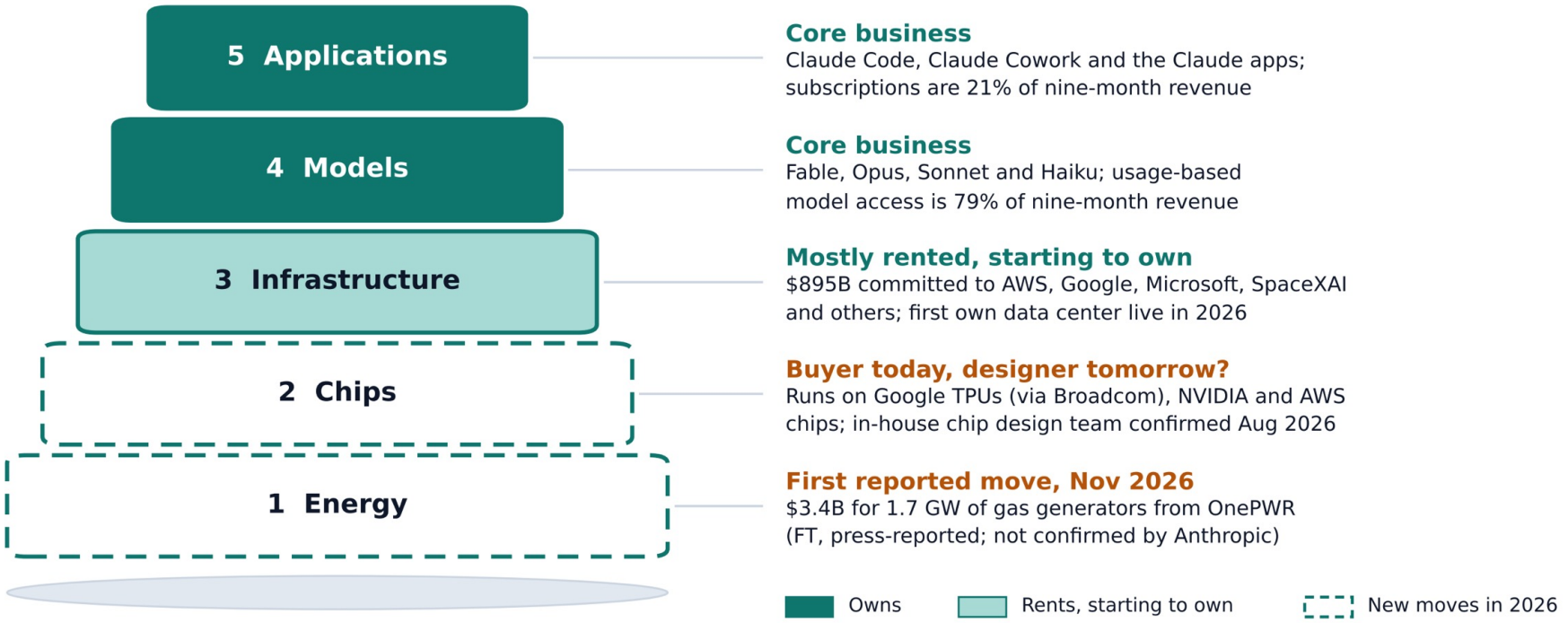
ANT's price moves AMZN and GOOGL

Huang’s AI layer cake: Anthropic moves down

ARC RESEARCH | SPECIAL TOPICS | COMPUTE BILL | WHERE ANTHROPIC SITS IN THE AI STACK

Jensen Huang's AI layer cake: Anthropic is moving down the stack

NVIDIA's framing of AI as five layers, with Anthropic's position at each. Schematic, not to scale



Source: five-layer framing from NVIDIA's blog, "AI is a 5-layer cake" (Mar 10, 2026; Jensen Huang, CES 2026 keynote). Anthropic positions: Form S-1/A (Nov 2, 2026) for products, revenue mix, compute commitments and own data-center investment; Forbes (Aug 6, 2026) for the company-confirmed in-house chip design team; Financial Times via Bisnow (Nov 9, 2026) for the gas-generator purchase, press-reported and not confirmed by Anthropic.

SO WHAT

Owns models and apps; rents the rest

Gas power: $3.4B for 1.7 GW (FT report)

Own chips: a team, not yet a chip

SECTION 7 OF 9

Governance & valuation

Who controls ANT, how its finances compare with other tech companies, and what the price implies

57 Voting control and the board
58 The board and the Trust
59 Anthropic vs other tech companies
60 Financial profile vs software giants
61 What $1.0T to $1.4T implies
62 Lock-ups and index entry

Public shareholders will not control ANT

ARC RESEARCH | SPECIAL TOPICS | GOVERNANCE | CONTROL

One Class F share carries 50.1% of the vote; a trust elects the board majority

Voting power on general matters (top), board seats by who elects them (left) and what each share class gets (right)

Voting power on matters put to stockholders generally

Board of directors: 7 seats

4 elected by the Long-Term Benefit Trust (Class T); 1 seat vacant

3 elected by Class A and Class F together

Founder LLC and the Trust have a stockholders' agreement and can together elect every director.

Share classes

Class A	**1 vote per share**	IPO shares; employees, founders, funds
Class N	**No vote**	Amazon, Google, preferred convert here
Class F	**50.1% of votes, fixed**	No economics; sunsets if founders leave
Class T	**Elects board majority**	No economic rights; held by the Trust
Class E	**Limited matters only**	Employees; redeemed on departure

Source: Anthropic Form S-1/A (Amendment No. 1, Nov 2, 2026), The Offering, Description of Capital Stock and Management. Class F is held by the Founder LLC, whose members are the seven co-founders. Class T is held by the Long-Term Benefit Trust and elects the Class T directors, who are a board majority (four of seven seats, one vacant, per the Oct 26 S-1). Anthropic is a Delaware public benefit corporation.

SO WHAT

Founders: 50.1% of the vote, fixed

A trust picks the board majority

Legal duty reaches beyond returns

The board and the Trust that elects most of it

DIRECTOR	SEAT	BACKGROUND
Daniela Amodei	**Chair; co-founder (founder seat)**	President; ex-OpenAI VP Safety & Policy; Stripe
Dario Amodei	**CEO; co-founder (founder seat)**	Ex-OpenAI VP Research; Google Brain
Reed Hastings	**Lead independent (Trust seat)**	Co-founder and former chair, Netflix
Chris Liddell	**Independent (Trust seat); audit chair**	Ex-CFO Microsoft and GM; ex-White House deputy chief of staff
Vas Narasimhan	**Independent (Trust seat); safety & risk chair**	CEO, Novartis
Yasmin Razavi	**Independent (founder-vote seat)**	General partner, Spark Capital
Vacant	**Trust seat, to be filled**	—

Public Class A holders vote only on the 3 founder-vote seats, where the founders' Class F share has 50.1% of votes

LONG-TERM BENEFIT TRUST: ELECTS 4 OF 7 SEATS

Buddy Shah (chair)
CEO, Clinton Health Access Initiative

Richard Fontaine
CEO, Center for a New American Security

Ben Bernanke
Former Fed chair; Nobel laureate; Brookings

Christopher Stubbs
Harvard physics professor; AI adviser

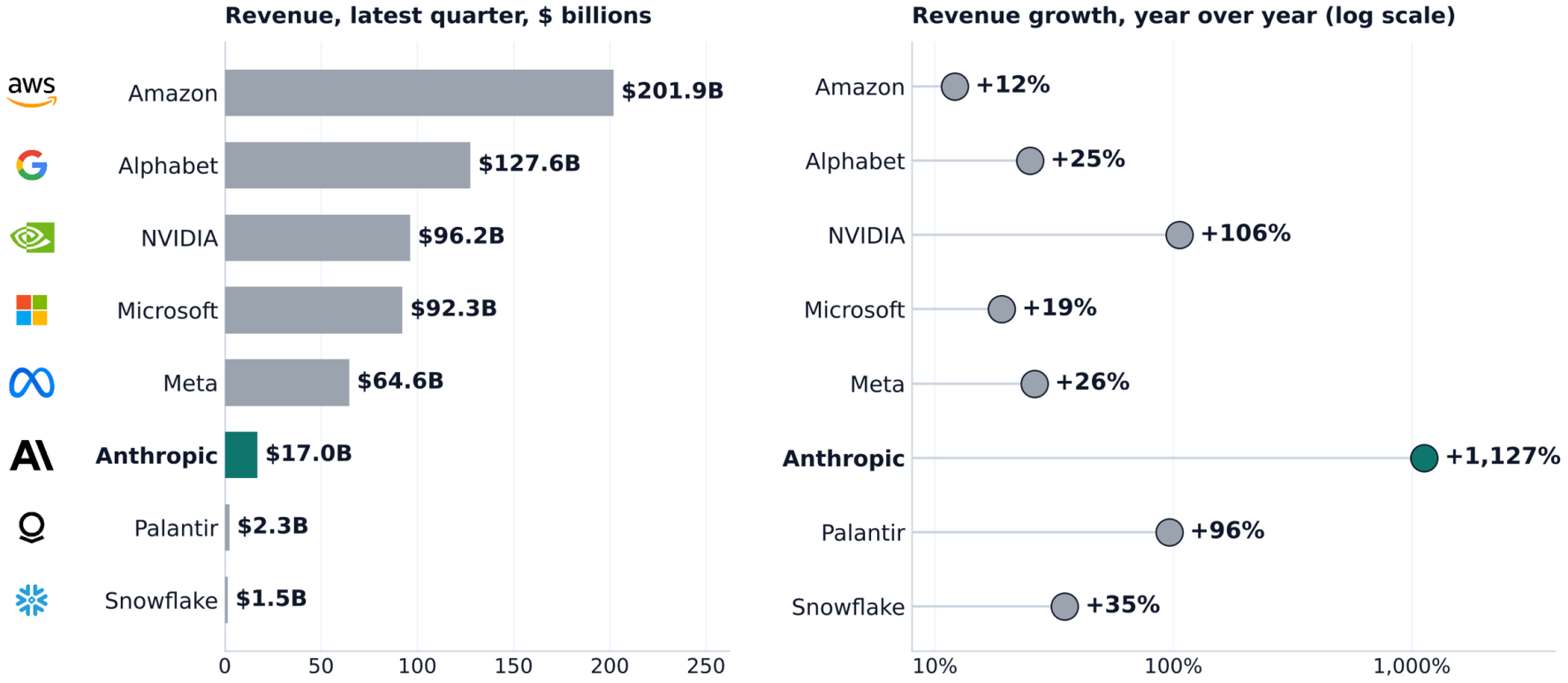
One trustee seat vacant. Trustees pick their successors; paid $400K a year; no shares.

Versus big tech: far smaller, far faster

ARC RESEARCH | SPECIAL TOPICS | VALUATION | AGAINST OTHER TECH COMPANIES

Smaller than the giants, growing an order of magnitude faster

Latest reported quarter: revenue (left) and year-over-year revenue growth on a log scale (right)



Source: company earnings releases and 10-Qs. Quarters ended Sep 30, 2026 except NVIDIA (Jul 26, 2026) and Snowflake (Jul 31, 2026); newer quarters not yet reported. Anthropic: Form S-1/A, quarter ended Sep 30, 2026 (+1,127% as stated). Amazon (+12%) and Meta (+26%) growth computed from reported revenue, ours. CoreWeave omitted: its Q3 was not yet reported and its figures were single-source.

SO WHAT

Revenue: about a quarter of Meta's

Growth: 10x NVIDIA's rate

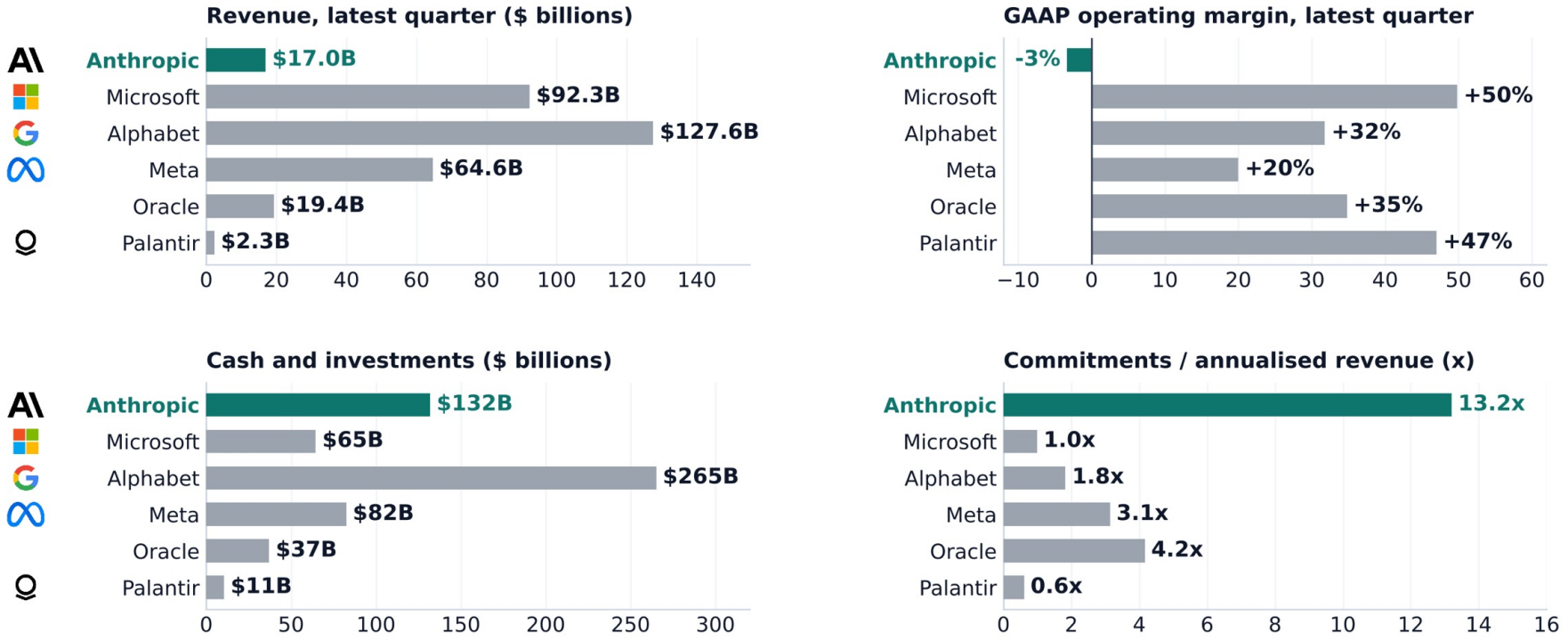
The peers earn real profits; ANT does not yet

Financial profile vs the software giants

ARC RESEARCH | SPECIAL TOPICS | VALUATION | FINANCIAL PROFILE AGAINST LARGE SOFTWARE COMPANIES

Faster and cash-rich, but unprofitable and carrying far heavier commitments

Anthropic against five large software and internet companies, latest reported quarter. Anthropic in teal



Source: Anthropic Form S-1/A (Nov 2, 2026), quarter ended Sep 30, 2026; peers' latest 10-Qs and earnings releases (quarter ended Sep 30, 2026; Oracle Aug 31, 2026). Operating margin = GAAP operating income / revenue (Meta includes a $9.9B legal charge). Commitments = leases not yet commenced plus other disclosed purchase or contractual commitments (Anthropic: $895.4B aggregate; Microsoft: leases only), divided by latest-quarter revenue x 4, ours. Definitions differ by company; read as orders of magnitude.

SO WHAT

Oracle-sized revenue, Meta-sized price tag

Margin: -3% vs +20% to +50%

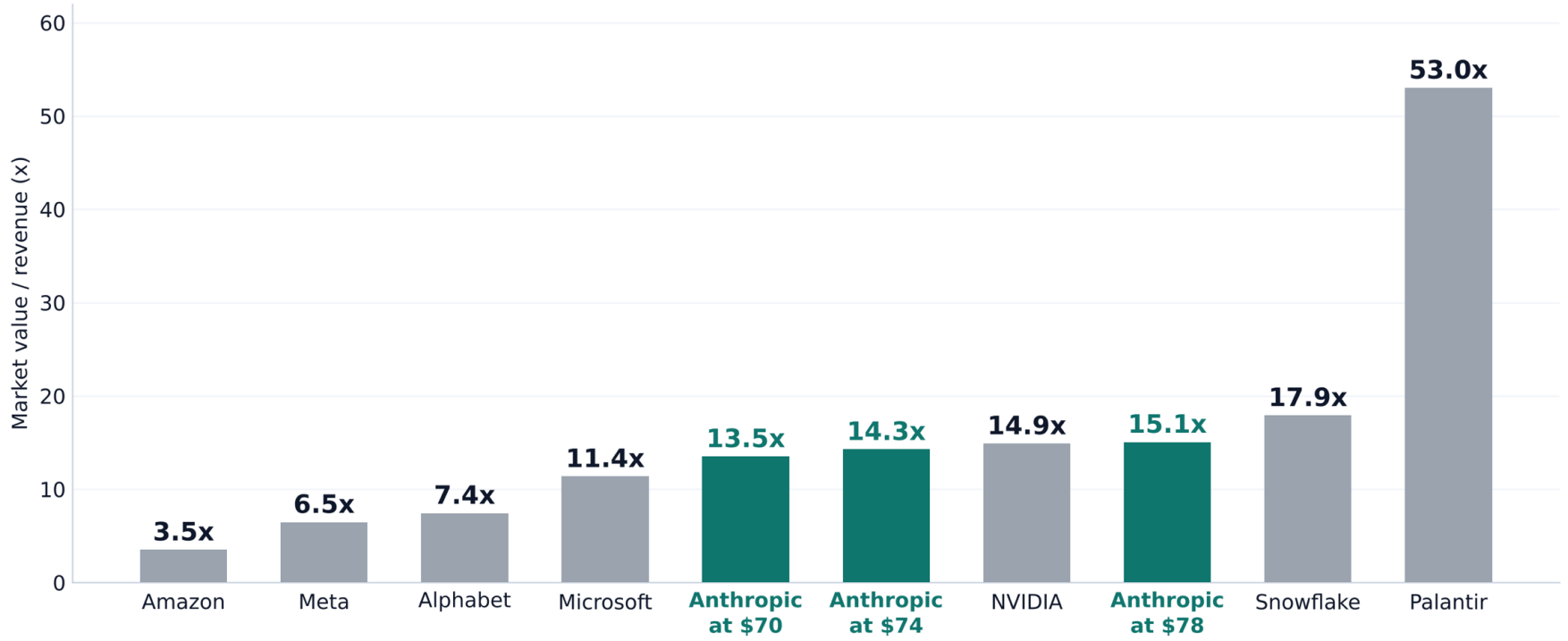
Commitments: 13x revenue vs 1x–4x

At the filed range: about NVIDIA’s multiple

ARC RESEARCH | SPECIAL TOPICS | VALUATION | IMPLIED MULTIPLES

At the filed range, ANT would trade near NVIDIA's multiple

Market value divided by revenue. Peers: market cap over trailing-twelve-month revenue. Anthropic: filed price range x shares, over Q3 revenue x 4



Source: peers = market cap at Nov 6, 2026 close / trailing-twelve-month revenue (StockAnalysis.com), ours. Anthropic: Form S-1/A No. 2 (Nov 10, 2026) price range $70 to $78 x 13,086,672,593 shares outstanding after the offering = $916B to $1.02T, over ($16,956M x 4 = $67.8B), ours. Basic shares only; counting options and RSUs raises the value. On trailing-twelve-month revenue of $35.3B the same values are 26x to 29x. Bases differ; read as orders of magnitude.

SO WHAT

At $70 to $78: 13.5x to 15.1x

Close to NVIDIA’s 14.9x, at 10x its growth

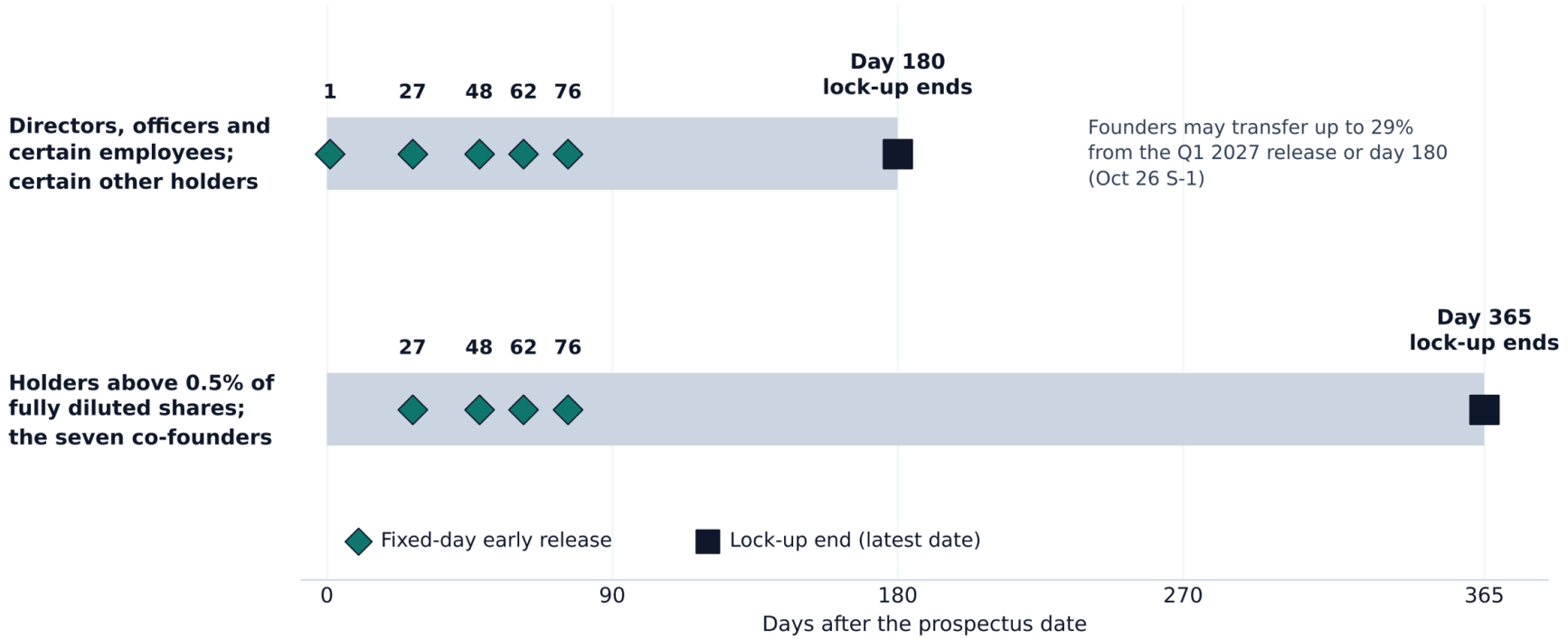
The price assumes the growth lasts

Supply: staged unlocks, fast index entry

ARC RESEARCH | SPECIAL TOPICS | SUPPLY | LOCK-UP SCHEDULE

Insider shares unlock in stages over 180 and 365 days

Fixed-day early-release points from the filing. Further tranches follow earnings dates; tranche sizes are blank in the amendment



Source: Anthropic Form S-1/A (Amendment No. 1, Nov 2, 2026), Shares Eligible for Future Sale. Group ends are the earlier of the day shown or the second full trading day after the Q1 2027 (180-day groups) or Q3 2027 (365-day groups) earnings release. Additional releases are tied to the FY2026, Q1 2027 and Q2 2027 earnings dates and are not drawn because those dates are not set. Days count from the prospectus date. Schematic by day number.

SO WHAT

First insider shares free on day 1

Nasdaq-100: eligible after 15 trading days

S&P 500: needs 12 months and GAAP profit

SECTION 8 OF 9

Risks

Whether demand holds, whether it can get the compute, whether open models undercut it, and how fast companies adopt AI

64 Risk map
65 Is demand stable?
66 Pricing pressure: ~$600M of price cuts
67 Getting enough compute
68 Data centers
69 Open-weight models
70 The rising cost of coding agents
71 Coding moving in-house
72 Enterprise adoption (diffusion)
73 Pacing the frontier as a public company

Risk map: six numbers from the risk factors

FIXED COSTS

$895B

Compute committed 12–18 months ahead of demand

PARTNER DEPENDENCE

44%

Of revenue sold through clouds that also compete

COMPETITION

1 point

Gap to the top model on one index; leads change monthly

REGULATION

2 models

Disabled worldwide under June 2026 export controls

LITIGATION

$1.5B

Authors’ copyright settlement; music suits pending

CONTROL

50.1%

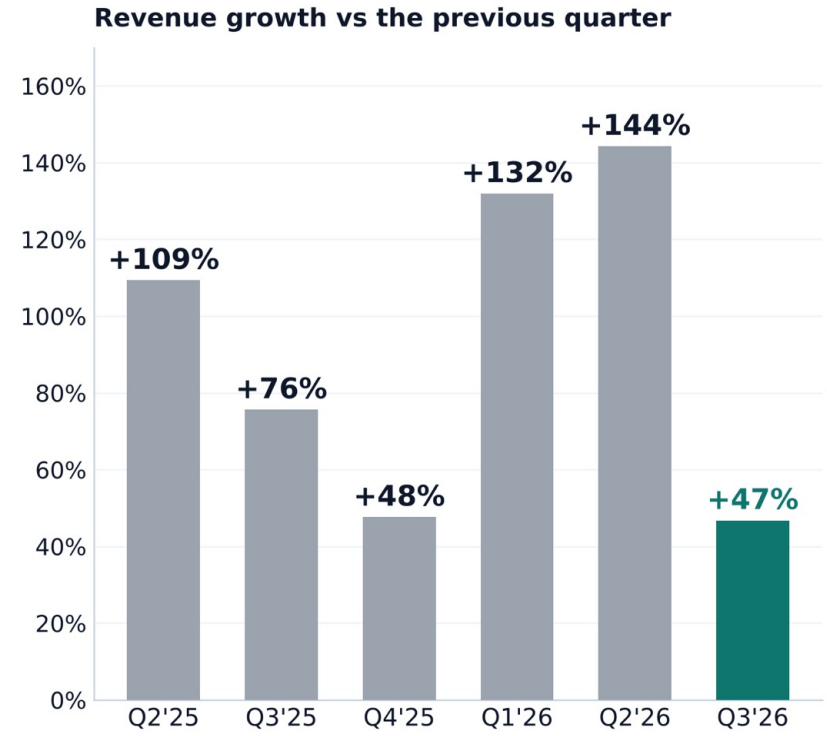
Founder vote, plus a public-benefit duty

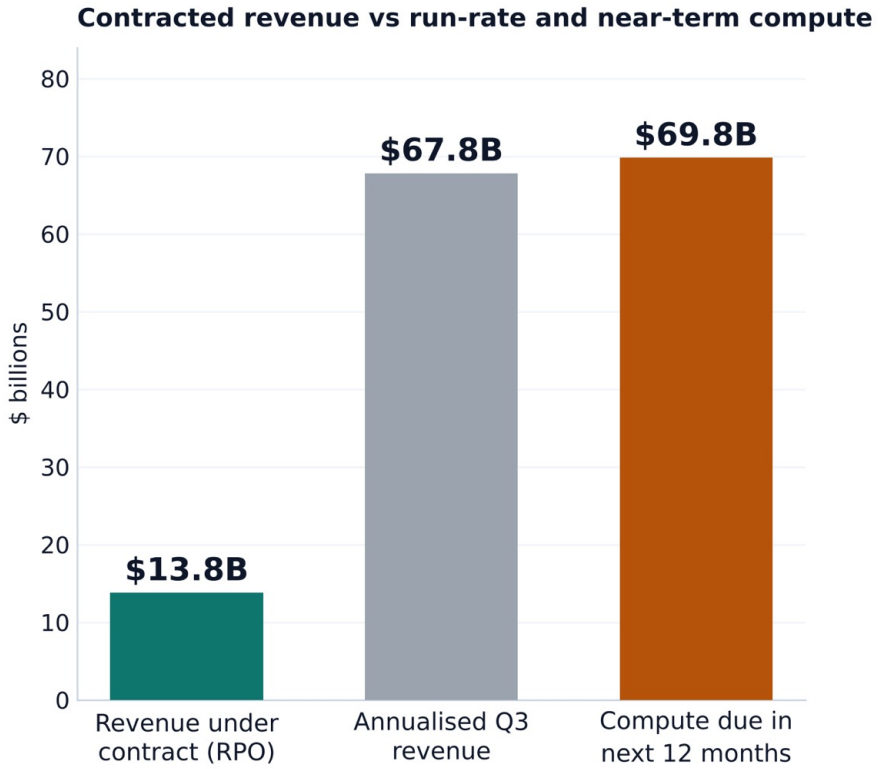
Is demand stable? Little of it is under contract

ARC RESEARCH | SPECIAL TOPICS | RISKS | DEMAND DURABILITY

Only $13.8B of revenue is under contract; the rest must be re-earned each month

Quarter-on-quarter revenue growth (left) and contracted revenue set against the run-rate and the compute bill (right)





Source: Anthropic Form S-1/A (Nov 2, 2026): quarterly revenue, remaining performance obligations ($13.8B at Sep 30, 2026, about 75% expected within 12 months) and compute commitments due within 12 months ($69.8B). Growth rates are ours: quarter revenue / prior quarter - 1. Annualised revenue = Q3 2026 revenue of $16,956M x 4, ours. Remaining performance obligations exclude pay-as-you-go usage with no minimum commitment.

SO WHAT

Contracted: ~2.4 months of revenue

Costs are fixed; revenue is not

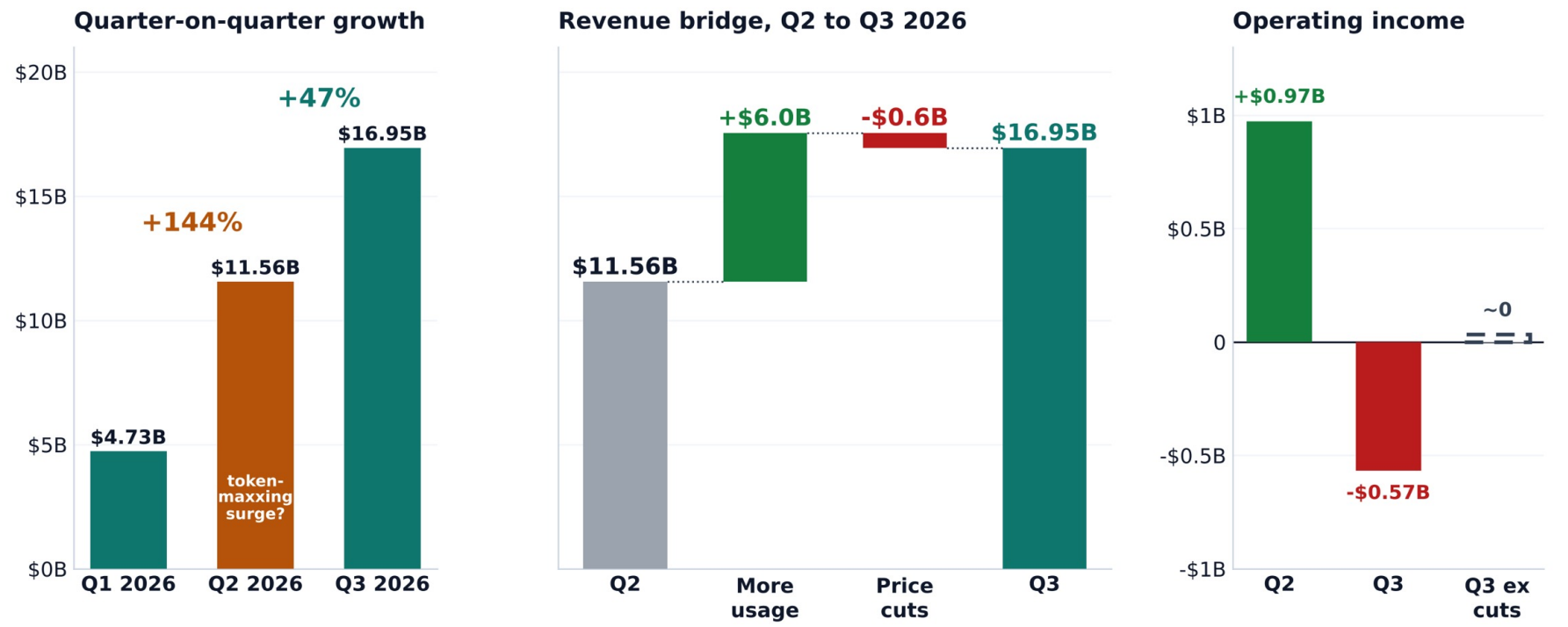
Offset: 900% retention so far

Pricing pressure: growth slowed, ~$600M lost to price cuts

ARC RESEARCH | SPECIAL TOPICS | RISKS | PRICING PRESSURE

Growth slowed after Q2, and price cuts cost about $600M in Q3

Left: quarterly revenue, $B. Middle: Q2 to Q3 revenue bridge, $B. Right: operating income, $B; hollow bar adds back the price cuts (ARC illustration)



Source: Form S-1/A No. 1 (Nov 2, 2026), as quoted by Decrypt (Nov 3) and FourWeekMBA: usage-driven growth 'partially offset by a decrease of approximately $600 million from price reductions introduced as part of new model versions' (Q2 to Q3 2026; ~$70M Q3 to Q4 2025). Q1 revenue $4.73B (sec-api summary of S-1; = H1 $16.29B less Q2); Q2 revenue $11.56B (S-1); tokenmaxxing link is ARC's hypothesis, not stated in the filing; Q3 $16.95B = 9M $33.24B less H1 $16.29B (ARC calc). Usage growth = difference (ARC). Operating income Q2 +$974M, Q3 -$567M (Decrypt). Hollow bar: Q3 loss plus $600M, ignoring any cost effects; illustration only. Price cuts: Fable 5.1 ~25% cheaper for typical work; Opus 5.5 ~40% lower cost per task vs Opus 5 (Anthropic).

SO WHAT

Price cuts with new models: −$600M in Q3

Q3 swung to a $567M operating loss

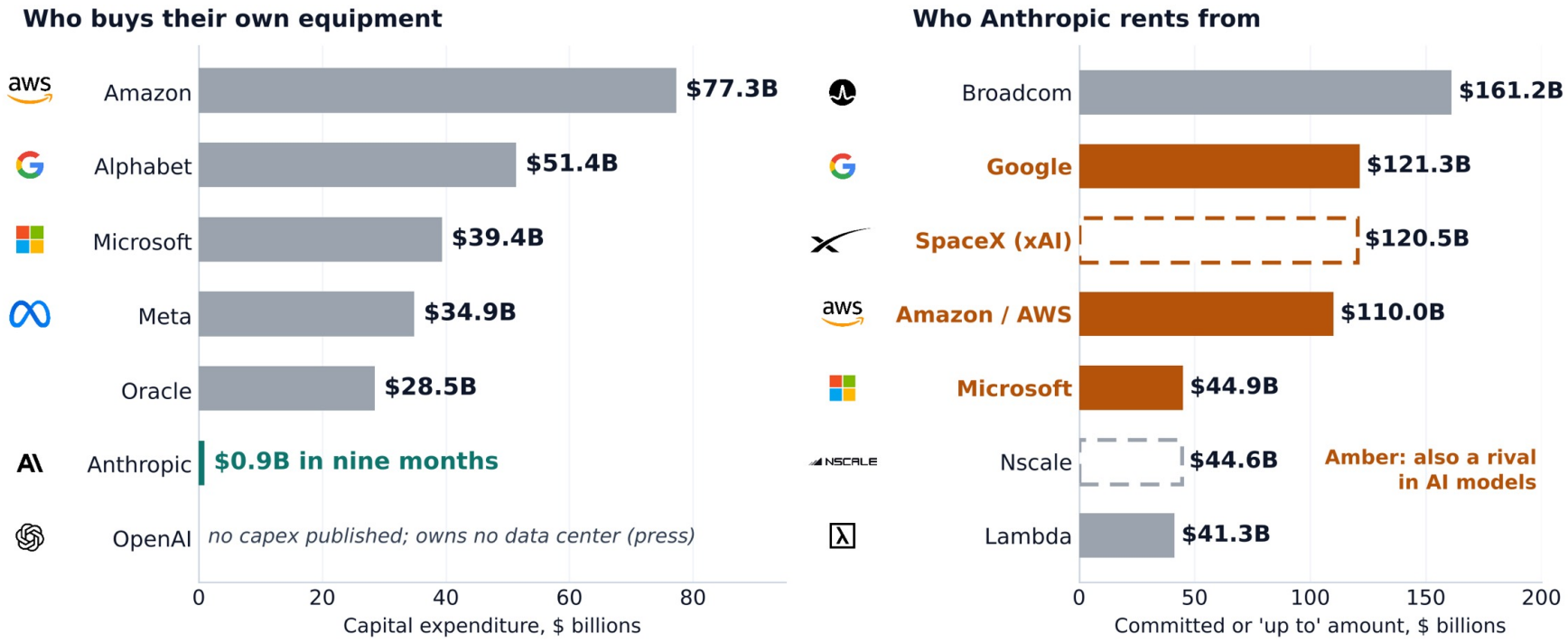
Q2 +144% vs Q3 +47%: a tokenmaxxing bump?

Compute risk: rented, scarce, and partly from rivals

ARC RESEARCH | SPECIAL TOPICS | RISKS | GETTING ENOUGH COMPUTE

Anthropic rents its compute, and four big landlords are rivals

Left: capital spending on owned equipment, latest quarter (Anthropic: nine months). Right: Anthropic's named compute deals, $B



Source: Anthropic Form S-1/A (Nov 2, 2026): purchases of property and equipment $925M in the nine months to Sep 30, 2026; named supplier agreements (amounts overlap and are not additive; hollow = 'up to'). Peers: company results for the quarter ended Sep 30, 2026 (Oracle: Aug 31, 2026); Meta includes finance-lease principal. OpenAI publishes no capex; The Information (Feb 2026, via Tom's Hardware) reported it owns no data center. Rival = sells or develops its own frontier AI models (Google Gemini, SpaceX's xAI Grok, Amazon Nova, Microsoft).

SO WHAT

Own capex: $0.9B in 9 months vs Alphabet's $51B a quarter

Four of the largest suppliers also build rival models

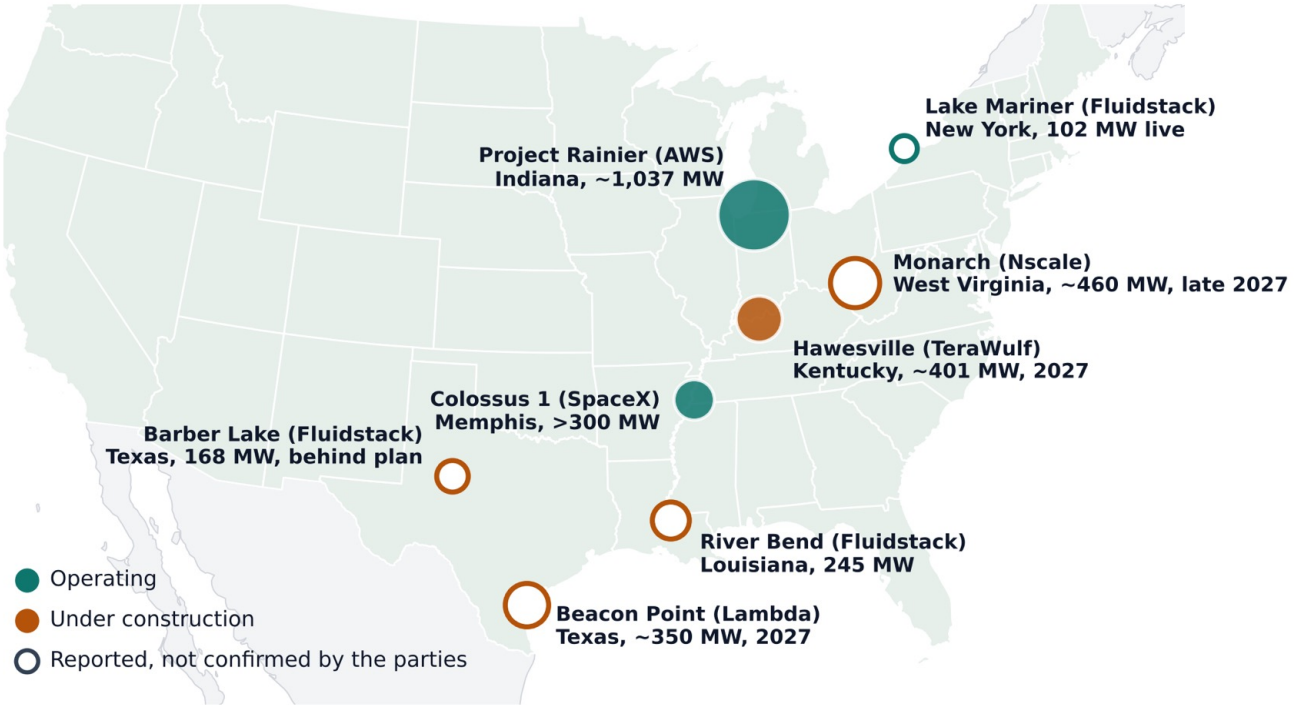
OpenAI rents too; only big tech and SpaceX own

Data centers: other people’s buildings, not yet built

ARC RESEARCH | SPECIAL TOPICS | RISKS | DATA CENTERS

Anthropic's new sites are mostly others' buildings, still being built

Sites tied to Anthropic by a named source. Marker area = planned capacity (MW); hollow = reported, not confirmed



Outside the US: leases and talks

Dalby, Australia
first lease; approvals still needed

Point Tupper, Canada (EverWind)
lease signed; capacity not stated

Osaka, Japan (NTT Data)
up to 500 MW; final talks, not signed

Industry, 2026

30-50%
of large US data centers due in 2026 expected to be delayed (Sightline)

$68B
of projects blocked or delayed by local opposition, Q2 2026 (Data Center Watch)

>5 yrs
median wait to connect to the grid (Berkeley Lab)

Source: Project Rainier: Epoch AI estimate of IT capacity. Hawesville: TeraWulf (20-year lease, about $19B, Jul 6, 2026). Colossus 1: Memphis mayor's statement (May 6, 2026). Monarch: Bloomberg/Reuters (Aug 2026); Nscale IPO filings via The Next Web. Beacon Point: WSJ/FT (Lambda deal). Lake Mariner, Barber Lake, River Bend: Fluidstack-built sites; Anthropic tie inferred by Epoch AI or press. Outside the US: Reuters (Dalby, Sep 16, 2026; Point Tupper, Oct 16, 2026), Nikkei via The Next Web (Osaka, talks, Oct 13, 2026). Locations are town or county centres, not exact sites.

SO WHAT

Most new capacity lands in 2027, if on time

Builders are small and highly indebted

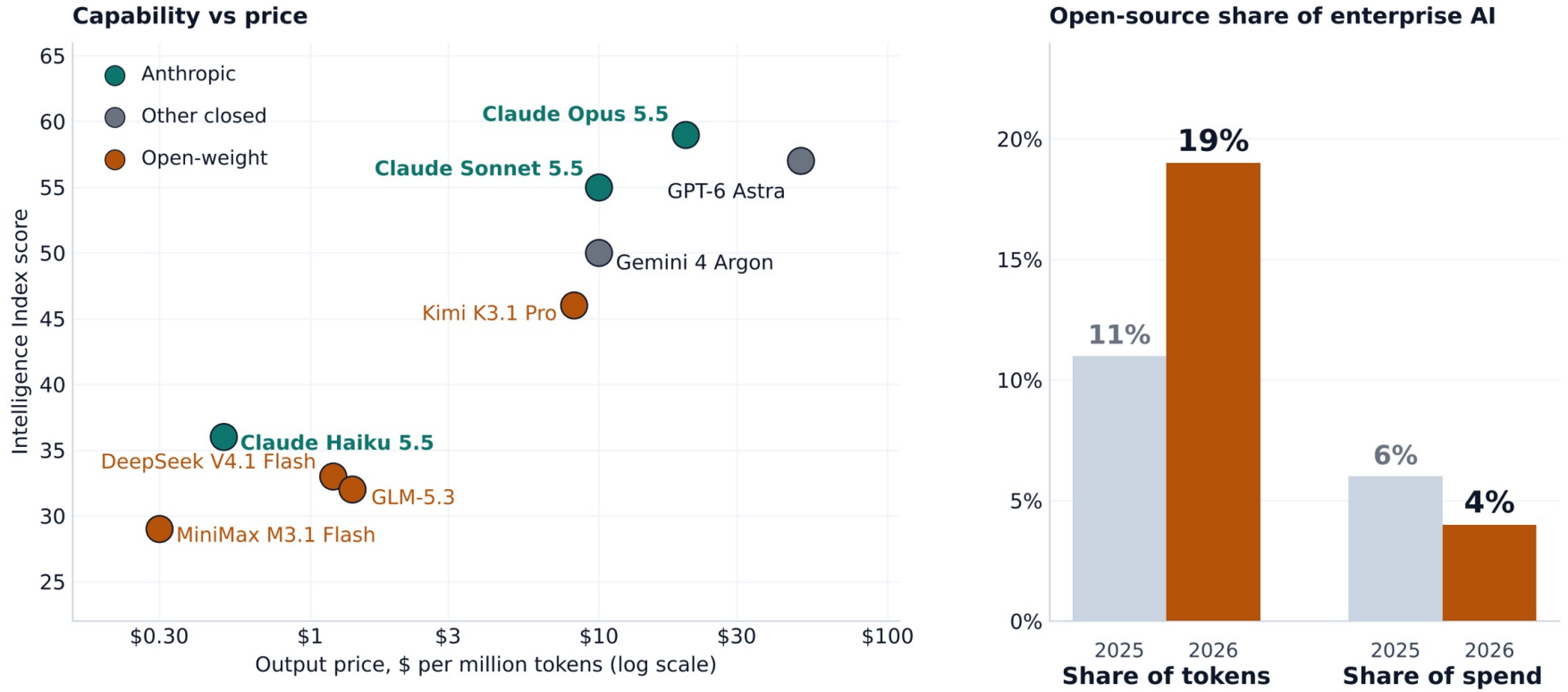
Rent and power owed even if unused

Open-weight models: the price threat

ARC RESEARCH | SPECIAL TOPICS | RISKS | OPEN-WEIGHT MODELS

Open-weight models: far cheaper, gaining tokens, not yet dollars

Left: capability score against output price, log scale. Right: open-source share of enterprise AI use, by tokens and by spend



Source: scores from the Artificial Analysis Intelligence Index, read Nov 9, 2026. Output prices per million tokens: Anthropic price list; OpenRouter listings for GPT-6 Astra, Kimi K3.1 Pro, GLM-5.3 and MiniMax M3.1 Flash; DeepSeek's peak list price via BenchLM; Gemini 4 Argon via VentureBeat (introductory price). Right: Menlo Ventures, 2026: The State of Enterprise AI (Nov 3, 2026; survey of about 400 US enterprises; Menlo is an Anthropic investor).

SO WHAT

Token share: 11% to 19% in a year

Spend share fell: 6% to 4%

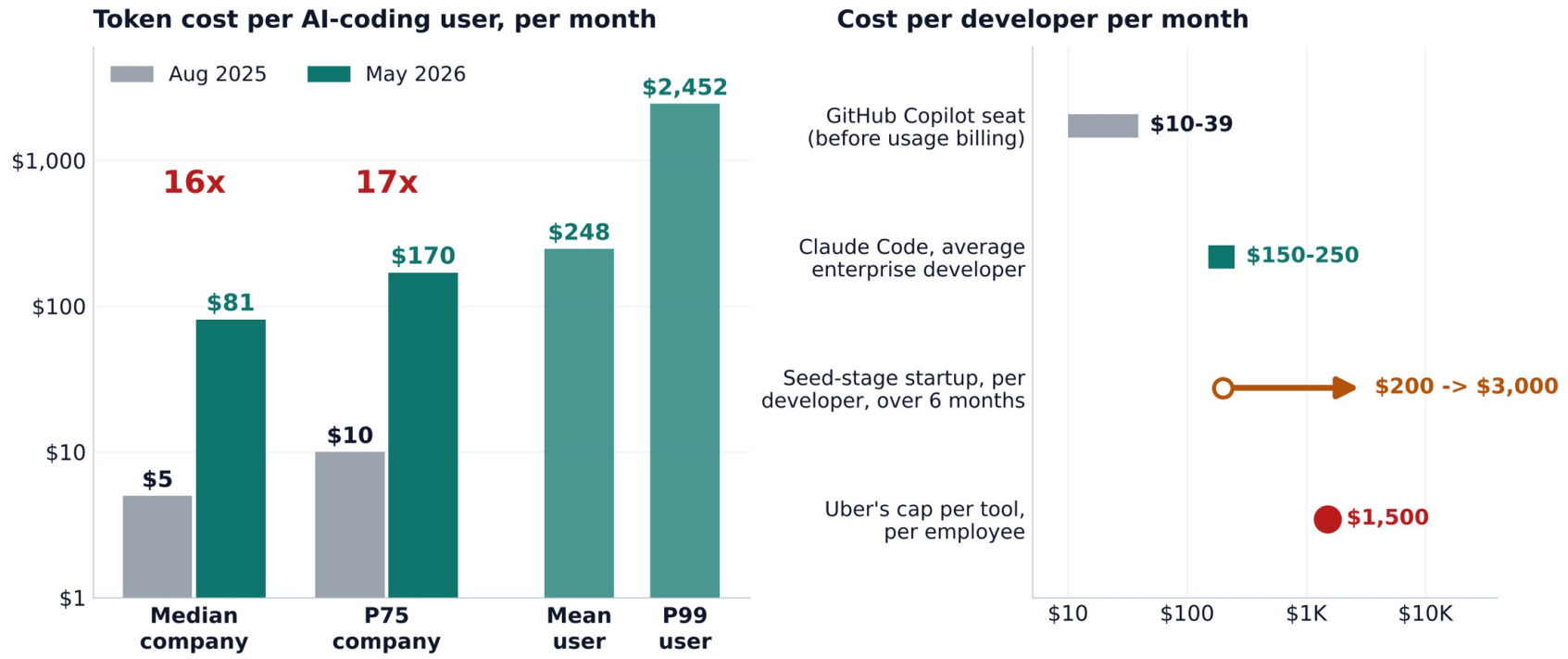
Best open model: 19 behind Fable 5.2

The rising cost of coding agents

ARC RESEARCH | SPECIAL TOPICS | RISKS | THE RISING COST OF CODING AGENTS

Coding-agent bills rose 16x in ten months, a reason to move in-house

Left: AI coding token cost per user per month, $ (log scale). Right: what a coding seat now costs a company per month, $ (log scale)



Source: Jellyfish, 'State of AI in Software Engineering' (H1 2026; page updated Jun 24, 2026): token cost per AI-tool user per month, median and P75 company, Aug 2025 and May 2026; mean and P99 user May 2026. Anthropic Claude Code docs (code.claude.com/docs/en/costs, checked Nov 10, 2026): ~$13 per developer per active day, $150-250 per month on average across enterprise deployments. GitHub (Apr 27, 2026): Copilot seats $10-39, moving to usage-based AI Credits from Jun 1, 2026. Uber cap: Bloomberg (Jun 2, 2026) via Simon Willison. Seed-stage example: Pragmatic Engineer (Apr 30, 2026), anonymous self-report (hollow).

SO WHAT

Median bill: $5 → $81 a month in 10 months

Claude Code: $150–250 per developer a month

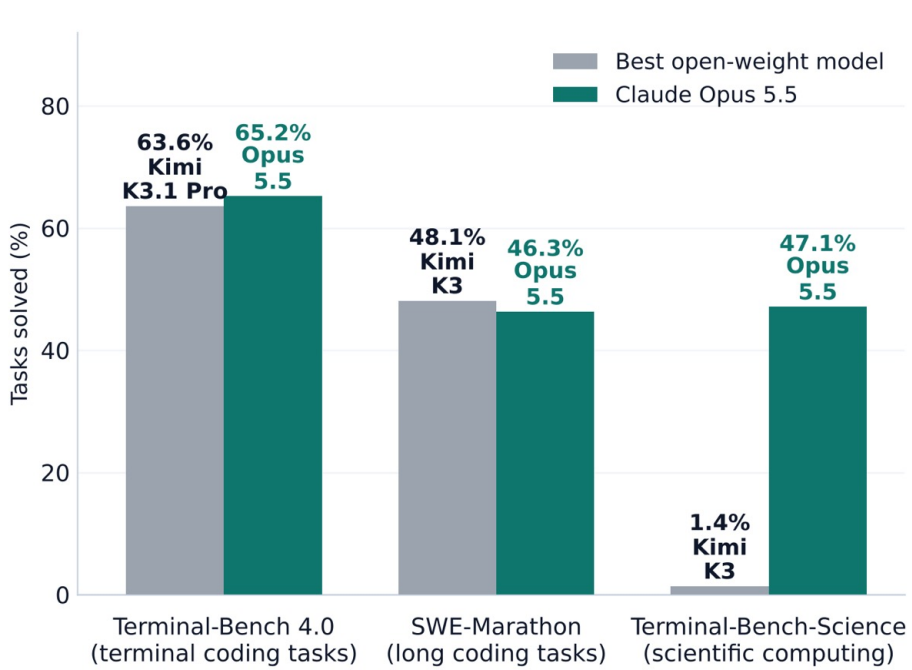
Budgets and caps push firms to cheaper or in-house models

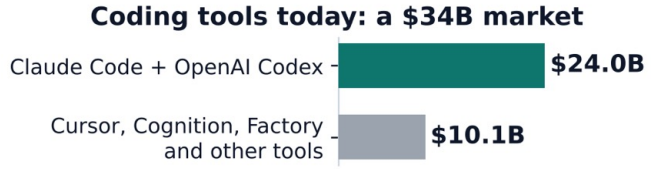
Even coding could move in-house to open models

ARC RESEARCH | SPECIAL TOPICS | RISKS | CODING ON OPEN MODELS IN-HOUSE

On everyday coding, open models nearly match Claude

Left: best open-weight model vs Claude Opus 5.5 on coding benchmarks, % solved. Right: the market today, and three companies moving





Revolut: self-hosting

~2,000 engineers moved their coding assistant to an open model (GLM) on ~56 Nvidia B200s: ~90% below its prior Anthropic and OpenAI spend

Coinbase: open models by default

Its gateway routes each task by price; open GLM and Kimi are defaults. AI spend cut nearly in half while token use kept growing

Databricks: a router inside Claude Code

Smart Routing picks a model per coding task: ~30% lower cost per task. Customers use 7.1 models on average, ~40% of them open-weight

Source: Vals AI leaderboards (Terminal-Bench 4.0: Kimi K3.1 Pro 63.6% via OpenRouter, Opus 5.5 65.2% via gradually.ai; Terminal-Bench-Science, Nov 5, 2026: Kimi K3 1.4%, Opus 5.5 47.1%); SWE-Marathon v1.1 (Oct 15, 2026, via gradually.ai). Same publisher within each benchmark; results are provisional. Right: Menlo Ventures, 2026: The State of Enterprise AI (Nov 3, 2026), September 2026 run-rate, survey-based; Menlo is an Anthropic investor. Revolut: company statement at Nvidia GTC Berlin (Oct 22, 2026), via Startup Fortune. Coinbase: Brian Armstrong on X (Jun 2026) via The Decoder and Analytics India Magazine. Databricks: company blogs, Smart Routing (Aug 13, 2026) and open-weight usage (Nov 4, 2026); vendor-reported figures.

SO WHAT

Open models within 2 points on everyday coding

Revolut, Coinbase, Databricks: routing to open models

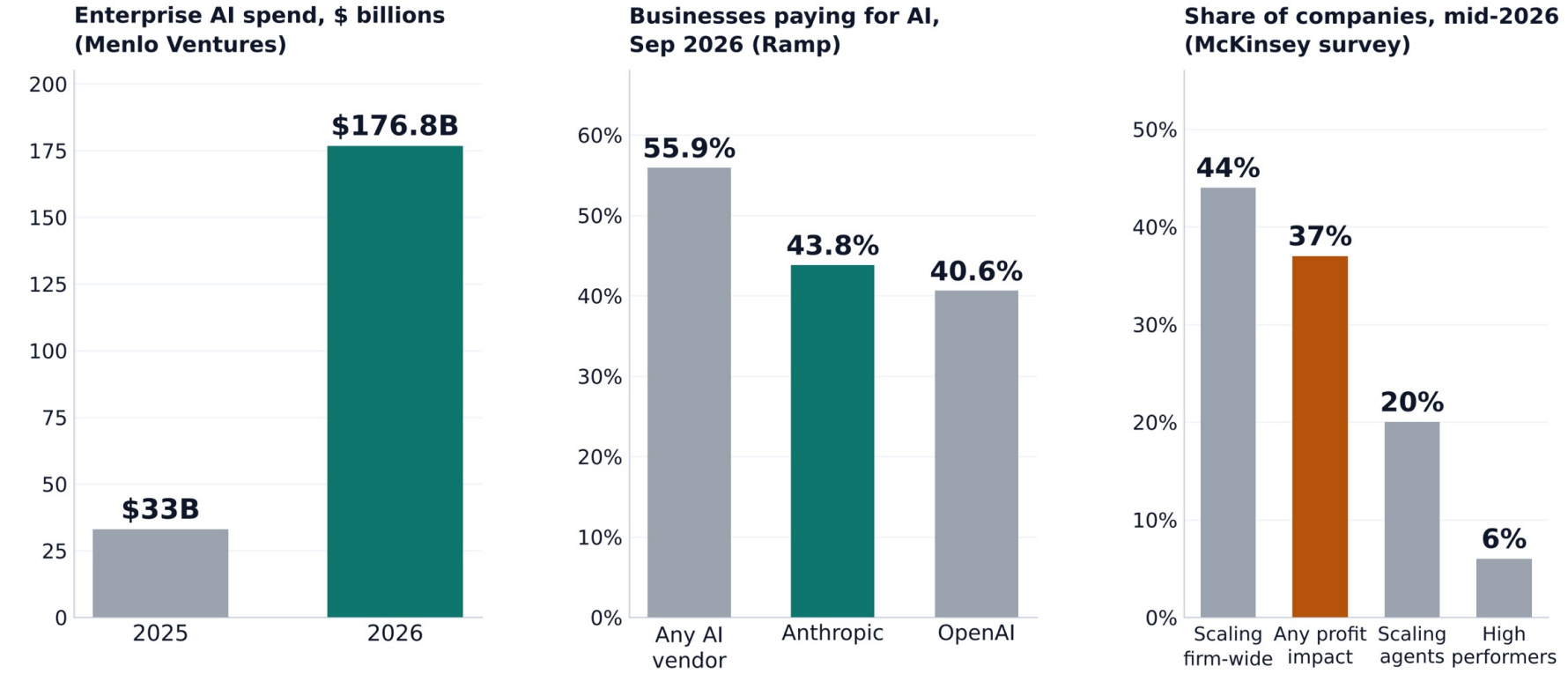
Today 70% of coding spend goes to Claude Code and Codex

Diffusion: spending is ahead of proven returns

ARC RESEARCH | SPECIAL TOPICS | RISKS | ENTERPRISE DIFFUSION

Enterprise AI spend is up 5x in a year; measured returns lag behind

Three views of how far AI has spread inside companies: what they spend, how many pay, and how many see results



Source: Menlo Ventures, 2026: The State of Enterprise AI (Nov 3, 2026): enterprise AI deployment spend, about 400 US decision-makers. Ramp AI Index, September 2026 (published Oct 14, 2026): share of businesses on Ramp's platform with paid AI subscriptions. McKinsey, The State of AI (Aug 25, 2026): survey of 1,719 respondents fielded May 4 to Jun 8, 2026. Different samples and definitions; not comparable across panels.

SO WHAT

Enterprise AI spend: 5.4x in a year

Only 37% report any profit impact

Usage is concentrated in coding

Pacing the frontier as a public company

ARC RESEARCH | SPECIAL TOPICS | RISKS | PACING THE FRONTIER AS A PUBLIC COMPANY

Amodei asks AI to slow down as ANT asks investors to pay for speed

Left: the three steps in Dario Amodei's essay 'We must pace the frontier' (Sep 12, 2026). Right: what a listed ANT has already promised or committed to

WHAT THE ESSAY ASKS

1. **Embedded evaluators**
   Third-party testers (e.g. METR) inside each lab, free to publish. ANT commits unilaterally; asks rivals to match
2. **Democratic coordination**
   Labs in democracies agree common safety standards and limits on the rate of unchecked progress
3. **Global coordination**
   Democracies try to agree with authoritarian states; from banning narrow dangerous uses up to a full pause

'*Pacing does not mean halting model training or technical progress*'

slow down →

← grow into it

WHAT PUBLIC SHAREHOLDERS ARE PAYING FOR

$70-78	**filed price range per share** valuation priced on continued hypergrowth
~$81B	**run-rate revenue, Oct 31, 2026** growth investors will expect each quarter
~$900.9B	**compute commitments** capacity that must be used to be paid for
PBC	**board weighs shareholder returns against the mission** pacing is legal; pressure to grow remains

REACTIONS

- Altman: 'I agree with Dario'; OpenAI adopts evaluators
- Musk: 'Dario is right'
- Hassabis: direction 'correct', prefers a standards body
- US Trump: 'Whoever wins AI wins'

Source: Dario Amodei, 'We must pace the frontier', darioamodei.com (Sep 2026; dated Sep 12 by VKTR, Sep 14, 2026). Reactions: VKTR (Sep 14, 2026). Right panel: Anthropic S-1/A Amendment No. 2 (Nov 10, 2026): price range, Run-Rate Revenue ~$81B at Oct 31, 2026 (company metric), compute commitments ~$900.9B; PBC duty and Public Benefit Fund from the S-1 governance section. The essay does not mention the IPO or shareholders; the tension is ARC's reading.

SO WHAT

CEO says slow down; shareholders pay for speed

~$900.9B of compute must be used to be paid for

PBC status makes pacing legal, not free

SECTION 9 OF 9

ARC view

Where the upside could come from, how big those markets are, whether the moat holds, and what we make of the filing

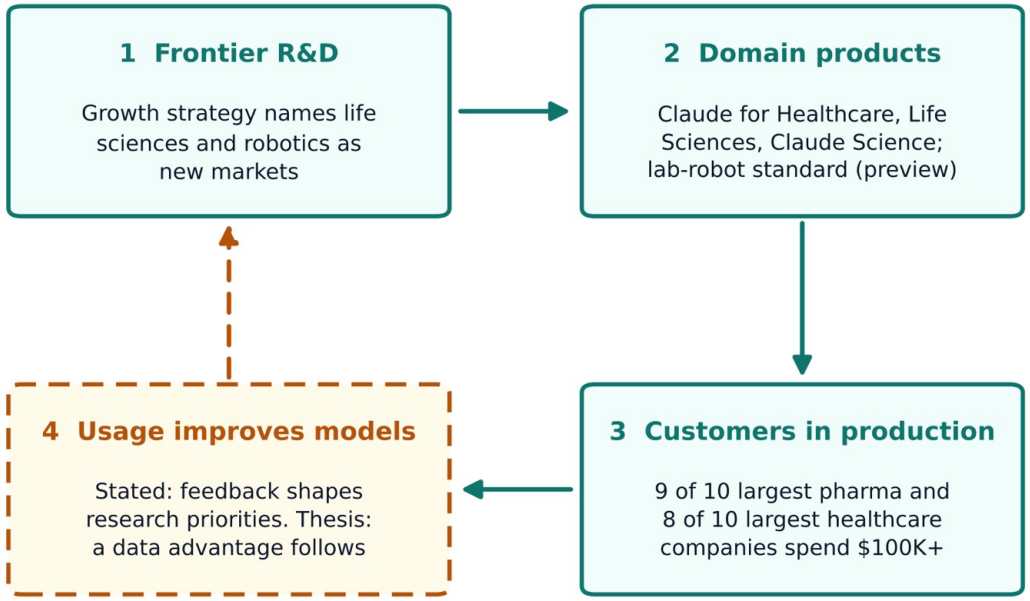
75 Life sciences and robotics thesis
76 The drug discovery prize
77 Market cap of life sciences and robotics
78 Robotics: the work and the revenue
79 No clear leader yet
80 Beyond coding: the enterprise moat
81 AI diffusion: integrators vs labs
82 NVIDIA and circular financing
83 IPO cash flows to neoclouds
84 ARC Research view
85 Summary

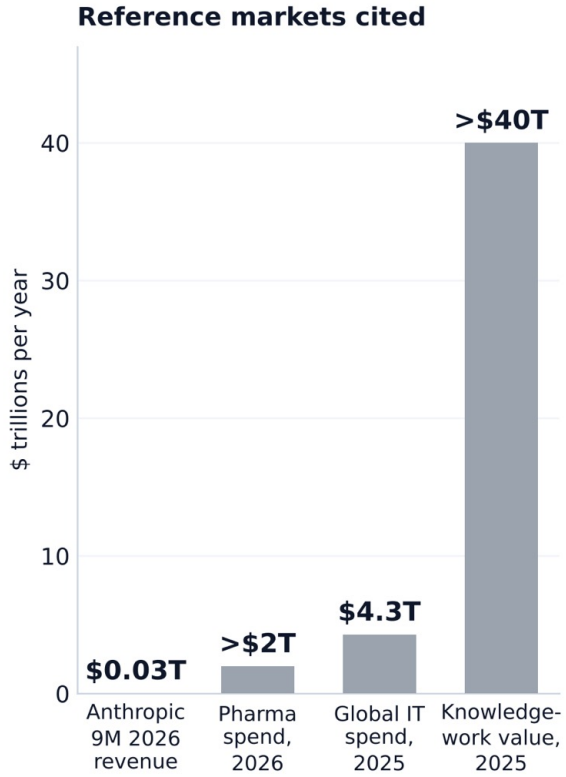
The upside thesis: life sciences and robotics

ARC RESEARCH | SPECIAL TOPICS | ARC VIEW | OPTIONALITY

The life sciences and robotics thesis: a flywheel half-confirmed

Left: the loop the thesis depends on, with what the S-1 states at each step. Right: reference markets the S-1 cites





Source: Anthropic Form S-1/A (Amendment No. 1, Nov 2, 2026), Business: Claude for Healthcare, Claude for Life Sciences, Claude Science, Model Hardware Standard (research preview), growth strategy. Market figures as cited in the filing: pharmaceutical spend (IQVIA Institute, Feb 2026), IT spend and knowledge-work value (2025). Dashed step = thesis, not stated in the filing sections read: the S-1 says production feedback shapes research priorities; it does not say customer data trains models.

SO WHAT

Filing names both as growth markets

Pharma already buys: 9 of the top 10

Data advantage: thesis, not disclosed

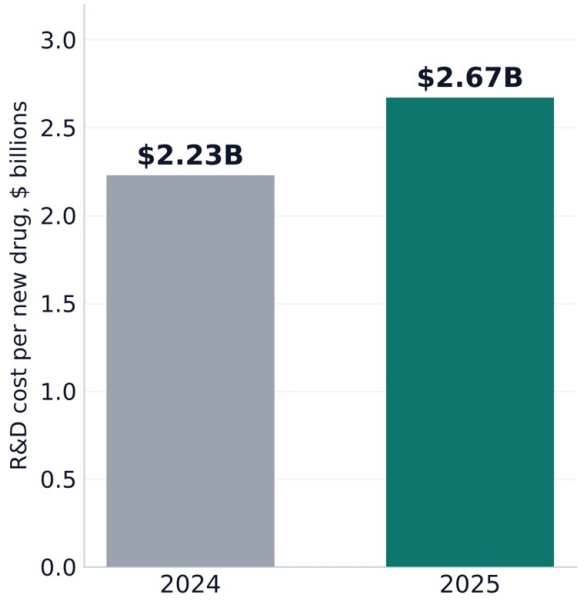
Life sciences: the drug discovery prize

ARC RESEARCH | SPECIAL TOPICS | ARC VIEW | LIFE SCIENCES: THE DRUG DISCOVERY PRIZE

A new drug costs $2.7B and 10-15 years; AI has yet to prove it can cut that

Left: the economics of drug discovery. Right: AI drug discovery companies by latest value, and where Anthropic plays

Cost per approved drug, top-20 pharma



10-15 yrs

from discovery to approval

7.9%

of drugs entering trials are approved

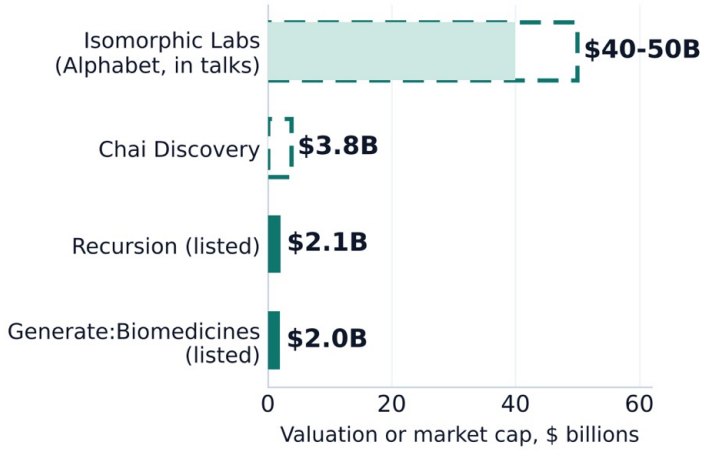
7.0%

forecast return on R&D; 2.9% without GLP-1 drugs

$60-110B

a year: McKinsey forecast of AI value in pharma

AI drug discovery: valued, not yet proven



Anthropic's route in

Claude for Life Sciences (Oct 2025), Claude Science (Jun 2026), Coefficient Bio (~$400M, press) and a gated protein-design model. S-1: 9 of the 10 largest pharma companies are customers

Source: Deloitte, Measuring the return from pharmaceutical innovation, 16th edition (2026): average R&D cost per asset and forecast internal rate of return, top-20 pharma. PhRMA via Fierce Biotech (10-15 years). BIO/Informa/QLS (2021): 7.9% of drugs entering Phase 1 are approved, 2011-2020. McKinsey Global Institute (Jan 2024) forecast of generative-AI value. Right: Isomorphic Labs: Bloomberg via SiliconANGLE (Oct 8, 2026, in talks); Chai Discovery: post-money, Jul 2026 (press); Recursion and Generate:Biomedicines: market caps, Oct 2026 (StockAnalysis.com and aggregator). Anthropic: company announcements; S-1 via pharmaphorum.

SO WHAT

$2.7B and 10-15 years per new drug

Only 7.9% of trial drugs approved

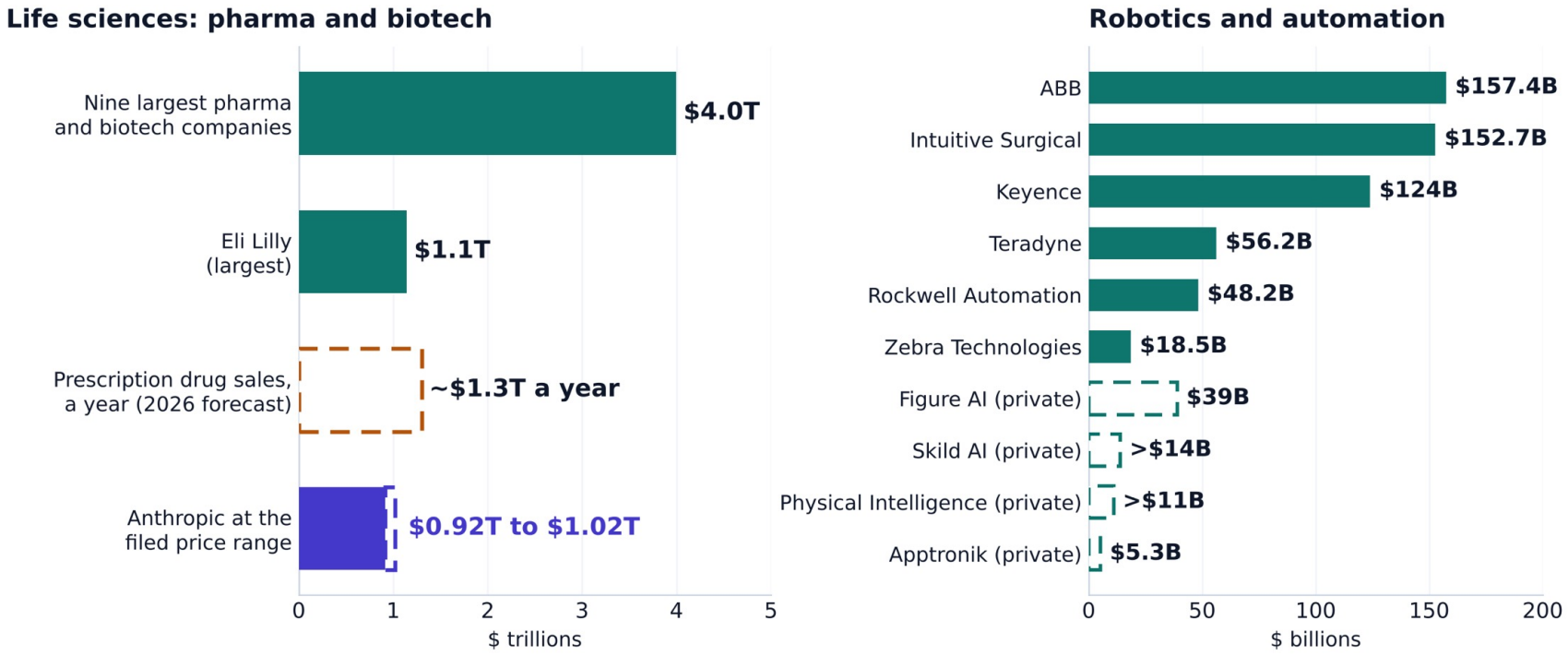
AI promise not yet realised at scale

Market cap: pharma and biotech $4T, listed robotics far smaller

ARC RESEARCH | SPECIAL TOPICS | ARC VIEW | MARKET CAP OF LIFE SCIENCES AND ROBOTICS

Pharma and biotech are worth $4T; listed robotics a fraction

Stock-market value beside Anthropic at its filed range. Left in $ trillions, right in $ billions. Hollow = forecast, range or private



Source: Pharma and biotech: sum of Eli Lilly, Johnson & Johnson, AbbVie, Roche, Merck, Novartis, AstraZeneca, Amgen and Novo Nordisk market caps, StockAnalysis.com, read Nov 9, 2026 (ours). Rx sales: Evaluate World Preview 2026 (forecast). Anthropic: Form S-1/A No. 2 range x shares outstanding, basic, ours. Robotics market caps: StockAnalysis.com; page dates differ by company (Sep 4 to Nov 9, 2026), so this is not a single close. Private valuations: Reuters (Figure AI, Sep 2025), TechCrunch (Apptronik, Feb 2026), Fintool (Skild AI, Jan 2026), Dealroom (Physical Intelligence, Mar 2026, talks). ABB, Keyence, Rockwell and Zebra are broad automation companies, not pure robotics. No published total exists for robotics.

SO WHAT

Pharma and biotech: about 4x Anthropic's filed value

Robotics: no listed company above $160B

Robotics upside means a new market

If robotics works: the work and the revenue

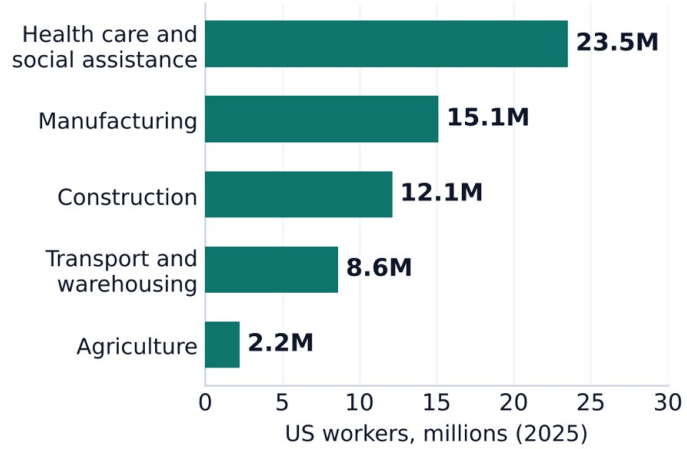
ARC RESEARCH | SPECIAL TOPICS | ARC VIEW | ROBOTICS: THE PRIZE IF IT WORKS

Robotics today is an $18.6B market; forecasts run to trillions

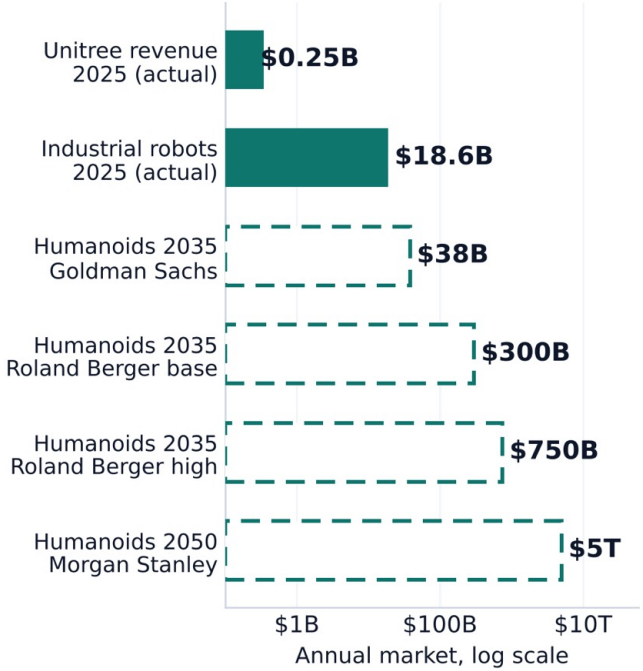
Left: the work in scope, US. Right: annual market, actual today against published forecasts, log scale. Hollow = forecast

Share of US work hours current technology could automate

People employed in physical-work sectors



Revenue: today against forecasts



Source: McKinsey Global Institute, 'Agents, robots, and us' (Nov 25, 2025): share of US work hours that current technology could automate, a technical potential, not a forecast. US Bureau of Labor Statistics, employed persons, 2025 average. IFR World Robotics 2026 (industrial robots, 2025 actual). Unitree prospectus via Kr-Asia (2025 revenue, RMB 1.7B). Forecasts: Goldman Sachs (Jan 2024), Roland Berger (2026), Morgan Stanley (May 14, 2025; includes supply chain and upkeep). Forecasts differ in scope and are not comparable with each other.

SO WHAT

Robots could do 13% of US work hours

62M US workers in five physical sectors

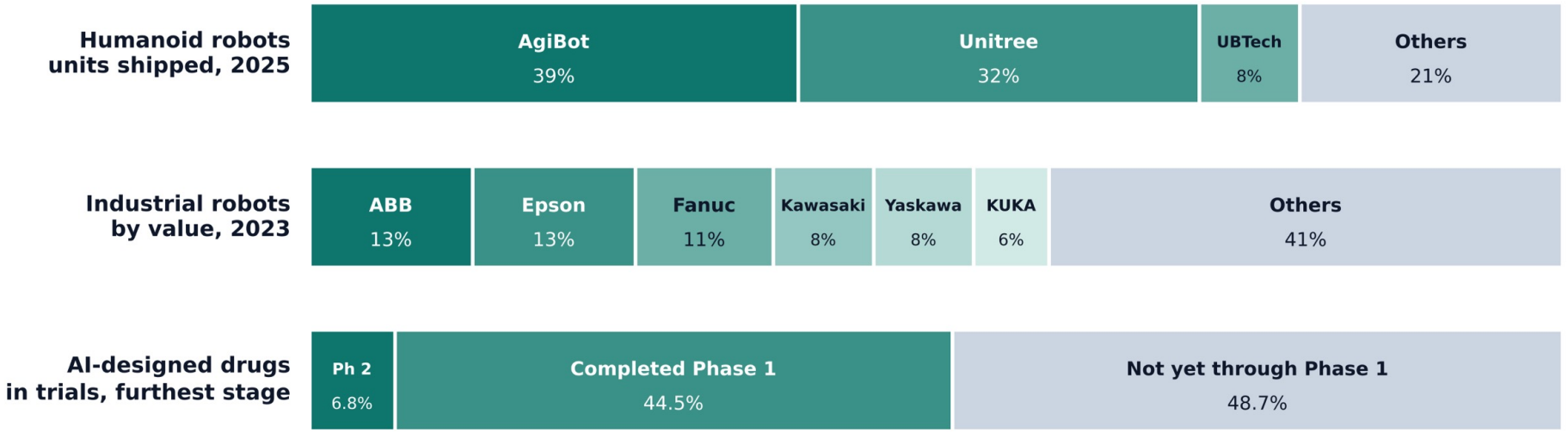
$38B to $5T: forecasts, not revenue

No clear leader in robotics or AI drug discovery

ARC RESEARCH | SPECIAL TOPICS | ARC VIEW | WHO LEADS?

No company leads robotics; AI drug discovery has no approved drug yet

Top: vendor shares in robotics. Bottom: 117 AI-enabled drug candidates by furthest stage completed. Each bar sums to 100%



Source: Humanoid shipments, 2025: Omdia via TechNode (Jan 9, 2026); AgiBot 5,168, Unitree 4,200, UBTech 1,000 of about 13,000; 'others' is the remainder, ours; Unitree disputes the ranking and claims more than 5,500. Industrial robots by value, 2023: Statista estimate (no underlying source named). AI-designed drugs: ASCO 2026 abstract (JCO): 117 AI-enabled assets from 63 companies in trials at Dec 1, 2025; 51.3% completed Phase 1, 6.8% completed Phase 2 (so 44.5% Phase 1 only, ours); none approved. No market-share data exists for robot AI models or AI drug discovery. Different years and measures: read each bar alone.

SO WHAT

Top humanoid maker: 39%, and disputed

AI-designed drugs: none approved yet

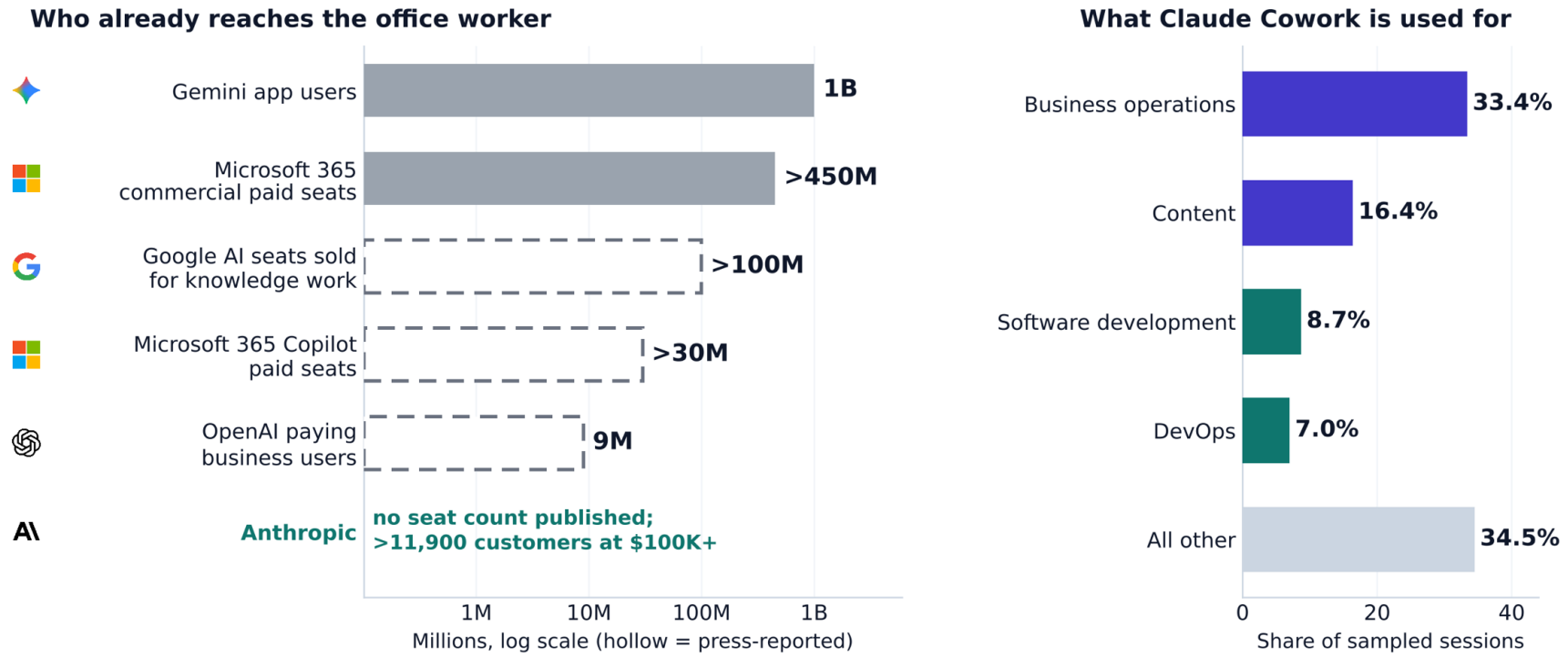
Robot AI models: no share data exists

Beyond coding: can Anthropic reach the office worker?

ARC RESEARCH | SPECIAL TOPICS | ARC VIEW | BEYOND CODING: THE ENTERPRISE MOAT

Outside coding, Microsoft and Google already own the user

Left: users and seats the incumbents already reach, millions, log scale. Right: how Claude's knowledge-work agent is used, share of sessions



Source: Microsoft 365 commercial paid seats 'over 450 million' (Microsoft, Jan 2026, via office365itpros); Microsoft 365 Copilot 'over 30 million' paid seats (Jul 2026, press-reported; not updated Oct 2026). Gemini app 'one billion users' (Alphabet Q3 2026 release; definition not MAU). Google AI knowledge-work seats 'more than 100 million' (Thomas Kurian, press-reported). OpenAI 9 million paying business users (Feb 2026, press-reported). Anthropic publishes no seat count; the S-1 gives >11,900 customers above $100K a year. Right: Anthropic analysis of 1.2M sampled Claude Cowork sessions, May 11-31, 2026, via VentureBeat (Jul 7, 2026).

SO WHAT

Microsoft and Google own the screen

Both build models and resell Claude

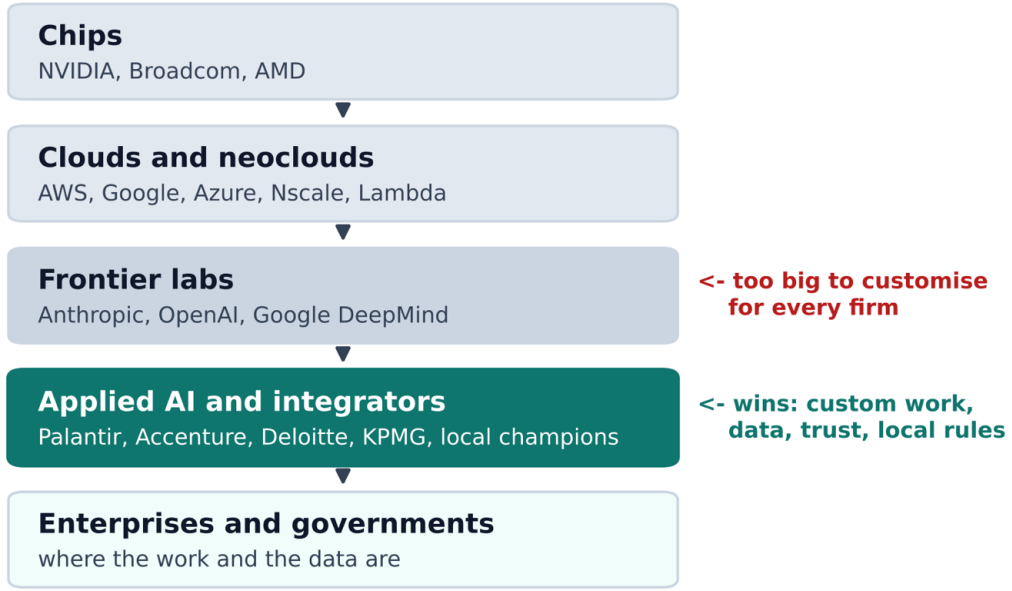
Coding success may not transfer

AI diffusion: why integrators may win more than the labs

ARC RESEARCH | SPECIAL TOPICS | ARC VIEW | AI DIFFUSION

As AI diffuses, we think the integrators win more than the labs

Diffusion = pushing models into every firm and government. Left: the value chain. Right: signals from applied and sovereign AI



SIGNALS

>$30B
NVIDIA sovereign AI revenue in FY2026, over 3x

+96%
Palantir revenue growth, Q3 2026 vs a year earlier

44%
of Anthropic revenue sold via cloud marketplaces

4
consulting partners named in the S-1

SOVEREIGN AI

Governments want AI on their own soil, data and rules. Local integrators and open models fit that need; one US lab selling one global model fits it less well. Accenture: clients are 'at very different stages of readiness'.

Source: Palantir 8-K, Q3 2026 results (revenue $2.313B, +96% y/y); NVIDIA Q4 FY2026 results via Futurum (Feb 27, 2026): sovereign AI revenue >$30B for FY2026, more than triple the prior year; Anthropic S-1/A: ~44% of 9M 2026 revenue through cloud marketplaces; Accenture, Deloitte, KPMG, PwC named as partners; Accenture Q4 FY2026 call (Oct 1, 2026, via Constellation Research): clients 'at very different stages of readiness', AI 'a net new category'. Layer judgements are ARC's view.

SO WHAT

Diffusion = models into every firm and government

Integrators do the last mile: data, workflow, trust

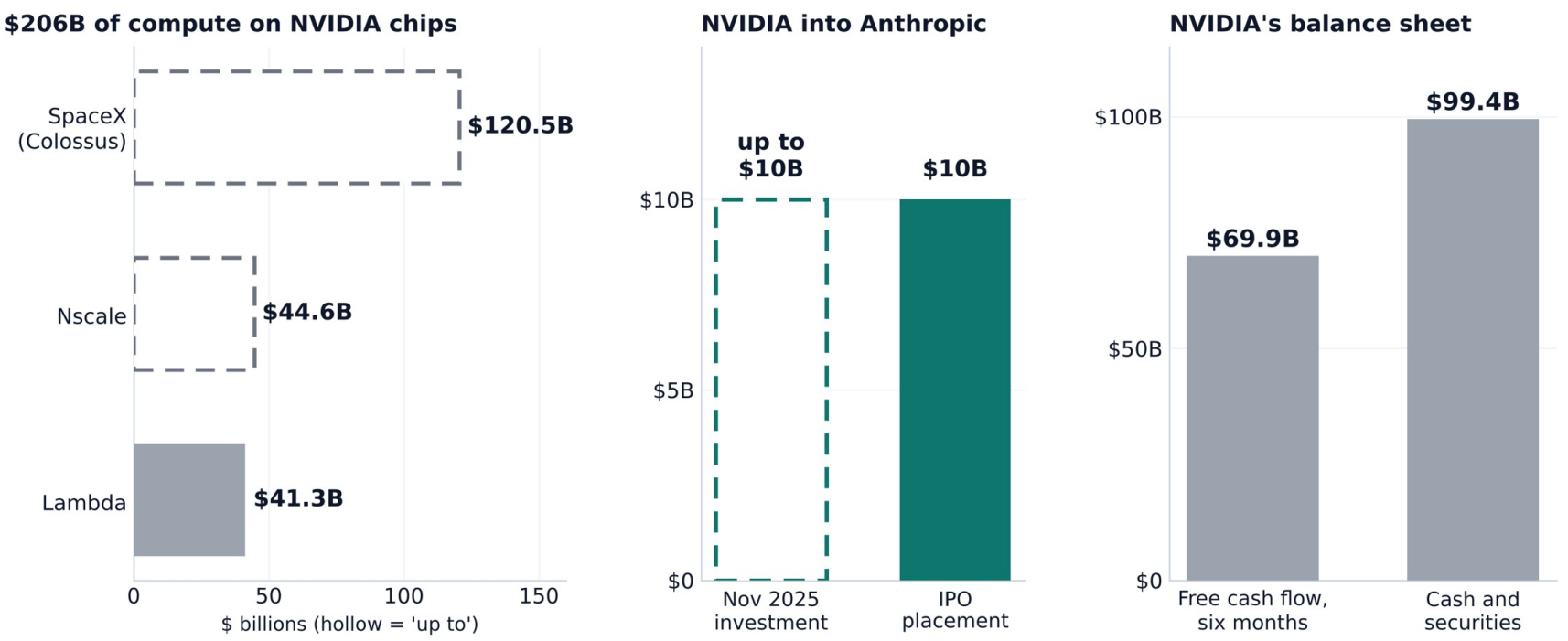
Sovereign AI favours local, not one global lab

Circular financing: NVIDIA can keep ANT funded

ARC RESEARCH | SPECIAL TOPICS | ARC VIEW | CIRCULAR FINANCING AND NVIDIA

NVIDIA funds Anthropic, and Anthropic's compute runs on NVIDIA

Left: Anthropic compute contracts that run on NVIDIA GPUs. Middle: NVIDIA's money into Anthropic. Right: what NVIDIA can afford



Source: Anthropic Form S-1/S-1/A (SpaceX up to $120.5B, Nscale up to ~$44.6B, Lambda ~$41.3B, all on NVIDIA GPUs; NVIDIA $10.0B concurrent placement, Nov 10, 2026). Anthropic, Nov 18, 2025: NVIDIA to invest up to $10B. NVIDIA Q2 FY27 release (quarter ended Jul 26, 2026): free cash flow $69.9B in six months; cash and marketable securities $99.4B. Press: NVIDIA holds the Beacon Point lease for the Lambda deal (WSJ/FT); in talks to guarantee Nscale's Monarch debt (unsigned).

SO WHAT

ANT is a hub of the AI money loop

NVIDIA can carry it: $70B FCF in 6 months

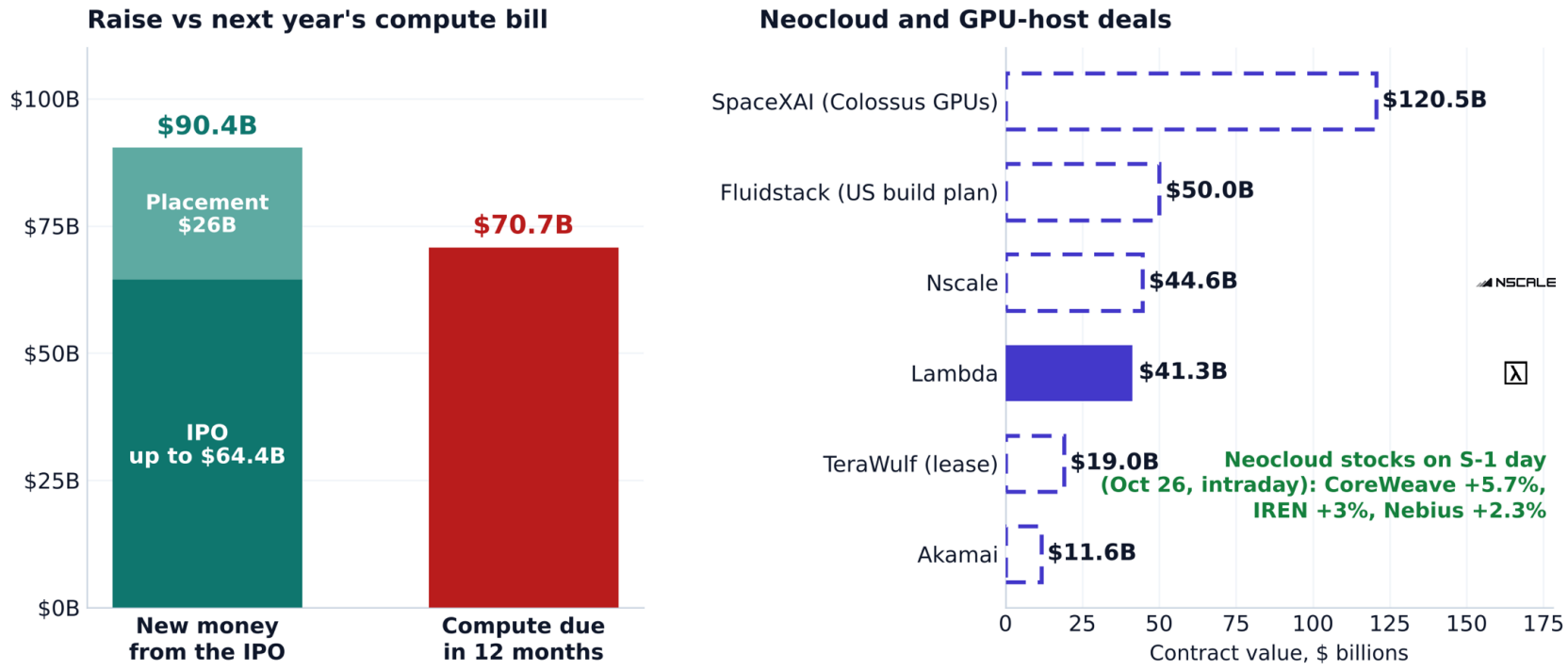
Support is a backstop, not a business model

If the raise lands, neoclouds get paid

ARC RESEARCH | SPECIAL TOPICS | ARC VIEW | IPO CASH FLOWS TO COMPUTE

The IPO money will be spent on compute, much of it with neoclouds

Left: new money from the IPO against compute bills due in the next 12 months, $B. Right: Anthropic's deals with GPU clouds outside the big three, $B



Source: Form S-1/A No. 2 (Nov 10, 2026): up to 825M shares at $78 = $64.4B (ARC calc; includes some selling holders); $26B concurrent private placement; compute commitments due within 12 months of Sep 30, 2026 ~$70.7B; use of proceeds includes 'investments in compute and infrastructure'. Deals: S-1 (Nscale up to $44.6B into 2033; Lambda ~$41.3B into 2034; SpaceXAI up to $120.5B into 2029); Anthropic announcement (Fluidstack, $50B US data-center plan, Nov 12, 2025); press: TeraWulf $19B lease, Akamai $11.6B (Sep 24-25, 2026: SiliconANGLE, 24/7 Wall St). Hollow = press-reported or 'up to'. Stock moves: Reuters intraday Oct 26, 2026 (S-1 day).

SO WHAT

$90.4B raised ≈ 1.3 years of compute due

Six neocloud deals: ~$287B of contracts

Neoclouds rise and fall with ANT's funding

ARC Research view (a view, not advice)

What is strong

+1,127% Q3 revenue growth

~900% net revenue retention

+$6.6B operating cash flow

$132B cash and investments

What to discount

$104B net loss: 91% non-cash

$1.4T fully diluted: press, not filed

55% share: investor's survey

#1 model claims: index-dependent

What to watch

Final price vs $70 to $78

57% compute-to-revenue: falling?

Q4 operating line after Q3's loss

351M placement shares, no lock-up

We will follow ANT closely

At about $1T it would list among the largest companies, and its numbers already move AI stocks: those tied to it rose up to 10% in two days after the S-1. We expect its reports to drive the AI trade much as NVIDIA's have.

Summary

1 THE COMPANY

7 ex-OpenAI founders; ~80% of revenue paid per token; compute takes 57¢ of each $1

2 IPO OFFERING

$70–78 a share: up to $1.4T fully diluted, 30% below the $2T talk

3 P&L

$33.2B revenue in 9 months; operating loss just $1.3B; $132B cash

4 MODELS & PRODUCTS

Fable 5.2 tops the rankings; Claude Code led agentic coding; today an office suite vs Microsoft

5 GROWTH & CUSTOMERS

~$81B run-rate; 11,900 customers over $100K; no customer above 10%

6 THE COMPUTE BILL

~$900.9B of commitments, mostly rented from rivals and clouds

7 GOVERNANCE

Founders hold 50.1% of votes; the Trust elects 4 of 7 directors

8 RISKS

Compute supply, open models in-house, and pacing AI under public shareholders

9 ARC VIEW

A market-moving stock: we will follow ANT as closely as NVIDIA

Sources

Filings and company releases

Anthropic, Form S-1/A, Amendment No. 2, Nov 10, 2026 (SEC EDGAR)
Anthropic, Form S-1/A, Amendment No. 1, Nov 2, 2026 (SEC EDGAR)
Anthropic, Form S-1, Oct 26, 2026 (SEC EDGAR)
Anthropic, S-1 filing announcement, Oct 26, 2026 · draft S-1 notice, Jun 1, 2026
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Amazon, Form 10-Q, quarter ended Sep 30, 2026
Peer results: NVIDIA · Microsoft · Alphabet · Meta · Palantir · Snowflake
Peer 10-Qs: Microsoft · Alphabet · Oracle (leases, commitments, cash)
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Founders' papers: GPT-3 · scaling laws (arXiv) · Sector data: MSCI World factsheet · IFR World Robotics 2026
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Leaderboards, research and press

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Menlo Ventures, 2026: The State of Enterprise AI, Nov 3, 2026 (via explainx.ai summary) · Ramp AI Index, Oct 14, 2026
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Forbes, Valuation talk falls to $1.3 trillion, Nov 7, 2026 · 24/7 Wall St via Yahoo, Investors doubt the target, Nov 6, 2026
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Stack moves: Forbes, in-house chip team, Aug 6, 2026 · Bisnow (citing FT), $3.4B gas generators, Nov 9, 2026
Reaction: Reuters via AOL, Oct 26 · Reuters via RTE, Nov 6 · prices: StockAnalysis.com
Run-rates: Epoch AI · Exploding Topics · Databricks · Dealroom
Risks: Ramp AI Index · McKinsey State of AI · OpenRouter · Epoch open-closed gap · BenchLM
Largest IPOs: Dealroom · Fox Business · Market caps: StockAnalysis.com
Valuations: TechCrunch on Series H, OpenAI $852B, OpenAI $1.25T · Fortune
Deal prices and robotics: The Next Web · PitchBook · Reuters via Yahoo · TechCrunch
Robotics: McKinsey · BLS · Omdia via TechNode · Morgan Stanley · Roland Berger
Today: Form S-1/A No. 2, Nov 10, 2026 · Enterprise: VentureBeat · Menlo Ventures · Tokenmaxxing: AP via WTOP · The Next Web · Pragmatic Engineer · Data centers: Epoch AI · Data Center Watch via AI Weekly
In-house coding: Revolut via Startup Fortune · Stack Overflow 2025 · Nvidia · The Batch · Coinbase: The Decoder · Databricks: Smart Routing, open-weight usage
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